

In the opinion of Nixon Peabody LLP, Bond Counsel, under existing law and assuming compliance with the tax covenants described herein, and the accuracy of certain representations and certifications made by the District described herein, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"). Bond Counsel is also of the opinion that such interest is not treated as a preference item in calculating the alternative minimum tax imposed under the Code. Bond Counsel is further of the opinion that interest on the Bonds is exempt from personal income taxes of the State of California (the "State") under present State law. See "TAX MATTERS" herein regarding certain other tax considerations.

\$33,000,000
BAKERSFIELD CITY SCHOOL DISTRICT
(Kern County, California)
GENERAL OBLIGATION BONDS, ELECTION OF 2016, 2022 SERIES C

Dated: Date of Delivery**Due: November 1, as shown on inside cover.**

The above-captioned bonds (the "Bonds") offered hereunder by Bakersfield City School District (the "District") are issued for the purposes of (i) acquiring, constructing, furnishing and equipping certain District facilities, and (ii) paying the related costs of issuance of the Bonds, as more fully described under the caption "PLAN OF FINANCE" herein.

The Bonds were authorized at a bond election conducted in the District on November 8, 2016 (the "2016 Election") at which more than 55% of the voters within the District voting on the measure voted to approve the issuance by the District of \$110,000,000 aggregate principal amount of its general obligation bonds (the "2016 Authorization"). The Bonds are the third series of bonds issued pursuant to the 2016 Authorization and, following the issuance thereof, \$33,000,000 of authorization under the 2016 Election will remain. The Bonds are issued on a parity with all other general obligation bonds of the District, including general obligation bonds issued pursuant to previous authorizations.

The Bonds are dated their date of delivery. The Bonds will mature on the dates and in the amounts and bear interest at the rates shown on the inside cover hereof, will be issued in denominations of \$5,000 principal amount or integral multiples thereof, and are payable as to principal amount or redemption price at the office of Zions Bancorporation, National Association, as Paying Agent for the Bonds (the "Paying Agent"). Interest on the Bonds is payable on May 1 and November 1 of each year, commencing on May 1, 2022. See "THE BONDS" herein.

The Bonds are issued in fully registered form and, when delivered, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository of the Bonds as described herein under the caption "THE BONDS – Book-Entry Only System" and in APPENDIX E – "THE BOOK-ENTRY-ONLY SYSTEM."

The Bonds are subject to redemption prior to maturity as described herein. See "THE BONDS – Optional Redemption" and "– Mandatory Sinking Fund Redemption" herein.

The Bonds are general obligations of the District only and are not obligations of the County of Kern, the State of California or any of its other political subdivisions. The Board of Supervisors of the County of Kern has the power and is obligated to levy and collect *ad valorem* property taxes for each fiscal year upon the taxable property of the District in an amount at least sufficient, together with other moneys available for such purpose, to pay the principal of, premium, if any, and interest on each Bond as the same becomes due and payable.

MATURITY SCHEDULE

On Inside Cover

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Bonds by BUILD AMERICA MUTUAL ASSURANCE COMPANY.



THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR QUICK REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS MUST READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

Pursuant to the terms of a public sale on February 2, 2022, the Bonds were awarded to Hilltop Securities Inc. (the "Original Purchaser") at a true interest cost of 2.924202%. The Bonds will be offered when, as and if issued and received by the Original Purchaser (as defined herein) subject to the approval of legality by Nixon Peabody LLP, San Francisco, California, Bond Counsel, and certain other conditions. Nixon Peabody LLP is acting as Disclosure Counsel for the issue. It is anticipated that the Bonds will be available for delivery in definitive form through the facilities of DTC on or about February 16, 2022.

Dated: February 2, 2022.

MATURITY SCHEDULE

\$33,000,000
BAKERSFIELD CITY SCHOOL DISTRICT
(Kern County, California)
General Obligation Bonds, Election of 2016, 2022 Series C
Base CUSIP[†]: 057507

Maturity (November 1)	Principal Amount	Interest Rate	Yield	CUSIP[†] Suffix
2023	\$1,030,000	5.000%	1.000%	MG7
2024	810,000	5.000	1.200	MH5
2025	25,000	5.000	1.350	MJ1
2026	25,000	5.000	1.450	MK8
2027	50,000	5.000	1.550	ML6
2028	115,000	5.000	1.600	MM4
2029	165,000	5.000	1.650	MN2
2030	285,000	5.000	1.700	MP7
2031	345,000	5.000	1.750	MQ5
2032	415,000	5.000	1.770 ^(C)	MR3
2033	480,000	5.000	1.800 ^(C)	MS1
2034	560,000	4.000	1.950 ^(C)	MT9
2035	635,000	4.000	2.000 ^(C)	MU6
2036	715,000	4.000	2.050 ^(C)	MV4
2037	655,000	4.000	2.100 ^(C)	MW2
2038	735,000	4.000	2.150 ^(C)	MX0
2039	825,000	4.000	2.180 ^(C)	MY8
2040	920,000	4.000	2.200 ^(C)	MZ5

\$2,120,000, 2.500% Term Bonds Maturing November 1, 2042, Yield: 2.658%; CUSIP No.[†] 057507NB7

\$5,420,000, 2.500% Term Bonds Maturing November 1, 2046, Yield: 2.839%; CUSIP No.[†] 057507NF8

\$16,670,000, 3.00% Term Bonds Maturing November 1, 2051, Yield: 3.000%; CUSIP No.[†] 057507NL5

^(C) Priced to optional call at par on November 1, 2031.

[†] CUSIP® is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services, managed by Standard & Poor's Financial Services LLC on behalf of The American Bankers Association. This information is not intended to create a database and does not serve in any way as a substitute for the CUSIP Services Bureau. CUSIP numbers have been assigned by an independent company not affiliated with the District or the Original Purchaser and are included solely for the convenience of the registered owners of the applicable Bonds. Neither the District nor the Original Purchaser is responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

This Official Statement does not constitute an offer to sell, the solicitation of an offer to buy, nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale. No dealer, broker, salesperson or other person has been authorized by the District to provide any information or to make any representations other than as contained herein and, if given or made, such other information or representation must not be relied upon as having been authorized by the District.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly described herein, are intended solely as such and are not to be construed as a representation of facts.

The information set forth herein, other than that provided by the District, has been obtained from sources which are believed to be reliable, but is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District.

The information and expressions of opinion herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. Although certain information set forth in this Official Statement has been provided by the County of Kern (the "County"), the County has not approved this Official Statement and is not responsible for the accuracy or completeness of the statements contained in this Official Statement.

IN CONNECTION WITH THIS OFFERING, THE ORIGINAL PURCHASER MAY OVER-ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED MAY BE DISCONTINUED AT ANY TIME. THE ORIGINAL PURCHASER MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS, INSTITUTIONAL INVESTORS, BANKS OR OTHERS AT PRICES LOWER OR HIGHER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE ORIGINAL PURCHASER.

This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

Statements included or incorporated by reference in the following information constitute "forward looking statements" within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended (the "Exchange Act"), and Section 27A of the United States Securities Act of 1933, as amended (the "Securities Act"). Such statements are generally identifiable by the terminology used such as "plan," "project," "expect," "estimate," "budget" or other similar words. The achievement of results or other expectations contained in forward looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by such forward looking statements. Actual results may differ from the District's forecasts. The District is not obligated and does not plan to issue any updates or revisions to the forward looking statements in any event.

Build America Mutual Assurance Company ("BAM") makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "BOND INSURANCE" and "APPENDIX F - SPECIMEN MUNICIPAL BOND INSURANCE POLICY."

The District maintains a website and a social media presence. However, the information presented thereon is not part of this Official Statement and should not be relied upon in making investment decisions with respect to the Bonds. The references to internet websites in this Official Statement are shown for reference and convenience only; unless explicitly stated to the contrary, the information contained within the websites is not incorporated herein by reference and does not constitute part of this Official Statement.

BAKERSFIELD CITY SCHOOL DISTRICT
Kern County, State of California

Board of Education

Lillian Tafoya, President
Laura Guerrero-Salgado, President Pro Tem
Shannon Zimmerman, Clerk
Dr. Chris Cruz-Boone, Clerk Pro Tem
Pam Baugher, Member

District Administrators

Mark Luque, Superintendent
Laura Orozco, Assistant Superintendent, Educational Services
Sherry Gladin, Assistant Superintendent, Business Services

SPECIAL SERVICES

Bond Counsel and Disclosure Counsel

Nixon Peabody LLP
San Francisco, California

Municipal Advisor

Fieldman, Rolapp & Associates, Inc.
Irvine, California

Paying Agent

Zions Bancorporation, National Association
Los Angeles, California

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\$33,000,000
BAKERSFIELD CITY SCHOOL DISTRICT
(Kern County, California)
General Obligation Bonds, Election of 2016, 2022 Series C

INTRODUCTION

General

The Bakersfield City School District (the “District”), a school district of the State of California (the “State”) proposes to issue \$33,000,000 aggregate principal amount of its General Obligation Bonds, Election of 2016, 2022 Series C (the “Bonds”), pursuant to the provisions of (i) Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California, as amended, (ii) applicable provisions of the Education Code of the State of California, as amended, (iii) Article XIII A of the California Constitution (collectively, the “Act”), and (iv) pursuant to a resolution adopted by the Board of Education of the District on January 25, 2022 (the “Resolution”) and bond authorization for the issuance and sale of not more than \$110,000,000 of general obligation bonds (the “2016 Authorization”) approved by more than 55% of the voters of the District voting at an election held on November 8, 2016 (the “2016 Election”).

The Bonds are the third issue under the 2016 Authorization, after which \$33,000,000 will remain for issuance of subsequent series of the District’s general obligation bonds under the 2016 Authorization.

THE BONDS ARE GENERAL OBLIGATION BONDS OF THE DISTRICT, SECURED BY AND PAYABLE FROM AD VALOREM PROPERTY TAXES ASSESSED ON TAXABLE PROPERTIES WITHIN THE DISTRICT, WITHOUT LIMITATION AS TO RATE OR AMOUNT. THE BONDS ARE NOT AN OBLIGATION OF THE GENERAL FUND OF THE DISTRICT OR OF THE COUNTY OF KERN (THE “COUNTY”). SEE “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS” HEREIN.

Proceeds from the sale of the Bonds will be applied to (i) the acquisition, construction, furnishing and equipping of certain District facilities included on the project list approved by the voters at the 2016 Election (the “Projects”), and (ii) the payment of costs of issuance of the Bonds. See “PLAN OF FINANCE.”

The District

The District was established in 1882 and is located in the southern San Joaquin Valley in the County. The District encompasses approximately 158 square miles and serves approximately 26,260 students. The District currently operates 34 elementary schools, 9 middle schools and junior high schools, one community day school and two alternative sites for special education. See APPENDIX A – “THE DISTRICT.”

The District has certain existing lease financing obligations and other general obligation bonds as set forth in APPENDIX A and under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS” and direct and overlapping bonded indebtedness as set forth under “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS – Direct and Overlapping Debt.” The District’s audited financial statements for fiscal year 2020-21 are attached hereto as APPENDIX C. For further information concerning the District, see APPENDIX A – “THE DISTRICT.”

Description of the Bonds

Form and Registration. The Bonds will be issued in fully registered form only, and will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”), who will act as securities depository for the Bonds. See “THE BONDS – Book-Entry-Only System” herein and APPENDIX E – “BOOK-ENTRY-ONLY SYSTEM” hereto. Purchasers of the Bonds (the “Beneficial Owners”) will not receive physical certificates representing their interests in the Bonds purchased. In the event that the book-entry-only system described herein is no longer used with respect to the Bonds, the Bonds will be registered in accordance with the Resolution.

So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the “Owners,” “Bondowners,” or “Holders” of the Bonds (other than under the caption “TAX MATTERS” will mean Cede & Co. and will not mean the Beneficial Owners of the Bonds.

Denominations. Individual purchases of interests in the Bonds will be available to purchasers of the Bonds in the denominations of \$5,000 principal amount, or any integral multiple thereof.

Redemption. The Bonds are subject to redemption prior to their stated maturity as further described herein. See “THE BONDS – Optional Redemption” and “– Mandatory Sinking Fund Redemption”

Payments. The Bonds will be dated as of their initial date of delivery (the “Date of Delivery”), and interest on the Bonds will accrue from the Date of Delivery, and is payable semiannually on each May 1 and November 1 of each year (each, an “Interest Payment Date”), commencing May 1, 2022. Principal of the Bonds is payable on November 1 of each year, as shown on the inside cover page hereof. Payments of the principal of and interest on the Bonds will be made by Zions Bancorporation, National Association, Paying Agent for the Bonds (the “Paying Agent”) to DTC for subsequent distribution through DTC Participants (as defined herein) to the Beneficial Owners of the Bonds.

Bond Owner’s Risks

The Bonds are general obligations of the District, payable from *ad valorem* property taxes which may be levied upon all taxable property in the District, without limitation as to rate or amount (except with respect to certain personal property which is taxable at limited rates). For more complete information regarding taxation of property within the District, see “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

The outbreak of a strain of coronavirus (“COVID-19”), a respiratory tract illness first identified in Wuhan, China, in late 2019, has spread to numerous countries across the globe, including the U.S. The District cannot predict the extent or duration of the pandemic or what overall impact it may have on the financial condition or operations of the District, or if there will be any impact on the assessed values of property within the District or collections or delinquencies of the *ad valorem* property taxes securing the Bonds. Projections, forecasts and budgets presented herein do not account for any unknown effects of COVID-19, unless specifically referenced. For further information concerning the potential effects of the COVID-19 (i) on the security and source of payment for the Bonds, see “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS – Appeals of Assessed Value; Proposition 8 Reductions” and “– Ad Valorem Property Taxes, Tax Rates, Levies, Collections and Delinquencies,” and (ii) on the District’s operations and finances, see APPENDIX A – “FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA – Risks Related to COVID-19.”

On June 28, 2021, the State Budget for the 2021-22 Fiscal Year (the “2021-22 State Budget”) was released and addressed the ongoing impact of the COVID-19 pandemic, as well as the status of the State’s recovery. See APPENDIX A – “FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA – Fiscal Year 2021-22 State Budget” for additional information on the effect of COVID-19 pandemic on the State and its funding of school districts.

Continuing Disclosure

Pursuant to that certain Continuing Disclosure Certificate relating to the Bonds, the District will covenant for the benefit of the Owners and Beneficial Owners of the Bonds to make available certain financial information and operating data relating to the District and to provide notices of the occurrence of certain listed events, in compliance with Rule 15c2-12 (the “Rule”) promulgated by the Securities and Exchange Commission. The specific nature of the information to be made available and of the notices of listed events is summarized under “LEGAL MATTERS – Continuing Disclosure” herein and in APPENDIX D – “FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto.

Professionals Involved in the Offering

Nixon Peabody LLP is acting as Bond Counsel and Disclosure Counsel to the District with respect to the Bonds. Nixon Peabody LLP will receive compensation from the District contingent upon the sale and delivery of the Bonds. Fieldman, Rolapp & Associates, Inc., Irvine, California, is acting as Municipal Advisor to the District with respect to the Bonds.

Forward-Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as “plan,” “intend,” “expect,” “estimate,” “project,” “budget,” or other similar words. Such forward-looking statements include, but are not limited to, certain statements contained in the information regarding the District herein.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES, AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED FROM SUCH FORWARD-LOOKING STATEMENTS. THE DISTRICT DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THE FORWARD-LOOKING STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

THE BONDS

Authority for Issuance and Security for the Bonds

The Bonds are general obligations of the District. The Bonds are being issued by the District under the provisions of the Act and pursuant to the Resolution.

Purpose of Issue

The District submitted a project list to the voters at the 2016 Election (the “Project List”), specifying the Projects from which a number of components will be financed with the proceeds of the Bonds. Details regarding the Project List and the proposed components to be financed are set forth under the caption “PLAN OF FINANCE” herein.

A portion of the net proceeds of sale of the Bonds, after payment of costs of issuance, shall be deposited into the Building Fund of the District and applied to the costs of certain of the Projects pursuant to the Resolution. Any excess proceeds of the Bonds not needed for the authorized purposes for which the Bonds are being issued shall be transferred to the Debt Service Fund and applied to the payment of the principal of and interest on the Bonds. Moneys in the Debt Service Fund are expected to be invested through the Kern County Treasury Pool. See “THE KERN COUNTY TREASURY POOL” herein.

Description of the Bonds

The Bonds will be dated their date of delivery and will be issued in authorized denominations of \$5,000 or any integral multiple thereof. The Bonds will be issued as current interest bonds with principal payable at the maturity dates of the Bonds or upon their earlier redemption.

The Bonds will be issued in fully registered form and, when issued, will be registered in the name of Cede & Co., as registered owner and nominee of DTC. DTC will act as securities depository for the Bonds. So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the Owners (as defined herein) or registered owners shall mean Cede & Co. as aforesaid, and shall not mean the Beneficial Owners (as defined herein) of the Bonds.

So long as Cede & Co. is the registered owner of the Bonds, principal of and interest or premium, if any, on the Bonds are payable by wire transfer of New York Clearing House or equivalent next-day funds or by wire transfer of same day funds by the Paying Agent to Cede & Co., as nominee for DTC. DTC is obligated, in turn, to remit such amounts to the DTC Participants (“DTC Participants”) for subsequent disbursement to the Beneficial Owners. Payments of principal and premium, if any, for any Bonds shall be made only upon the surrender of such Bonds to the Paying Agent. See APPENDIX E – “BOOK ENTRY ONLY SYSTEM” herein.

Payment of the Bonds

Interest on each Bond shall accrue from its dated date. Interest on the Bonds shall be computed using a year of 360 days comprised of twelve 30-day months and shall be payable on each Interest Payment Date, commencing May 1, 2022, to the registered owner (each, an “Owner”) thereof as of the close of business on the fifteenth calendar day of the month preceding any Interest Payment Date (whether or not such day is a business day) (a “Record Date”). Interest on each Bond will be payable from the Interest Payment Date next preceding the date of registration thereof, unless (i) it is registered after the close of business on any Record Date and before the close of business on the immediately following Interest Payment Date, in which event interest thereon shall be payable from such following

Interest Payment Date; or (ii) it is registered prior to the close of business on the first Record Date, in which event interest shall be payable from its dated date; provided, however, that if at the time of registration of any Bond interest thereon is in default, interest thereon shall be payable from the Interest Payment Date to which interest has previously been paid or made available for payment. Payments of interest on the Bonds will be made on each Interest Payment Date by check or draft of the Paying Agent sent by first-class mail, postage prepaid, to the Owner thereof on the Record Date, or by wire transfer to a bank account within the United States to any Owner of \$1,000,000 aggregate principal amount or more of such Bonds, to the account specified by such Owner in a written request delivered to the Paying Agent on or prior to the Record Date for such Interest Payment Date; provided, however, that payments of defaulted interest shall be payable to the person in whose name such Bond is registered at the close of business on a special record date fixed therefor by the Paying Agent, which shall not be more than 15 days and not less than ten days prior to the date of the proposed payment of defaulted interest.

Redemption

Optional Redemption. The Bonds maturing on or before November 1, 2031 are not subject to optional redemption prior to their respective stated maturity dates. The Bonds maturing on or after November 1, 2032, may be redeemed before maturity, at the option of the District, from any source of available funds, in whole or in part on any date on or after November 1, 2031, at par, together with interest accrued thereon to the date of redemption, without premium. For purposes of such selection, the Bonds will be deemed to consist of \$5,000 portions by principal amount, and any such portion may be separately redeemed.

Mandatory Sinking Fund Redemption. The Bonds maturing on November 1, 2042, are subject to mandatory sinking fund redemption prior to their stated maturity in part (by lot) on any November 1 on or after November 1, 2041, at a redemption price equal to 100% of their principal amount, together with accrued interest thereon to the date fixed for redemption, without premium, on the dates and in the aggregate principal amounts listed below:

Mandatory Sinking Fund Payment Date (November 1)	Mandatory Sinking Fund Payment
2041	\$1,015,000
2042 ⁽¹⁾	1,105,000

⁽¹⁾ Maturity.

The Bonds maturing on November 1, 2046, are subject to mandatory sinking fund redemption prior to their stated maturity in part (by lot) on any November 1 on or after November 1, 2043, at a redemption price equal to 100% of their principal amount, together with accrued interest thereon to the date fixed for redemption, without premium, on the dates and in the aggregate principal amounts listed below:

Mandatory Sinking Fund Payment Date (November 1)	Mandatory Sinking Fund Payment
2043	\$1,200,000
2044	1,300,000
2045	1,405,000
2046 ⁽¹⁾	1,515,000

⁽¹⁾ Maturity.

The Bonds maturing on November 1, 2051, are subject to mandatory sinking fund redemption prior to their stated maturity in part (by lot) on any November 1 on or after November 1, 2047, at a redemption price equal to 100% of their principal amount, together with accrued interest thereon to the date fixed for redemption, without premium, on the dates and in the aggregate principal amounts listed below:

Mandatory Sinking Fund Payment Date (November 1)	Mandatory Sinking Fund Payment
2047	\$2,215,000
2048	2,410,000
2049	3,735,000
2050	4,010,000
2051 ⁽¹⁾	4,300,000

⁽¹⁾ Final Maturity.

Selection of Bonds for Redemption

Whenever provision is made for the redemption of Bonds and less than all outstanding Bonds are to be redeemed, the Paying Agent, upon written instruction from the District, shall select Bonds for redemption in such order as the District may direct, or, in the absence of such direction, by lot. Within a maturity, the Paying Agent shall select Bonds for redemption in such order as the District may direct, or in the absence of such direction, by lot. Redemption by lot shall be in such manner as the Paying Agent shall determine; *provided, however*, that the portion of any Bond to be redeemed in part shall be in the principal amount of \$5,000 or any integral multiple thereof.

Notice of Redemption

When redemption is authorized or required pursuant to the Resolution, the Paying Agent, upon written instruction from the District, shall give notice (each, a "Redemption Notice") of the redemption of the Bonds. Such Redemption Notice shall specify: (a) the Bonds or designated portions thereof (in the case of any Bond to be redeemed in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers assigned to the Bonds to be redeemed, (f) the Bond numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the principal amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part. Such Redemption Notice shall further state that on the specified date there shall become due and payable upon each Bond or portion thereof being redeemed the redemption price thereof, together with the interest

accrued to the redemption date, and that from and after such date, interest on such Bonds shall cease to accrue and be payable.

The Paying Agent shall take the following actions with respect to each such Redemption Notice: (i) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice shall be given to the respective Owners of Bonds designated for redemption by first class mail, postage prepaid, at their addresses appearing on the Bond Register and to the Municipal Securities Rulemaking Board (or any other entity authorized by the Securities and Exchange Commission, the "MSRB"); (ii) in the event that the Bonds are no longer held in book-entry-only form, at least 35 but not more than 45 days before the redemption date, such Redemption Notice shall be given by (1) first-class mail, postage prepaid, (2) telephonically confirmed facsimile transmission or, (c) overnight delivery service, to each of the Securities Depositories and the MSRB.

"Securities Depositories" means DTC and, in accordance with then-current guidelines of the Securities and Exchange Commission, such other addresses and/or such other securities depositories as the District may designate in a certificate of the County delivered to the Paying Agent.

Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given shall affect the sufficiency of the proceedings for the redemption of the affected Bonds. Each check issued or other transfer of funds made by the Paying Agent for the purpose of redeeming Bonds shall bear the CUSIP number identifying, by series and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

Conditional Notice of Redemption

Any Redemption Notice may be made conditional upon the satisfaction of certain conditions and/or the receipt of sufficient moneys to pay the redemption price of the designated Bonds and may be rescinded by the District at any time prior to the scheduled date of redemption by so notifying the Paying Agent, who shall notify the Owners of the affected Bonds and the Information Services.

Partial Redemption of Bonds

Upon the surrender of any Bond redeemed in part only, the Paying Agent shall execute and deliver to the Owner thereof a new Bond or Bonds of like series, tenor and maturity and of authorized denominations equal in principal amounts to the unredeemed portion of the Bond surrendered. Such partial redemption shall be valid upon payment of the amount required to be paid to such Owner, and the County and the District shall be released and discharged thereupon from all liability to the extent of such payment.

Effect of Notice of Redemption

Notice having been given as required in the Resolution, and the moneys for redemption (including the interest to the applicable date of redemption) having been set aside in the District's Debt Service Fund or deposited with a duly appointed escrow agent, in trust, the Bonds to be redeemed shall become due and payable on such date of redemption.

If on such redemption date, money for the redemption of all the Bonds to be redeemed, together with interest to such redemption date, shall be held by the Paying Agent, or deposited with a duly appointed escrow agent, in trust, so as to be available therefor on such redemption date, and if notice of redemption thereof shall have been given and any conditions to such redemption have been met, then

from and after such redemption date, interest on the Bonds to be redeemed shall cease to accrue and become payable.

Transfer and Exchange

Any Bond may be exchanged for Bonds of like tenor, series, maturity and principal amount upon presentation and surrender at the principal office of the Paying Agent. A Bond may be transferred on the Bond Register only upon presentation and surrender of such Bond at the principal office of the Paying Agent together with an assignment executed by the Owner or a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent shall complete, authenticate and deliver a new Bond or Bonds of like tenor and of any authorized denomination or denominations equal to the principal amount of the Bond surrendered and bearing interest at the same rate and maturing on the same date.

Defeasance

All or any portion of the outstanding maturities of the Bonds may be defeased prior to maturity in the following ways:

(a) by paying or causing to be paid the principal of and premium, if any, and interest on such Bonds, and when the same become due and payable;

(b) by depositing with the Paying Agent, or with a duly appointed escrow agent, in trust, at or before maturity, cash which together with amounts then on deposit in the Debt Service Fund together with the interest to accrue thereon without the need for further investment, is fully sufficient to pay such Bonds on the redemption date or at maturity thereof, including any premium and all interest thereon; or

(c) by depositing with an escrow agent selected by the District in accordance with the Resolution, in trust, lawful money or noncallable direct obligations issued by the United States Treasury (including State and Local Government Series Obligations) or obligations which are unconditionally guaranteed by the United States of America, or "prerefunded" municipal obligations rated in the highest category by Moody's or S&P, and, with respect to any Bonds designated hereunder as exempt from federal income taxes, and permitted under Section 149(b) of the Code (defined below) and Regulations which, in the opinion of nationally recognized bond counsel, will not impair the exclusion from gross income for federal income tax purposes of interest on the Bonds, in such amount as will, together with the interest to accrue thereon without the need for further investment, be fully sufficient, in the opinion of a verification agent satisfactory to the District, to pay and discharge such Bonds at maturity or earlier redemption thereof, for which notice has been given or provided for, including any premium and all interest thereon.

Notwithstanding that any Bonds called for defeasance have not been surrendered for payment, all obligations of the District and the Paying Agent with respect to all such designated outstanding Bonds will cease and terminate. However, the obligation of the Paying Agent to pay or cause to be paid all sums thereon, and the obligation of the District to pay the Paying Agent certain amounts due under the Resolution, shall not terminate.

Book-Entry-Only System

The Bonds will be issued under a book-entry system, evidencing ownership of the Bonds in principal amounts, of \$5,000 or integral multiples thereof, with no physical distribution of Bonds made to the public. DTC will act as depository for the Bonds, which will be immobilized in their custody. The Bonds will be registered in the name of Cede & Co., as nominee for DTC. For further information regarding DTC and the book-entry system, see APPENDIX E hereto.

PLAN OF FINANCE

The District intends to apply the net proceeds of sale of the Bonds to finance various capital improvements included on the Project List and to pay the costs of issuance of the Bonds. The Board of Education retains the ability to set priorities among listed Projects, in order to meet the needs of the District and its students.

The 2016 Election Project List includes, but it is not limited to, the following components:

- Repair, upgrade and replace worn-out leaking roofs,
- Replace and upgrade existing wiring systems or install new wiring systems to meet current electrical and accessibility codes,
- Add electrical service capacity to relieve currently overloaded electrical systems in older buildings,
- Replace existing water, sewer, plumbing and storm drain systems to conserve or reclaim water and meet current codes, including the elimination of lead-containing fixtures,
- Upgrade aging and deteriorating restrooms,
- Upgrade, renovate and equip classrooms, physical education facilities, science and other laboratories, playgrounds, libraries, auditoriums, gymnasiums, multipurpose rooms, and cafeterias,
- Construct new school facilities, including gymnasiums and playgrounds,
- Provide outdoor lunch shelters for students,
- Prepare and restore sites in connection with new construction, renovation or remodeling, or installation or removal of relocatable classrooms,
- Address unforeseen conditions revealed by construction or modernization (e.g., plumbing or gas line breaks, dry rot, seismic, structural, asbestos, etc),
- Upgrade facilities to comply with Federal and State-mandated Americans with Disabilities Act handicap accessibility requirements,
- Install new security systems, such as security (surveillance) cameras, outdoor lighting, walkways and classroom and school door locks,
- Remove or abate asbestos, lead paint, mold and other hazardous materials from older buildings,

- Retrofit buildings for earthquake security,
- Upgrade emergency communication systems,
- Upgrade fire alarm systems, repair and replace fire safety equipment, add sprinklers and fire safety doors, as necessary,
- Replace/upgrade existing signage, bells and clocks,
- Install, replace, upgrade fencing and gates to improve school security,
- Repair, replace, renovate and upgrade deteriorated plumbing to ensure safe drinking water for students,
- Upgrade and replace physical education equipment and facilities to meet current safety standards,
- Install energy-efficient systems, including solar panels, energy-efficient heating, ventilation, air conditioning and cooling systems for cost savings and energy efficiency,
- Replace existing window systems with energy-efficient systems,
- Replace older ceilings, heating, ventilation, air conditioning and lighting systems with building code-compliant, energy-efficient systems,
- Update computer and science labs,
- Upgrade and expand wireless systems, telecommunications and internet access,
- Upgrade and replace hardware and software systems.

ESTIMATED SOURCES AND USES OF FUNDS

The proceeds of the Bonds are expected to be applied as follows:

<i>Sources of Funds</i>	
Principal Amount	\$33,000,000.00
Net Original Issue Premium	1,122,143.65
Total Sources	<u>\$34,122,143.65</u>
 <i>Uses of Funds</i>	
Deposit to Building Fund	\$32,532,656.25
Deposit to Debt Service Fund	1,122,143.65
Costs of Issuance ⁽¹⁾	467,343.75
Total Uses	<u>\$34,122,143.65</u>

⁽¹⁾ Includes payment of Bond and Disclosure Counsel fees, Original Purchaser's discount, Municipal Advisor fees, Paying Agent fees, insurance premium, rating agency fees, Preliminary Official Statement and Official Statement printing and other costs of issuance.

DEBT SERVICE SCHEDULE

The following table summarizes the debt service requirements for the Bonds and the other outstanding general obligation bonds of the District (the “Outstanding Bonds”) assuming no optional redemption:

Year Ending November 1	Outstanding Bonds Debt Service ⁽¹⁾	The Bonds		Total Debt Service
		Principal Amount	Interest	
2022	\$ 7,692,742		\$763,335	\$8,456,077
2023	6,062,302	\$1,030,000	1,077,650	8,169,952
2024	6,190,676	810,000	1,026,150	8,026,826
2025	6,447,509	25,000	985,650	7,458,159
2026	6,601,257	25,000	984,400	7,610,657
2027	6,537,779	50,000	983,150	7,570,929
2028	6,717,626	115,000	980,650	7,813,276
2029	6,889,675	165,000	974,900	8,029,575
2030	6,922,203	285,000	966,650	8,173,853
2031	7,102,040	345,000	952,400	8,399,440
2032	7,286,924	415,000	935,150	8,637,074
2033	7,350,520	480,000	914,400	8,744,920
2034	7,414,871	560,000	890,400	8,865,271
2035	7,665,471	635,000	868,000	9,168,471
2036	7,964,171	715,000	842,600	9,521,771
2037	8,223,859	655,000	814,000	9,692,859
2038	8,522,240	735,000	787,800	10,045,040
2039	8,841,515	825,000	758,400	10,424,915
2040	8,070,270	920,000	725,400	9,715,670
2041	8,373,615	1,015,000	688,600	10,077,215
2042	8,683,610	1,105,000	663,225	10,451,835
2043	9,003,480	1,200,000	635,600	10,839,080
2044	9,334,994	1,300,000	605,600	11,240,594
2045	9,690,908	1,405,000	573,100	11,669,008
2046	10,048,363	1,515,000	537,975	12,101,338
2047	9,619,930	2,215,000	500,100	12,335,030
2048	2,360,375	2,410,000	433,650	5,204,025
2049	-	3,735,000	361,350	4,096,350
2050	-	4,010,000	249,300	4,259,300
2051	-	4,300,000	129,000	4,429,000
Total	<u>\$205,618,925</u>	<u>\$33,000,000</u>	<u>\$22,608,585</u>	<u>\$261,227,510</u>

⁽¹⁾ Does not reflect subsidy payments payable on the 2012 Series B Qualified School Construction Bonds and 2015 Series E Qualified School Construction Bonds.

SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

General

The Bonds are general obligations of the District, and the Board of Supervisors of the County has the power and is obligated to levy and collect *ad valorem* taxes upon all property within the District subject to taxation by the County, without limitation as to rate or amount (except certain personal property which is taxable at limited rates) for payment of both principal of and interest on the Bonds. Subsequent to the issuance of the Bonds, \$33,000,000 will remain for issuance of additional general obligation bonds under the 2016 Authorization.

Assessed Valuations

The assessed valuation of property in the District is established by the County Assessor, except for public utility property which is assessed by the State Board of Equalization. Assessed valuations are reported at 100% of the full value of the property, as defined in Article XIII A of the California Constitution. See “CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS” herein.

The State-reimbursed exemption currently provides a credit of \$7,000 of the full value of an owner-occupied dwelling for which application has been made to the County Assessor. The revenue estimated to be lost to local taxing agencies due to the exemption is reimbursed from State sources. Reimbursement is based upon total taxes due upon such exempt value and is not reduced by any amount for estimated or actual delinquencies.

In addition, certain classes of property such as churches, colleges, not-for-profit hospitals and charitable institutions are exempt from property taxation and do not appear on the tax rolls. No reimbursement is made by the State for such exemptions.

Economic and other factors beyond the District’s control, such as a decline in general economic conditions or a general market decline in land values, changes in supply and demand for real property in the area, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by State and local agencies and property used for qualified educational, hospital, charitable or religious purposes), or other government regulations such as zoning, or the complete or partial destruction of taxable property caused by natural or manmade disaster such as earthquake, fire or wildfire, flood, toxic dumping, etc., or outbreaks of infectious disease (including the COVID-19 pandemic) could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the annual tax rate to be levied to pay the principal of and interest on the District’s outstanding general obligation bonds, including the Bonds. See “– Effect of Natural Disasters on Assessed Valuations” herein.

For fiscal year 2021-22, the total assessed valuation of property within the District’s boundaries is \$11,010,822,242. Shown in the following tables are the assessed valuations of property in the District during the past four fiscal years and current fiscal year, the assessed valuation and parcels by land use of property in the District for the 2021-22 fiscal year, per parcel assessed valuation of single-family homes in the District for the 2021-22 fiscal year, the assessed valuation by jurisdiction for the 2021-22 fiscal year and the twenty largest secured taxpayers in the District for fiscal year 2021-22.

**BAKERSFIELD CITY SCHOOL DISTRICT
SUMMARY OF ASSESSED VALUATIONS
FISCAL YEARS 2015-16 THROUGH 2019-20**

Fiscal Year	Local Secured	Utility	Unsecured	Total
2017-18	\$9,075,376,175	\$3,342,623	\$336,790,922	\$9,415,509,720
2018-19	9,532,575,010	2,625,482	326,966,329	9,862,166,821
2019-20	9,830,295,917	2,695,228	324,937,262	10,157,928,407
2020-21	10,320,687,962	3,546,208	328,716,795	10,652,950,965
2021-22	10,677,542,621	3,545,819	329,733,802	11,010,822,242

Sources: California Municipal Statistics, Inc.

**BAKERSFIELD CITY SCHOOL DISTRICT
2021-22 ASSESSED VALUATION AND PARCELS BY LAND USE**

	2021-22 Assessed Valuation ⁽¹⁾	% of Total	No. of Parcels	% of Total
<u>Non-Residential:</u>				
Agricultural	\$ 42,380,664	0.40%	301	0.52%
Commercial	1,258,320,465	11.78	3,198	5.58
Vacant Commercial	63,834,859	0.60	562	0.98
Professional/Office	709,428,720	6.64	967	1.69
Industrial	433,572,164	4.06	752	1.31
Vacant Industrial	49,652,412	0.47	445	0.78
Recreational	66,702,411	0.62	92	0.16
Government/Social/Institutional	111,906,438	1.05	1,723	3.00
Miscellaneous	138,212,738	1.29	292	0.51
Oil & Gas/ Mineral Rights	290,500,690	2.72	134	0.23
Subtotal Non-Residential	\$3,164,511,561	29.64%	8,466	14.76%
<u>Residential:</u>				
Single Family Residence	\$5,865,925,174	54.94%	37,317	65.07%
Condominium/Townhouse	147,713,376	1.38	1,538	2.68
Mobile Home	67,937,772	0.64	2,086	3.64
Mobile Home Park	42,403,043	0.40	36	0.06
2-4 Residential Units	738,412,003	6.92	4,537	7.91
5+ Residential Units/Apartments	499,939,408	4.68	654	1.14
Vacant Residential	150,700,284	1.41	2,717	4.74
Subtotal Residential	\$7,513,031,060	70.36%	48,885	85.24%
Total	\$10,677,542,621	100.00%	57,351	100.00%

⁽¹⁾ Local Secured Assessed Valuation, excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

BAKERSFIELD CITY SCHOOL DISTRICT
PER PARCEL 2021-22 ASSESSED VALUATION OF SINGLE-FAMILY HOMES

	No. of Parcels	2021-22 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
Single Family Residential	37,317	\$5,865,925,174	\$157,192	\$133,742

2021-22 Assessed Valuation	No. of Parcels⁽¹⁾	% of Total	Cumulative % of Total	Total Valuation	% of Total	Cumulative % of Total
\$0 - \$24,999	647	1.734%	1.734%	\$11,747,296	0.200%	0.200%
\$25,000 - \$49,999	3,066	8.216	9.950	120,718,723	2.058	2.258
\$50,000 - \$74,999	4,313	11.558	21.508	269,456,994	4.594	6.852
\$75,000 - \$99,999	4,728	12.670	34.177	414,486,532	7.066	13.918
\$100,000 - \$124,999	4,385	11.751	45.928	492,491,902	8.396	22.314
\$125,000 - \$149,999	3,979	10.663	56.591	545,023,522	9.291	31.605
\$150,000 - \$174,999	3,486	9.342	65.932	564,811,879	9.629	41.234
\$175,000 - \$199,999	2,899	7.769	73.701	542,268,806	9.244	50.478
\$200,000 - \$224,999	2,296	6.153	79.854	486,281,430	8.290	58.768
\$225,000 - \$249,999	1,875	5.025	84.878	443,546,559	7.561	66.329
\$250,000 - \$274,999	1,401	3.754	88.633	366,859,071	6.254	72.583
\$275,000 - \$299,999	1,114	2.985	91.618	319,622,672	5.449	78.032
\$300,000 - \$324,999	815	2.184	93.802	253,957,612	4.329	82.362
\$325,000 - \$349,999	551	1.477	95.278	185,395,200	3.161	85.522
\$350,000 - \$374,999	386	1.034	96.313	139,729,645	2.382	87.904
\$375,000 - \$399,999	326	0.874	97.186	126,066,668	2.149	90.053
\$400,000 - \$424,999	203	0.544	97.730	83,627,830	1.426	91.479
\$425,000 - \$449,999	159	0.426	98.156	69,370,296	1.183	92.662
\$450,000 - \$474,999	112	0.300	98.456	51,590,468	0.879	93.541
\$475,000 - \$499,999	79	0.212	98.668	38,470,264	0.656	94.197
\$500,000 and greater	497	1.332	100.000	340,401,805	5.803	100.000
	37,317	100.000%		\$5,865,925,174	100.000%	

⁽¹⁾ Improved single-family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

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**BAKERSFIELD CITY SCHOOL DISTRICT
2021-22 ASSESSED VALUATION BY JURISDICTION**

<u>Jurisdiction:</u>	<u>Assessed Valuation in School District</u>	<u>% of School District</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>% of Jurisdiction in School District</u>
City of Bakersfield	\$7,956,345,862	72.26%	\$34,188,663,708	23.27%
Unincorporated Kern County	3,054,476,380	27.74	54,090,171,833	5.65
Total District	<u>\$11,010,822,242</u>	100.00%		
Kern County	\$11,010,822,242	100.00%	\$99,319,674,670	11.09%

Source: California Municipal Statistics, Inc.

**BAKERSFIELD CITY SCHOOL DISTRICT
2021-22 LARGEST LOCAL SECURED TAXPAYERS**

<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2021-22 Assessed Valuation</u>	<u>% of Total⁽¹⁾</u>
1. MacPherson Oil Co.	Oil & Gas Production	\$164,709,384	1.54%
2. California Water Service Company	Water Company	138,648,082	1.30
3. Chevron USA Inc.	Oil & Gas Production	111,344,850	1.04
4. FM Baker LLC	Office Building	36,496,806	0.34
5. Excel Realty Partners LP	Shopping Center	32,609,563	0.31
6. Kaiser Foundation Health Plan Inc.	Office Building	31,076,220	0.29
7. DP Cal Corporate Plaza LP	Office Building	28,239,560	0.26
8. Bakersfield Convention Hotel I LLC	Hotel	26,573,011	0.25
9. Rio Bravo Medical Campus LLC	Office Building	24,074,795	0.23
10. Twin Towers LLC	Office Building	23,801,050	0.22
11. Nickel Family LLC	Agricultural	19,358,586	0.18
12. Memorial Medical Plaza LLC	Office Building	19,009,359	0.18
13. Maya Bakersfield Cinemas LLC	Movie Theater	18,781,277	0.18
14. Peter P. Bollinger 2003 LLC	Shopping Center	18,752,256	0.18
15. Lee Development LLC	Office Building	17,216,000	0.16
16. Shadow Ridge Apartments LLC	Apartments	17,176,757	0.16
17. Wal Mart Real Estate Business Trust	Commercial	16,895,666	0.16
18. Catalina Barber Corp.	Industrial	16,806,068	0.16
19. Erwin LLC	Office Building	16,121,160	0.15
20. ATA Properties LLC	Office Building	<u>16,036,123</u>	<u>0.15</u>
		<u>\$793,726,573</u>	7.43%

⁽¹⁾ 2021-22 Local Secured Assessed Valuation: \$10,677,542,621.

Source: California Municipal Statistics, Inc.

Effect of Natural Disaster on Assessed Valuations

As referenced under “– Assessed Valuations” herein, assessed valuations are subject to change in each year and such changes may result from a variety of factors, including natural disasters. In recent years, there have been several notable natural disasters in the State. These include drought conditions, which led to a State-wide drought State of Emergency issued in January, 2014, and certain executive orders issued in 2015 and 2016, aimed at reducing water usage in local communities. Regional drought

emergencies were declared in 2017 for Fresno, Kings, Tuolumne and Tulare counties in 2017. Governor Gavin Newsom declared regional drought emergencies for Sonoma and Mendocino counties on April 21, 2021 in response to continued drought conditions in 2020 and 2021 throughout the State. Additionally, due to extraordinarily warm temperatures and accelerated rates of snow melt in the spring of 2021, on May 10, 2021, the Governor issued a proclamation placing 39 counties in the State under a drought state of emergency. In addition, major wildfires have occurred in recent years in different regions of the State, including significant fires throughout the fall of 2020. The District did not sustain any property losses as a result of these recent fires. However, serious and significant property damage has resulted in other areas of the State due to fire damage.

On August 27, 2018, the California Natural Resources Agency released its Fourth Climate Change Assessment, which included as key findings that the frequency of drought and the amount of acreage consumed by wildfire in the State would both increase in the future. This report details significant economic impacts to the State as a result of these and other natural disasters. The report is publicly available at <http://www.climateassessment.ca.gov>. The reference to this website is included for convenience only; the information contained within the website may not be current, has not been reviewed by the District and is not incorporated herein by this reference.

The District cannot predict or make any representation regarding the effects that natural disasters, such as fire or wildfire, outbreaks of disease (including the current COVID-19 pandemic), drought or extended drought conditions, earthquakes or other natural or man-made conditions have or may have on the value of taxable property within the District, or to what extent the effects of such natural disasters might have on economic activity within the District or throughout the State. See below under the heading “– Appeals and Potential Reduction of Assessed Valuations.” See also “– Proposition 50 and Proposition 171” below for a discussion of reductions to assessed valuations related to property destruction.

Appeals of Assessed Value; Proposition 8 Reductions

A property owner may appeal a county assessor’s determination of assessed value based on Proposition 8, passed by the voters in November 1978 (“Proposition 8”), or based on a challenge to the base year value.

Proposition 8 requires that for each January 1 lien date, the taxable value of real property must be the lesser of its base year value, annually adjusted by the inflation factor pursuant to Article XIII A of the State Constitution, or its full cash value, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property or other factors causing a decline in value. Property owners may apply for a Proposition 8 reduction of their property tax assessment with the County board of equalization or assessment appeals board. In most cases, an appeal is based on the property owner’s belief that market conditions cause the property to be worth less than its current assessed value. Proposition 8 reductions may also be unilaterally applied by the county assessor.

Any reduction in the assessed value granted as a result of a Proposition 8 appeal, or unilateral reassessment by the county assessor, applies to the year for which the application or reassessment is made. These reductions are subject to annual review and the assessed values are adjusted back to the original values when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it becomes subject to the annual inflationary factor growth rate allowed under Article XIII A.

Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is made and thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of change of ownership or new construction date.

In addition to the above-described taxpayer appeals, county assessors may independently reduce assessed valuations based on changes in the market value of property, or for other factors such as the complete or partial destruction of taxable property caused by natural or man-made disasters, such as earthquakes, floods, fire, drought or other toxic contamination pursuant to relevant provisions of the State Constitution. Such reductions are subject to yearly reappraisals by the County Assessor and may be adjusted back to their original values when real estate market conditions improve. Once property has regained its prior assessed value, adjusted for inflation, it once again is subject to the annual inflationary growth rate factor allowed under the State Constitution.

The COVID-19 pandemic has resulted in substantial economic disruption and may result in future disruption that causes a general market decline in property values therefore affecting the assessed value of property in the District. For more information on the impact of the COVID-19 pandemic, see APPENDIX A – “FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA – Risks Related to COVID-19.”

The District cannot predict the changes in assessed values that might result from pending or future appeals by taxpayers. Any reduction in aggregate assessed valuation of property within the District due to appeals, as with any reduction in assessed valuation due to other causes, will result in an increase of the tax rate levied upon all property subject to taxation within the District for the payment of principal of and interest on the Bonds, when due.

California Senate Bill 222

On July 13, 2015, the Governor of the State (the “Governor”) signed Senate Bill 222 (“SB 222”) into law, effective January 1, 2016, to clarify the process of lien perfection for general obligation bonds issued by or on behalf of California school and community college districts. By clarifying that the lien created with each general obligation bond issuance is a “statutory” lien (consistent with bankruptcy statutory law and case precedent), SB 222, while it does not prevent default, should reduce the ultimate bankruptcy risk of non-recovery on local general obligation bonds, and thus potentially improve ratings, interest rates and bond cost of issuance. See “LEGAL MATTERS – Limitations on Remedies; – California Senate Bill SB 222; and – Special Revenues” herein for more information on SB 222.

Proposition 50 and Proposition 171

On June 3, 1986, the voters of the State approved Proposition 50. Proposition 50 amends Section 2 of Article XIII A of the State Constitution to allow owners of property that was “substantially damaged or destroyed” by a disaster, as declared by the Governor (the “Damaged Property”), to transfer their existing base year value (the “Original Base Year Value”) to a comparable replacement property within the same county, which is acquired or constructed within five years after the disaster. At the time of such transfer, the Damaged Property will be reassessed at its full cash value immediately prior to damage or destruction (the “Original Cash Value”); however, such property will retain its base year value notwithstanding such a transfer. Property is substantially damaged or destroyed if either the land or the improvements sustain physical damage amounting to more than 50% of either the land or improvements full cash value immediately prior to the disaster. There is no filing deadline, but the assessor can only correct four years of assessments when the owner fails to file a claim within four years of acquiring a replacement property.

Under Proposition 50, the base year value of the replacement property (the “Replacement Base Year Value”) depends on the relation of the full cash value of the replacement property (the “Replacement Cash Value”) to the Original Cash Value: if the Replacement Cash Value exceeds 120% of the Original Cash Value, then the Replacement Base Year Value is calculated by combining the Original Base Year Value with such excessive Replacement Cash Value; if the Replacement Cash Value

does not exceed 120% of the Original Cash Value, then the Replacement Base Year Value equals the Original Base Year Value; if the Replacement Cash Value is less than the Original Cash Value, then the Replacement Base Year Value equals the Replacement Cash Value. The replacement property must be comparable in size, utility, and function to the Damaged Property.

On November 2, 1993, the voters of the State approved Proposition 171. Proposition 171 amends subdivision (e) of Section 2 of Article XIII A of the State Constitution to allow owners of Damaged Property to transfer their Original Base Year Value to a “comparable replacement property” located within another county in the State, which is acquired or newly constructed within three years after the disaster.

Intra-county transfers under Proposition 171 are more restrictive than inter-county transfers under Proposition 50. For example, Proposition 171 (1) only applies to (a) structures that are owned and occupied by property owners as their principal place of residence and (b) land of a “reasonable size that is used as a site for a residence;” (2) explicitly does not apply to property owned by firms, partnerships, associations, corporations, companies, or legal entities of any kind; (3) only applies to replacement property located in a county that adopted an ordinance allowing Proposition 171 transfers; (4) claims must be timely filed within three years of the date of purchase or completion of new construction; and (5) only applies to comparable replacement property, which has a full cash value that is of “equal or lesser value” than the Original Cash Value.

Within the context of Proposition 171, “equal or lesser value” means that the amount of the Replacement Cash Value does not exceed either (1) 105% of the Original Cash Value when the replacement property is acquired or constructed within one year of the destruction, (2) 110% of the Original Cash Value when the replacement property is acquired or constructed within two years of the destruction, or (3) 115% of the Original Cash Value when the replacement property is acquired or constructed within three years of the destruction.

Ad Valorem Property Taxes, Tax Rates, Levies, Collections and Delinquencies

Taxes are levied for each fiscal year on taxable real and personal property which is situated in the County as of the preceding January 1. However, upon a change in ownership of property or completion of new construction, State law permits an accelerated recognition and taxation of increases in real property assessed valuation (known as a “floating lien date”). For assessment and collection purposes, property is classified either as “secured” or “unsecured” and is listed accordingly on separate parts of the assessment roll. The “secured roll” is that part of the assessment roll containing State assessed property secured by a lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Other property is assessed on the “unsecured roll.”

The County levies a 1% property tax on behalf of all taxing agencies in the County. The taxes collected are allocated on the basis of a formula established by State law enacted in 1979. Under this formula, the County and all other taxing entities receive a base year allocation plus an allocation on the basis of “situs” growth in assessed value (new construction, change of ownership, inflation) prorated among the jurisdictions which serve the tax rate areas within which the growth occurs. Tax rate areas are specifically defined geographic areas which were developed to permit the levying of taxes for less than county-wide or less than city-wide special and school districts. In addition, the County levies and collects additional approved property taxes and assessments on behalf of any taxing agency within the County.

Property taxes on the secured roll are due in two installments, on November 1 and February 1. If unpaid, such taxes become delinquent after December 10 and April 10, respectively, then a ten percent penalty attaches to any delinquent payment. In addition, property on the secured roll with respect to

which taxes are delinquent is declared tax-defaulted on or about June 30. Such property may thereafter be redeemed by payment of the delinquent taxes and the delinquency penalty, plus costs and redemption penalty of one and one-half percent per month to the time of redemption. If taxes are unpaid for a period of five years or more, the tax-defaulted property is subject to sale by the Treasurer and Tax Collector of the County (the “Treasurer”).

Property taxes on the unsecured roll are currently due as of the January 1 lien date prior to the commencement of a fiscal year and become delinquent, if unpaid, on August 31. A ten percent penalty attaches to delinquent taxes on property on the unsecured roll and an additional penalty of one and one-half percent per month begins to accrue on November 1. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the taxpayer; (2) filing a certificate in the office of the County Clerk specifying certain facts in order to obtain a judgment lien on certain property of the taxpayer; (3) filing a certificate of delinquency for recordation in the County Recorder’s office in order to obtain a lien on certain property of the taxpayer; and (4) seizure and sale of personal property, improvements, bank accounts or possessory interests belonging or assessed to the taxpayer.

The County levies and collects all property taxes for property falling within its taxing boundaries. The District cannot predict the level of delinquent property tax payments due to the COVID-19 pandemic, or whether further action will be taken by the State with respect to property tax payment or deadlines or delinquent payment of property taxes. The District cannot anticipate how the County will proceed with requests to cancel penalties on late property tax payments or any potential future adjustments to property tax payments related to COVID-19 or other events outside the control of the District, and cannot predict whether future property tax deadlines will remain in effect, the extent of delinquencies and delayed tax collections, or the impact of any such delay or delinquencies on the District’s financial conditions or operations. The County has adopted the Teeter Plan (as described below), according to which the County distributes to the District the amount levied on the secured and supplemental tax rolls, instead of the amount actually collected. The District’s receipt of property taxes is therefore not currently subject to delinquencies. The District cannot confirm that the County will always maintain the Teeter Plan or will have sufficient funds available to distribute the full amount of the District’s share of property tax levies to the District. See “– Teeter Plan” herein. However, State law requires each County to levy *ad valorem* property taxes sufficient to pay debt service on the Bonds when due. If delinquencies increase substantially as a result of the unprecedented events of the COVID-19 pandemic or other events outside the control of the District, the County does have the authority to increase allowances for annual reserves in the tax levy to avoid fluctuating tax levies. However, no representation can be made that the County will levy for any such reserve, or that any such levy will be able to make up for a shortfall in *ad valorem* tax collections in any particular year.

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Tax Charges and Delinquencies

The County's secured roll tax charges and corresponding delinquencies with respect to property located in the District for the five-year period from fiscal years 2016-17 through 2020-21 are set forth in the following tables.

BAKERSFIELD CITY SCHOOL DISTRICT SECURED TAX CHARGES AND DELINQUENCIES FISCAL YEARS 2016-17 THROUGH 2020-21

Fiscal Year	Secured Tax Charge⁽¹⁾	Amount Delinquent June 30	% Delinquent June 30
2016-17	\$2,149,345.88	\$45,423.98	2.11%
2017-18	5,190,448.98	108,746.94	2.10
2018-19	5,023,969.10	108,377.85	2.16
2019-20	4,755,387.93	117,423.38	2.47
2020-21	5,853,223.29	109,283.64	1.87

Fiscal Year	Secured Tax Charge⁽²⁾	Amount Delinquent June 30	% Delinquent June 30
2016-17	\$17,498,176.33	\$239,331.46	1.37%
2017-18	18,200,924.20	216,483.65	1.19
2018-19	19,046,632.39	242,174.11	1.27
2019-20	19,014,660.27	310,039.15	1.63
2020-21	20,551,194.20	260,989.70	1.27

(1) Bond debt service levy.

(2) 1% General Fund apportionment.

Source: California Municipal Statistics, Inc.

Teeter Plan

The County has adopted the alternative method of secured property tax apportionment available under Chapter 3, Part 8, Division 1 (commencing with Section 4701) of the Revenue and Taxation Code of the State (also known as the "Teeter Plan"). This alternative method provides for funding each taxing entity included in the Teeter Plan with its total secured property taxes during the year the taxes are levied, including any amount uncollected at fiscal year-end. Under the Teeter Plan, the County assumes an obligation under a debenture or similar demand obligation to advance funds to cover expected delinquencies, and, by such financing, its general fund receives the full amount of secured property taxes levied each year and, therefore, no longer experiences delinquent taxes. In addition, the County's general fund benefits from future collections of penalties and interest on all delinquent taxes collected on behalf of participants in this alternative method of apportionment.

Upon adopting the Teeter Plan, the County was required to distribute to participating local agencies 95% of the then-accumulated, secured roll property tax delinquencies and to place the remaining 5% in a tax losses reserve fund. Taxing entities that maintain funds in the County Treasury are all included in the Teeter Plan; other taxing entities may elect to be included in the Teeter Plan. Taxing

entities that do not elect to participate in the Teeter Plan will be paid as taxes are collected. Since the District maintains funds in the County Treasury, the District is included in the Teeter Plan.

The Teeter Plan is to remain in effect unless the Board of Supervisors of the County orders its discontinuance or unless, prior to the commencement of any fiscal year of the County (which commences on July 1), the County Board of Supervisors shall receive a petition for its discontinuance joined in by resolutions adopted by two-thirds of the participating revenue districts in the County, in which event the Board of Supervisors is to order discontinuance of the Teeter Plan effective at the commencement of the subsequent fiscal year. In the event that the Teeter Plan was terminated, receipt of revenue of *ad valorem* taxes in the District would depend upon the collections of the *ad valorem* property taxes and delinquency rates experienced with respect to the parcels within the District. The District knows of no consideration by the County to discontinue the Teeter Plan.

There can be no assurance that either County will always maintain the Teeter Plan or will have sufficient funds available to distribute the full amount of the District's share of property tax collections to the District. The ability of the County to maintain the Teeter Plan may depend on its financial resources and may be affected by future property tax delinquencies. Property tax delinquencies may be impacted by economic and other factors beyond the District's or the County's control, including the ability or willingness of property owners to pay property taxes during an economic recession or depression. An economic recession or depression could be caused by many factors outside the control of the District, including high interest rates, reduced consumer confidence, reduced real wages or reduced economic activity as a result of the spread of COVID-19 or other pandemic or natural or manmade disaster. see APPENDIX A – "FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA – Risks Related to COVID-19." However, notwithstanding any possible future change to or discontinuation of the Teeter Plan, State law requires each County to levy *ad valorem* property taxes sufficient to pay the Bonds when due.

Tax Rates

The following table sets forth typical tax rates levied in Tax Rate Area (1-001) for fiscal years 2017-18 through 2021-22.

BAKERSFIELD CITY SCHOOL DISTRICT TYPICAL TOTAL TAX RATES (TRA 1-001)⁽¹⁾

	2017-18	2018-19	2019-20	2020-21	2021-22
1% General Fund Levy	1.000000%	1.000000%	1.000000%	1.000000%	1.000000%
Kern County Water Agency	.078509	.070662	.081159	.079122	.079056
Bakersfield City School District	.052231	.044857	.039897	.046594	.038548
Kern High School District	.053319	.051182	.053189	.048529	.041744
Kern Community College District SFID No. 1	.021837	.021330	.018785	.020778	.024568
Kern Community College District SRID	.014412	.012338	.014243	.013073	.014041
Total All Property	1.220308%	1.200369%	1.207273%	1.208809%	1.197957%

⁽¹⁾ 2021-22 assessed valuation of TRA 1-001 is \$1,560,360,776 which is 14.17% of the district's total assessed valuation.
Source: California Municipal Statistics, Inc.

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Certain Existing Obligations

District voters authorized the District to issue \$100,000,000 in general obligation bonds at an election held on November 7, 2006 (the “2006 Authorization”). Currently, \$17,193,381 of authorized but unissued general obligations remain under the 2006 Authorization. District voters authorized the District to issue \$110,000,000 in the 2016 Authorization. In 2020, the District issued \$22,000,000 aggregate principal amount of its General Obligation Bonds, Election of 2016, 2020 Series B under the 2016 Authorization.

At the end of the District’s fiscal year, it had \$682,261,686 in long-term liabilities. This represents an increase of 7.7% of its fiscal year 2019-20 amount of \$633,702,241. The District’s outstanding liabilities are listed below:

	Balance July 1, 2020	Balance June 30, 2021
General obligation bonds	\$117,574,554	\$114,782,124
Unamortized premiums/(discounts)	3,533,182	3,294,727
Capital leases	2,317,244	2,166,318
Compensated absences	1,868,405	2,879,219
Claims liability	12,156,751	12,558,803
Other postemployment benefits	110,140,997	117,230,021
Aggregate net pension liability	386,111,108	429,350,474
Totals	<u>\$633,702,241</u>	<u>\$682,261,686</u>

Source: The District.

COVID-19 recession-driven revenue reductions anticipated at the 2020-21 State Budget drove the need to defer funding for school districts, growing to more than \$11 billion in fiscal year 2020-21. The 2021-22 State Budget eliminates all K-12 deferrals in fiscal year 2021-22. See “APPENDIX A – FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA – Fiscal Year 2021-22 State Budget” herein. Should major reductions and deferrals materialize and be significant in future fiscal years, the District may need to rely on interfund borrowing, its existing reserves, or the issuance of tax and revenue anticipation notes to manage cash flow during such fiscal years.

Direct and Overlapping Debt

Numerous local agencies which provide public services overlap the District’s service area. These local agencies have outstanding debt in the form of general obligation, lease revenue and special assessment bonds. The following is a direct and overlapping debt report (the “Debt Report”) prepared by California Municipal Statistics, Inc., dated November 4, 2021 and showing debt as of December 1, 2021. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

Column 1 in the table names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the District in whole or in part. Column 2 shows the percentage of

each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in Column 3, which is the apportionment of each overlapping agency's outstanding debt to taxable property in the District.

BAKERSFIELD CITY SCHOOL DISTRICT DIRECT AND OVERLAPPING BONDED INDEBTEDNESS

2021-22 Assessed Valuation: \$11,010,822,242

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 12/1/21</u>
Kern Community College District School Facilities Improvement District	11.157%	\$ 10,337,316
Kern Community College District Safety, Repair and Improvement District	11.227	10,633,213
Kern High School District	17.517	61,299,202
Bakersfield City School District	100.	101,116,619⁽¹⁾
California Statewide Communities Development Authority		
Community Facilities District No. 2015-02	100.	10,140,000
City of Bakersfield 1915 Act Bonds	100.	<u>3,841,696</u>
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$197,368,046
 <u>OVERLAPPING GENERAL FUND DEBT:</u>		
Kern County Certificates of Participation	11.086%	\$ 9,572,995
Kern County Pension Obligation Bonds	11.086	13,509,629
Kern County Board of Education Certificates of Participation	11.086	3,750,948
Kern County Community College District Certificates of Participation	9.982 ⁽²⁾	2,605,601
Kern County Community College District Benefit Obligation Bonds	9.982 ⁽²⁾	7,432,098
Bakersfield City School District General Fund Obligations	100.	2,113,138
City of Bakersfield General Fund Obligations	23.272	<u>698,160</u>
TOTAL OVERLAPPING GENERAL FUND DEBT		\$39,682,569
 <u>OVERLAPPING TAX INCREMENT DEBT (Successor Agencies):</u>		\$1,901,247
 COMBINED TOTAL DEBT		\$238,951,862⁽³⁾

⁽¹⁾ Excludes general obligation bonds to be sold.

⁽²⁾ Fiscal Year 2020-21 ratio.

⁽³⁾ Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Ratios to 2021-22 Assessed Valuation:

Direct Debt (\$101,116,619)	0.92%
Total Direct and Overlapping Tax and Assessment Debt.....	1.79%
Combined Direct Debt (\$103,229,757)	0.94%
Combined Total Debt	2.17%

Ratios to Redevelopment Incremental Valuation (\$1,154,313,940):

Total Overlapping Tax Increment Debt.....	0.16%
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Source: California Municipal Statistics, Inc.

CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS

Article XIII A of the California Constitution

Article XIII A of the California Constitution limits the amount of any *ad valorem* tax on real property to one percent (1%) of the full cash value thereof, except that additional *ad valorem* taxes may be levied to pay debt service on indebtedness approved by the voters prior to July 1, 1978 and on bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness. Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment.” The full cash value may be increased at a rate not to exceed two percent per year to account for inflation.

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The one percent (1%) property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1989.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the two percent annual adjustment are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property is shown at full market value on the tax rolls, with tax rates expressed as \$1 per \$100 of taxable value. All taxable property value included in this Official Statement is shown at 100% of market value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Prospective purchasers of the Bonds should be aware that, notwithstanding any decrease in assessed valuation for any fiscal year, the County is required to levy sufficient taxes to pay debt service on the Bonds. The consequence of any decrease in assessed valuation is a corresponding increase in the tax rate on taxable property so that sufficient tax revenues may be collected from taxpayers to cover debt service on the Bonds in full.

Property Tax Base Transfer (Proposition 19)

At the November 2020 Statewide election, voters enacted changes to certain property tax rules (“Proposition 19”) which: (i) expand special rules that give property tax savings to homeowners that are over the age of 55, severely disabled, or whose property has been impacted by a natural disaster or contamination, when they buy a different home; (ii) narrow existing special rules for inherited properties; and (iii) broaden the scope of legal entity ownership changes that trigger reassessment of properties. The

District cannot make any assurance as to what effect the implementation of Proposition 19 will have on assessed valuation of real property in the District.

Article XIII B of the California Constitution

Under Article XIII B of the California State Constitution, state and local government entities have an annual “appropriations limit” and are not permitted to spend certain moneys which are called “appropriations subject to limitation” (consisting of tax revenues, state subventions and certain other funds) in an amount higher than the “appropriations limit.” Article XIII B does not affect the appropriations of moneys which are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the “appropriations limit” is to be based on certain 1978-79 expenditures, and is to be adjusted annually to reflect changes in consumer prices, populations, and services provided by these entities. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

Unitary Property

Assembly Bill 454 (Chapter 921, Statutes of 1986) (“AB 454”) provides that revenues derived from most utility property assessed by the State Board of Equalization (“Unitary Property”) are allocated as follows: (1) each jurisdiction will receive up to 102% of its prior year State-assessed revenue; and (2) if county-wide revenues generated from Unitary Property are less than the previous year’s revenues or greater than 102% of the previous year’s revenues, each jurisdiction will share the burden of the shortfall or excess revenues by a specified formula. This provision applies to all Unitary Property except railroads, whose valuation will continue to be allocated to individual tax rate areas.

The State electric utility industry has experienced significant changes in its structure and in the way in which components of the industry are regulated and owned. Sale of electric generation assets to largely unregulated, nonutility companies may affect how those assets are assessed, and which local agencies are to receive the property taxes. The District is unable to predict the impact of these changes on its utility property tax revenues, or whether legislation may affect ownership of utility assets or the State’s methods of assessing utility property and the allocation of assessed value to local taxing agencies, including the District. So long as the District is not a basic aid district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State’s school financing formula. See “Funding of School Districts in California” in APPENDIX A hereto.

Proposition 46

On June 3, 1986, California voters approved Proposition 46, which added an additional exemption to the 1% tax limitation imposed by Article XIII A. Under this amendment to Article XIII A, local governments and school and community college districts may increase the property tax rate above 1% for the period necessary to retire new, general obligation bonds, if two-thirds of those voting in a local election approve the issuance of such bonds and the money raised through the sale of the bonds is used exclusively to purchase or improve real property.

Proposition 39

On November 7, 2000, California voters approved Proposition 39, called the “Smaller Classes, Safer Schools and Financial Accountability Act” (“Proposition 39”) which amends Section 1 of Article XIII A, Section 18 of Article XVI of the California Constitution and Section 47614 of the

California Education Code and allows an alternative means of seeking voter approval for bonded indebtedness by 55% of the vote, rather than the two-thirds majority required under Section 18 of Article XVI of the Constitution. The 55% voter requirement applies only if the bond measure submitted to the voters includes, among other items: (1) a restriction that the proceeds of the bonds may be used for “the construction, reconstruction, rehabilitation, or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities,” (2) a list of projects to be funded and a certification that the school district board has evaluated “safety, class size reduction, and information technology needs in developing that list” and (3) that annual, independent performance and financial audits will be conducted regarding the expenditure and use of the bond proceeds.

Section 1(b)(3) of Article XIII A has been added to exempt the one percent (1%) *ad valorem* tax limitation that Section 1(a) of Article XIII A of the Constitution levies, to pay bonds approved by 55% of the voters, subject to the restrictions explained above.

The California Legislature enacted AB 1908, Chapter 44, which became effective upon passage of Proposition 39 and amends various sections of the Education Code. Under amendments to Section 15268 and 15270 of the Education Code, the following limits on *ad valorem* taxes apply in any single election: (1) for an elementary and high school district, indebtedness shall not exceed \$30 per \$100,000 of taxable property, (2) for a unified school district, indebtedness shall not exceed \$60 per \$100,000 of taxable property, and (3) for a community college district, indebtedness shall not exceed \$25 per \$100,000 of taxable property. Finally, AB 1908 requires that a citizens’ oversight committee must be appointed who will review the use of the bond funds and inform the public about their proper usage.

Proposition 98

On November 8, 1988, voters approved Proposition 98, a combined initiative, constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (“Proposition 98”). Proposition 98 guarantees K-14 schools a minimum share of the State General Fund revenues. Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), K-14 schools are guaranteed the greater of (a) 40.9% of State General Fund revenues (the “first test”), or (b) the amount appropriated to K-14 schools in the prior year, adjusted for changes in the cost-of-living (measured as in Article XIII B by reference to per capita personal income) and enrollment (the “second test”), or (c) a “third test” which would replace the second test in any year when the percentage growth in per capita State General Fund revenues from the prior year plus 1/2 of 1% is less than the percentage growth in the State per capita personal income. Under the third test, schools would receive the amount appropriated in the prior year adjusted for changes in enrollment and per capita State General Fund revenues, plus an additional small adjustment factor. If the third test is used in any year, the difference between the third test and the second test would become a “credit” to schools which would be paid in future years when State General Fund revenue growth exceeds personal income growth.

Proposition 98 permits the Legislature by two-thirds vote of both houses, with the Governor’s concurrence, to suspend this minimum funding formula for a one-year period, and any corresponding reduction in funding for that year will not be paid in subsequent years. However, in determining the funding level for the succeeding year, the formula base for the prior year will be reinstated as if such suspension had not taken place. The Legislature has suspended payment on a number of occasions since voters approved Proposition 98.

Proposition 98 also changes how tax revenues in excess of the State Appropriations Limit are distributed. “Excess” tax revenues are determined based on a two-year cycle, so that the State could avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal

year were under its limit. After any two-year period, if there are excess State tax revenues, 50% of the excess would be transferred to K-14 schools, with the balance returned to taxpayers. Further, any excess State tax revenues transferred to K-14 schools are not built into the school districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit will not be increased by this amount.

Propositions 1A and 22

Proposition 1A (SCA 4), proposed by the State Legislature in connection with the 2004-05 State budget and approved by the voters in November 2004, provides that the State may not reduce any local sales tax rate, limit existing local government authority to levy a sales tax rate or change the allocation of local sales tax revenues, subject to certain exceptions. Proposition 1A generally prohibits the State from shifting to schools or community colleges any share of property tax revenues allocated to local governments for any fiscal year, as set forth under the laws in effect as of November 3, 2004. Any change in the allocation of property tax revenues among local governments within a county must be approved by two-thirds of both houses of the State Legislature. Proposition 1A provides, however, that beginning in Fiscal Year 2008-09, the State may shift to schools and community colleges up to 8% of local government property tax revenues, which amount must be repaid, with interest, within three years, if the Governor proclaims that the shift is needed due to a severe state financial hardship, the shift is approved by two-thirds of both houses of the State Legislature and certain other conditions are met. The State may also approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Pursuant to Proposition 1A, if the State reduces the Vehicle License Fee rate below 0.65 percent of vehicle value, the State must provide local governments with equal replacement revenues. Further, Proposition 1A required the State, beginning March 1, 2006, to suspend mandates affecting cities, counties and special districts, schools or community colleges, excepting mandates relating to employee rights, in any year that the State does not fully reimburse local governments for their costs of compliance with such mandates.

Prohibitions on Diverting Local Revenues for State Purposes. Beginning in fiscal year 1992-93, the State satisfied a portion of its Proposition 98 obligations by shifting part of the property tax revenues otherwise belonging to cities, counties, special districts, and redevelopment agencies, to school and college districts through a local Educational Revenue Augmentation Fund ("ERAF") in each county. Local agencies, objecting to invasions of their local revenues by the State, sponsored a statewide ballot initiative intended to eliminate the practice. In response, the State Legislature proposed an amendment to the State Constitution, which the State's voters approved as Proposition 1A at the November 2004 election. That measure was generally superseded by the passage of a new initiative constitutional amendment at the November 2010 election, known as "Proposition 22."

The effect of Proposition 22 is to prohibit the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services. It prevents the State from redirecting redevelopment agency property tax increment to any other local government, including school districts, or from temporarily shifting property taxes from cities, counties and special districts to schools, as in the ERAF program. This is intended to, among other things, stabilize local government revenue sources by restricting the State's control over local property taxes. One effect of this amendment will be to deprive the State of fuel tax revenues to pay debt service on most State bonds for transportation projects, reducing the amount of State general fund resources available for other purposes, including education.

Prior to the passage of Proposition 22, the State invoked Proposition 1A to divert \$1.935 billion in local property tax revenues in fiscal year 2009-10 from cities, counties, and special districts to the State to offset State general fund spending for education and other programs, and included another diversion in

the adopted fiscal year 2009-10 State budget of \$1.7 billion in local property tax revenues from local redevelopment agencies. Because Proposition 22 reduces the State's authority to use or reallocate certain revenue sources, fees and taxes for State general fund purposes, the State will have to take other actions to balance its budget, such as reducing State spending or increasing State taxes, and school and college districts that receive Proposition 98 or other funding from the State will be more directly dependent upon the State's General Fund.

On December 30, 2011, the California Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos*, finding ABx1 26, a trailer bill to the 2011-12 State Budget, to be constitutional. As a result, all redevelopment agencies in California were dissolved as of February 1, 2012, and all net tax increment revenues, after payment of redevelopment bonds debt service and administrative costs, will be distributed to cities, counties, special districts and K-14 school districts. The Court also found that ABx1 27, a companion bill to ABx1 26, violated the California Constitution, as amended by Proposition 22. ABx1 27 would have permitted redevelopment agencies to continue operations provided their establishing cities or counties agreed to make specified payments to K-14 school districts and county offices of education, totaling \$1.7 billion statewide. The District is unable to predict what affect the implementation of ABx1 26 will have on the District's future receipt of tax increment revenues.

As a result of the dissolution of California redevelopment agencies and ABx1 26, the tax increment previously paid to redevelopment agencies shall first be used to pay pass-through payments to other taxing entities and second to pay the redevelopment agencies enforceable obligations; with the remaining revenue (if any) paid to the taxing entities by the County Auditor-Controller in the same proportion as other tax revenue. The District does not expect to have any of its property tax payments deferred as a result of the dissolution of area redevelopment agencies.

Proposition 30 and Proposition 55

The passage of the Governor's November Tax Initiative ("Proposition 30") on November 6, 2012, resulted in an increase in the State sales tax by a quarter-cent for four years and, for seven years, raises taxes on individuals after their first \$250,000 in income and on couples after their first \$500,000 in earnings. These increased tax rates affect approximately one percent of California personal income tax filers and originally were to be in effect until the conclusion of the 2018 tax year. On November 8, 2016, voters approved Proposition 55, which extended the temporary tax increases created by Proposition 30 through the 2030 tax year. The State Office of Legislative Analyst (the "LAO") estimated that, as a result of Proposition 30, additional state tax revenues of about \$6 billion annually from fiscal years 2012-13 through 2016-17 would be received by the State, with lesser amounts of additional revenue available in fiscal years 2017-18 and later. Proposition 30 also placed into the State Constitution certain requirements related to the transfer of certain State program responsibilities to local governments, mostly counties, including incarcerating certain adult offenders, supervising parolees, and providing substance abuse treatment services.

Proposition 30 provides additional tax revenues aimed at balancing the State's budget to help fund existing State programs, end K-14 education payment delays and pay other State debts. Future actions of the State Legislature and the Governor will determine the use of these funds. According to the LAO, revenues raised by Proposition 30 could be subject to multibillion-dollar swings, above or below the revenues projections, due to the fact that the majority of the additional revenue comes from personal income tax rate increases on upper-income taxpayers. The fluctuations in incomes of upper-income taxpayers will impact potential State revenue and could complicate State budgeting in future years. After the tax increases expire, the loss of the associated tax revenues could create additional budget pressure in subsequent years.

Revenues generated from this tax increase are included in the calculation of the Proposition 98 minimum funding guarantee for school and community college districts and are deposited into the Education Protection Account created pursuant to Proposition 30 (the “EPA”). See “—Proposition 98” herein. Pursuant to Proposition 30, funds in the EPA are allocated quarterly, with approximately 89% of such funds provided to school districts and approximately 11% to community college districts, which are then distributed to districts in the same manner as existing unrestricted per-student funding. However, no school district shall receive less than \$200 per unit of Average Daily Attendance (the “ADA”) and no community college district shall receive less than \$100 per full-time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how moneys received from the EPA are spent, provided that governing boards may not use any of such funds for salaries or benefits for administrators or any other administrative costs. District ADA and enrollment may be impacted by the ongoing outbreak of COVID-19. See APPENDIX A – “FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA – Risks Related to COVID-19.”

The District cannot predict the effect that the loss of revenues generated from the Proposition tax increase may have on total State revenues or the effect on the Proposition 98 formula for funding schools, should the tax not be further extended.

Proposition 2

On November 4, 2014, voters approved Proposition 2, also referred to as the “Rainy Day Budget Stabilization Fund Act.” Proposition 2 changed the State’s existing requirements for the Budget Stabilization Account (“BSA”) and establishes a Public School System Stabilization Account (“PSSSA”).

Proposition 2 limits the ability of the Governor to suspend or reduce transfers to the BSA. Specifically, the Governor would have to declare a “budget emergency,” defined in Article XIIB of the State Constitution or determine that (A) there are insufficient resources to maintain general fund expenditures for the current year at the highest level of spending in the three most recent fiscal years, or (B) it is made in response to a natural or man-made emergency. Any such declaration must be followed by a legislative bill passed by a majority vote of each house. If a budget emergency exists and the State elects to make a withdrawal from the BSA, the State may withdraw the lesser of (i) the amount needed to maintain General Fund spending at the highest level of the past three enacted budget acts; and (ii) fifty percent of the balance of the BSA.

Proposition 2 also requires the State Controller to deposit annually 1.5% of general fund revenues and an amount equal to revenues derived from capital gains-related taxes in situations where such tax revenues are in excess of 8% of general fund revenues. Deposits to the BSA will be made until the BSA balance reaches an amount equal to 10% of general fund revenues. Additionally, from 2015-16 to 2029-30, half of any required transfers to the BSA must be allocated to reduce certain state liabilities, such as unfunded state-level pension plans and making certain payments owed to K-14 school districts.

The PSSSA will be funded by the capital gains-related tax revenues in excess of 8% of general fund revenues. The State may deposit amounts into the PSSSA only after certain conditions are met, including the payment of all amounts owing to school districts under the Proposition 98 maintenance factor and the existence of a “Test 1” year under Proposition 98.

State legislation (Senate Bill 858, as amended by Senate Bill 751) established certain limits on the amount that school districts are permitted to maintain in their reserve funds in any given period. These limits, often referred to as the “school district reserve cap,” can be triggered upon deposits into the PSSSA. If deposits in the PSSSA in a fiscal year equal or exceed 3% of the combined general fund revenues provided to school districts under Proposition 98, then a school district will be restricted from

exceeding 10% of such funds in its general fund reserves in the immediately following fiscal year, among other provisions. Draws on amounts in the BSA, PSSSA and other State reserves in the 2021-22 fiscal year and beyond are described further under APPENDIX A – “FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA – Fiscal Year 2021-22 State Budget” herein.

Proposition 51

At the November 8, 2016 Election, voters in the State approved the California Public School Facility Bonds Initiative, (“Proposition 51”). Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds to fund the construction and modernization of school facilities for both community colleges and K-12 schools within the state. The District has received \$18,826,494 in Proposition 51 funds over the past two years and anticipates receiving an additional \$7,247,171 in funding during the 2021-22 fiscal year. The District expects to continue pursuing financing pursuant to Proposition 51 for future school construction and modernization facility projects.

Specifically, the \$9 billion will be shared between a State School Facilities Fund and a California Community College Capital Outlay Bond Fund. The funds can then be used to allocate bond revenue in the following manner:

- \$3 billion for construction of new K-12 school district facilities;
- Another \$3 billion for the modernization of K-12 public school sites, which includes repairs to outdated facilities to increase earthquake and fire safety, removing asbestos, technology upgrades and other health and safety improvements;
- \$500 million for various charter school facilities;
- \$500 million for career technical education facilities;
- \$2 billion for California community college facility construction and modernization.

The State issues general obligation bonds for facility projects. Typically, K-12 schools can submit proposals for such projects to the State Office of Public School Construction for both modernization and new construction. If the project is approved, the school district will receive State grant funding and in turn the school district must contribute local funding to such projects. If sufficient local funding is unavailable, the school district may potentially receive the full project cost via State grant funding. Career technical education and charter school facilities face a similar approval process. Community college districts, on the other hand, must submit requests for facility projects to the Chancellor of the community college system. Selected projects are eventually approved and funded as part of the annual State budget. A scoring system is used to determine the State and local contributions for these community college sites.

The impact that Proposition 51 will generally have on school district behavior is unclear. Some school districts may spend less local funds given the greater support of state funding. However, school districts may decide to spend more local funds by proposing an increased number of facility projects with the knowledge that additional state funding could be available. It is also possible that school districts make no changes to their number of proposals for construction and modernization projects.

Article XIIC and XIID of the California Constitution

On November 5, 1996, an initiative to amend the California Constitution known as the “Right to Vote on Taxes Act” (“Proposition 218”) was approved by a majority of California voters. Proposition 218 added Articles XIIC and XIID to the State Constitution and requires majority voter approval for the imposition, extension or increase of general taxes and 2/3 voter approval for the

imposition, extension or increase of special taxes by a local government, which is defined in Proposition 218 to include counties. Proposition 218 also provides that any general tax imposed, extended or increased without voter approval by any local government on or after January 1, 1995, and prior to November 6, 1996 shall continue to be imposed only if approved by a majority vote in an election held within two years following November 6, 1996. All local taxes and benefit assessments which may be imposed by public agencies will be defined as “general taxes” (defined as those used for general governmental purposes) or “special taxes” (defined as taxes for a specific purpose even if the revenues flow through the local government’s general fund) both of which would require a popular vote. New general taxes require a majority vote and new special taxes require a two-thirds vote. Proposition 218 also extends the initiative power to reducing or repealing local taxes, assessments, fees and charges, regardless of the date such taxes, assessments or fees or charges were imposed, and lowers the number of signatures necessary for the process. In addition, Proposition 218 limits the application of assessments, fees and charges and requires them to be submitted to property owners for approval or rejection, after notice and public hearing.

The District has no power to impose taxes except property taxes associated with a general obligation bond election, following approval by 55% or 2/3 of the District’s voters, depending upon the Article of the Constitution under which it is passed. Under previous law, the District could apply provisions of the Landscape and Lighting Act of 1972 to create an assessment district for specified purposes, based on the absence of a majority protest. Proposition 218 significantly reduces the ability of the District to create such special assessment districts.

Proposition 218 has no effect upon the District’s ability to pursue approval of a general obligation bond issue under Proposition 46 or a Mello-Roos Community Facilities District bond issue in the future, which have special Constitutional authority or are already subject to a 2/3 vote, although certain procedures and burdens of proof may be altered slightly. Any assessments, fees or charges levied or imposed by any assessment district created by the District will become subject to the election requirements of Proposition 218 as described above, a more elaborate notice and balloting process and other requirements. The District is unable to predict the nature of any future challenges to Proposition 218 or the extent to which, if any, Proposition 218 may be held to be unconstitutional.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C, Article XIII D and Propositions 98, 46 and 39 were each adopted as measures that qualified for the ballot pursuant to the State’s initiative process. From time to time, other initiative measures could be adopted, further affecting the District’s revenues or their ability to expend revenues.

THE KERN COUNTY TREASURY POOL

The following information concerning the Kern County Treasury Pool (the “Investment Pool” or “Pool”) has been provided by the Treasurer and has not been confirmed or verified by the District or the Original Purchaser. No representation is made herein as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date. Amounts held in the District’s name in the Pool are not pledged to the payment of debt service on the Bonds.

Under the California Education Code, the District is required to pay all moneys received from any source into the County of Kern Treasury to be held on behalf of the District. The Pool consists of monies deposited with the Treasurer by County departments and agencies, school districts, certain non-County

governmental agencies and special assessment districts. Most of the Pool's depositors are required by State law to invest their excess moneys in the Pool.

Each depositor is assigned a distinct fund number within the Investment Pool. Cash represented by the fund balances is commingled in a Pooled Cash Portfolio for investment purposes; no funds are segregated for separate investment. Investments are selected from those authorized by California Government Code Section 53635. Authorized investments include obligations of the United States Treasury, agencies of the United States government, federally sponsored enterprises, local and State bond issues, bankers acceptances, commercial paper of prime quality, collateralized and negotiable certificates of deposit, repurchase and reverse repurchase agreements, medium term corporate notes, shares of beneficial interest in diversified management companies (mutual funds), and asset backed (including mortgage related) and pass-through securities.

Each calendar year, the Treasurer prepares an Annual Statement of Investment Policy (the "Investment Policy") that sets the framework for the investment practices relating to the County treasury. Legislation enacted in 1996 and effective January 1, 1997, requires that the Investment Policy be filed and approved by the Board in open session. Additionally, the Board must determine whether to delegate investment authority to the Treasurer each year. Failure to so delegate transfers investment responsibility to the Board itself. The Board of Supervisors approved the current Investment Policy as presented by the Treasurer and delegated investment responsibility to the Treasurer on December 7, 2021. Having been so approved, the Investment Policy may not be changed without Board approval.

The approved Investment Policy provides that the County's investment objectives are "safety and liquidity of all investments within the County investment pool, while obtaining a reasonable return within established investment guidelines." The Investment Policy provides that no more than 6% of the assets in the Pool can be invested in the securities of any single issuer other than the United States Treasury and agencies of the United States government. Investments in reverse repurchase agreements are limited to 10% of the total Pool and must always be matched in maturity to the reinvestment. Additionally, no investment will be made in any security whose coupon rate varies inversely with general credit market rates.

In accordance with California law, the Kern County Board of Supervisors created an eleven-member Treasury Oversight Committee (the "TOC") on April 2, 1996. The statutory role of the TOC is to review the Investment Policy as prepared by the Treasurer and make recommendations to the Board, to monitor policy compliance as well as investment performance and to cause an annual independent audit to be performed. The TOC meets semi-annually to accomplish its tasks.

The following tables present information with respect to the Pool as of December 31, 2021. As described above, a wide range of investments is authorized under State law and the Investment Policy. Therefore, there can be no assurance that the investments in the Pool will not vary significantly from the investments described below. In addition, the value of various investments in the Pool will fluctuate on a daily basis as a result of several factors, including generally prevailing interest rates and other economic conditions. For further information concerning County investments, access the County's website: <http://www.kcttc.co.kern.ca.us>.

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The following table identifies the types of securities held by the Pool as of December 31, 2021.

KERN COUNTY TREASURER – TAX COLLECTOR
Pooled Cash Portfolio Report
(as of December 31, 2021 – amounts in 1,000's)

Asset	Par Amount	Original Cost	Market Value	Original Yield	Percent of Total Assets	Policy Limit Rating	Days to Maturity
Local Agency Investment Fund	\$74,845,256	\$74,845,256	\$74,845,256	0.22%	1.55%	\$75 Million	1
California Asset Management Program	284,864,614	284,864,614	284,864,614	0.05	5.92	10%	1
CalTRUST	11,573,085	11,573,085	11,573,085	0.03	0.24	10%	1
Bank Sweep (ICS)	15,094,104	15,094,104	15,094,104	0.21	0.31	10%	1
U.S. Treasuries	1,692,500,000	1,732,200,372	1,711,571,608	0.77	35.56	100%	1,039
Federal Agencies	980,434,000	988,829,344	987,700,652	1.17	20.52	75%	660
Municipal Bonds	81,000,000	81,758,700	82,071,630	1.83	1.71	10%	699
Supranationals	220,506,000	226,098,993	223,574,473	1.08	4.64	10%	659
Negotiable CDs	606,000,000	605,979,118	605,644,596	0.22	12.58	30%	184
Commercial Paper	225,000,000	224,815,556	224,859,512	0.17	4.67	40%	84
Corporate Notes	650,994,000	654,019,231	657,938,587	1.97	13.67	30%	589
Total Securities	\$4,842,811,059	\$4,900,078,372	\$4,879,738,117	0.89%	101.38%	-	648
Total Cash	\$(66,259,294)	\$(66,259,294)	\$(66,259,294)	-	(1.38)%	-	-
Total Assets	\$4,776,551,765	\$4,833,819,079	\$4,813,478,823	-	100.00%	-	-

Source: Kern County Treasurer.

None of the District, the Municipal Advisor or the Original Purchaser has made an independent investigation of the investments in the Pool nor have they made any assessment of the current County Investment Policy. The value of the various investments in the Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Treasurer, with the consent of the Treasury Oversight Committee and the County Board of Supervisors, may change the County Investment Policy at any time. Therefore, there can be no assurance that the values of the various investments in the Pool will not vary significantly from the values described herein.

LEGAL OPINION

The legal opinion of Nixon Peabody LLP, Bond Counsel to the District (“Bond Counsel”), attesting to the validity of the Bonds, will be supplied to the original purchasers of the Bonds without charge. The form of legal opinion that will be delivered with the Bonds is attached hereto as APPENDIX B. Bond Counsel will receive compensation contingent upon the sale and delivery of the Bonds.

TAX MATTERS

Federal Income Taxes

The Internal Revenue Code of 1986, as amended (the “Code”) imposes certain requirements that must be met subsequent to the issuance and delivery of the Bonds for interest thereon to be and remain excluded from gross income for federal income tax purposes. Noncompliance with such requirements could cause the interest on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issue of the Bonds. Pursuant to the Resolution and the Tax and Nonarbitrage Certificate executed by the District in connection with the issuance of the Bonds (the “Tax Certificate”), the District has covenanted to comply with the applicable requirements of the Code in order to maintain the exclusion of the interest on the Bonds from gross income for federal income tax purposes pursuant to Section 103 of the Code. In addition, the District has made certain representations and certifications in the Resolution and the Tax Certificate. Bond Counsel will not independently verify the accuracy of those representations and certifications.

In the opinion of Nixon Peabody LLP, Bond Counsel, under existing law and assuming compliance with the aforementioned covenant, and the accuracy of certain representations and certifications made by the District described above, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code. Bond Counsel is also of the opinion that such interest is not treated as a preference item in calculating the alternative minimum tax imposed under the Code.

In rendering these opinions, Bond Counsel has relied upon representations and covenants of the District in the Tax Certificate concerning the property financed with Bond proceeds, the investment and use of Bond proceeds and the rebate to the federal government of certain earnings thereon. In addition, Bond Counsel has assumed that all such representations are true and correct and that the District will comply with such covenants. Bond Counsel has expressed no opinion with respect to the exclusion of the interest on the Bonds from gross income under Section 103(a) of the Code in the event that any of such District representations are untrue or the District fails to comply with such covenants, unless such failure to comply is based on the advice or the opinion of Bond Counsel.

State Taxes

Bond Counsel is also of the opinion that interest on the Bonds is exempt from personal income taxes of the State of California under present State law. Bond counsel expresses no opinion as to other state or local tax consequences arising with respect to the Bonds nor as to the taxability of the Bonds or the income therefrom under the laws of any state other than California.

Original Issue Discount

Bond Counsel is further of the opinion that the excess of the principal amount of any maturity of the Bonds over its issue price (i.e., the first price at which price a substantial amount of such maturity of the Bonds was sold to the public, excluding bond houses, brokers or similar persons or organizations acting in the capacity of underwriters or wholesalers) (each, a “Discount Bond” and collectively, the “Discount Bonds”) constitutes original issue discount which is excluded from gross income for federal income tax purposes to the same extent as interest on the Bonds. Further, such original issue discount accrues actuarially on a constant interest rate basis over the term of each Discount Bond and the basis of each Discount Bond acquired at such issue price by an initial purchaser thereof will be increased by the amount of such accrued original issue discount. The accrual of original issue discount may be taken into account as an increase in the amount of tax-exempt income for purposes of determining various other tax consequences of owning the Discount Bonds, even though there will not be a corresponding cash payment. Owners of the Discount Bonds are advised that they should consult with their own advisors with respect to the state and local tax consequences of owning such Discount Bonds.

Original Issue Premium

Bonds sold at prices in excess of their principal amounts are “Premium Bonds”. An initial purchaser with an initial adjusted basis in a Premium Bond in excess of its principal amount will have amortizable bond premium which is not deductible from gross income for federal income tax purposes. The amount of amortizable bond premium for a taxable year is determined actuarially on a constant interest rate basis over the term of each Premium Bond based on the purchaser’s yield to maturity (or, in the case of Premium Bonds callable prior to their maturity, over the period to the call date, based on the purchaser’s yield to the call date and giving effect to any call premium). For purposes of determining gain or loss on the sale or other disposition of a Premium Bond, an initial purchaser who acquires such obligation with an amortizable bond premium is required to decrease such purchaser’s adjusted basis in such Premium Bond annually by the amount of amortizable bond premium for the taxable year. The amortization of bond premium may be taken into account as a reduction in the amount of tax-exempt income for purposes of determining various other tax consequences of owning such Bonds. Owners of the Premium Bonds are advised that they should consult with their own advisors with respect to the state and local tax consequences of owning such Premium Bonds.

Ancillary Tax Matters

Ownership of the Bonds may result in other federal tax consequences to certain taxpayers, including, without limitation, certain S corporations, foreign corporations with branches in the United States, property and casualty insurance companies, individuals receiving Social Security or Railroad Retirement benefits, individuals seeking to claim the earned income credit, and taxpayers (including banks, thrift institutions, and other financial institutions) who may be deemed to have incurred or continued indebtedness to purchase or to carry the Bonds. Prospective investors are advised to consult their own tax advisors regarding these rules.

Interest paid on tax-exempt obligations such as the Bonds is subject to information reporting to the Internal Revenue Service (the “IRS”) in a manner similar to interest paid on taxable obligations. In addition, interest on the Bonds may be subject to backup withholding if such interest is paid to a registered owner that (a) fails to provide certain identifying information (such as the registered owner’s taxpayer identification number) in the manner required by the IRS, or (b) has been identified by the IRS as being subject to backup withholding.

Bond Counsel is not rendering any opinion as to any federal tax matters other than those described in the opinion attached as APPENDIX B. Prospective investors, particularly those who may be subject to special rules described above, are advised to consult their own tax advisors regarding the federal tax consequences of owning and disposing of the Bonds, as well as any tax consequences arising under the laws of any state or other taxing jurisdiction.

Changes in Law and Post Issuance Events

Legislative or administrative actions and court decisions, at either the federal or state level, could have an adverse impact on the potential benefits of the exclusion from gross income of the interest on the Bonds for federal or state income tax purposes, and thus on the value or marketability of the Bonds. This could result from changes to federal or state income tax rates, changes in the structure of federal or state income taxes (including replacement with another type of tax), repeal of the exclusion of the interest on the Bonds from gross income for federal or state income tax purposes, or otherwise. It is not possible to predict whether any legislative or administrative actions or court decisions having an adverse impact on the federal or state income tax treatment of holders of the Bonds may occur. Prospective purchasers of the Bonds should consult their own tax advisors regarding the impact of any change in law on the Bonds. Bond Counsel has not undertaken to advise in the future whether any events after the date of issuance and delivery of the Bonds may affect the tax status of interest on the Bonds. Bond Counsel expresses no opinion as to any federal, state or local tax law consequences with respect to the Bonds, or the interest thereon, if any action is taken with respect to the Bonds or the proceeds thereof upon the advice or approval of other counsel.

BOND INSURANCE

Bond Insurance Policy

Concurrently with the issuance of the Bonds, Build America Mutual Assurance Company (“BAM”) will issue its Municipal Bond Insurance Policy for the Bonds (the “Policy”). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as an exhibit to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Build America Mutual Assurance Company

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.

The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P's current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Bonds. BAM only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and BAM does not guarantee the market price or liquidity of the Bonds, nor does it guarantee that the rating on the Bonds will not be revised or withdrawn.

Capitalization of BAM

BAM's total admitted assets, total liabilities, and total capital and surplus, as of September 30, 2021 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were \$504.3 million, \$181.5 million and \$322.8 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "BOND INSURANCE".

Additional Information Available from BAM

Credit Insights Videos. For certain BAM-insured issues, BAM produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors BAM's analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on BAM's website at www.buildamerica.com/videos. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Credit Profiles. Prior to the pricing of bonds that BAM has been selected to insure, BAM may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by BAM, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. BAM pre-sale and final Credit Profiles are easily accessible on BAM's website at www.buildamerica.com/credit-profiles. BAM will produce a Credit Profile for all bonds insured by BAM, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Disclaimers. The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and BAM assumes no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos are prepared by BAM; they have not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for their content.

BAM receives compensation (an insurance premium) for the insurance that it is providing with respect to the Bonds. Neither BAM nor any affiliate of BAM has purchased, or committed to purchase, any of the Bonds, whether at the initial offering or otherwise.

LEGAL MATTERS

Continuing Disclosure

The District will covenant in its Continuing Disclosure Certificate to be executed on the date of delivery of the Bonds (the "Continuing Disclosure Certificate"), to file annual reports and notices of certain listed events ("Listed Events") with the Municipal Securities Rulemaking Board. These covenants have been made in order to assist the Original Purchaser in complying with the Rule. The District's obligations under the Continuing Disclosure Certificate with respect to continuing disclosure shall terminate upon payment in full of the Bonds. If such termination occurs or is deemed to occur prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event. The District regularly prepares a variety of reports, including audits, budgets and related documents. Any Owner of a Bond may obtain a copy of any such report, as available, from the District. The specific nature of the annual reports and notices of Listed Events respecting the Bonds is contained in APPENDIX D – "FORM OF CONTINUING DISCLOSURE CERTIFICATE."

The District has previously entered into a number of undertakings to provide continuing disclosure (the "Previous Undertakings"). The District has engaged Fieldman, Rolapp & Associates, Inc. doing business as Applied Best Practices going forward to comply with all Previous Undertakings related to continuing disclosure of information pursuant to the Rule.

Limitation on Remedies; Amounts Held in the County Treasury Pool

The opinion of Bond Counsel, the proposed form of which is attached hereto as APPENDIX B, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor's rights. The rights of the Owners of the Bonds are subject to certain limitations. Enforceability of the rights and

remedies of the Owners of the Bonds, and the obligations incurred by the District, are limited by applicable bankruptcy, insolvency, reorganization, moratorium, and similar laws relating to or affecting the enforcement of creditors' rights generally, now or hereafter in effect, equity principles that may limit the specific enforcement under State law of certain remedies, the exercise by the United States of America of the powers delegated to it by the Constitution, the reasonable and necessary exercise, in certain exceptional situations, of the police powers inherent in the sovereignty of the State and its governmental bodies in the interest of serving a significant and legitimate public purpose, and the limitations on remedies against school and community college districts in the State. Bankruptcy proceedings, if initiated, could subject the beneficial owners of the Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation, or modification of their rights.

Under Chapter 9 of the Federal Bankruptcy Code (Title 11, United States Code) (the "Bankruptcy Code"), which governs the bankruptcy proceedings for public agencies, no involuntary petitions for bankruptcy relief are permitted. While current State law precludes school districts from voluntarily seeking bankruptcy relief under Chapter 9 of the Bankruptcy Code without the concurrence of the State, such concurrence could be granted or State law could be amended.

The Resolution and the Act require the County to annually levy *ad valorem* taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of the principal of, premium, if any, and interest on the Bonds. The County on behalf of the District is thus expected to be in possession of the annual *ad valorem* taxes and certain funds to repay the Bonds and may invest these funds in the County's Investment Pool, as described in "THE KERN COUNTY TREASURY POOL" herein. In the event the District or the County were to go into bankruptcy, a federal bankruptcy court might hold that the Owners of the Bonds are unsecured creditors with respect to any funds received by the District or the County prior to the bankruptcy, where such amounts are deposited into the County Treasury Pool, and such amounts may not be available for payment of the principal of and interest on the Bonds unless the Owners of the Bonds can "trace" those funds. There can be no assurance that the Owners could successfully so "trace" such taxes on deposit in the Debt Service Fund where such amounts are invested in the County Treasury Pool. Under any such circumstances, there could be delays or reductions in payments on the Bonds.

California Senate Bill 222

On July 13, 2015, the Governor signed Senate Bill 222 ("SB 222") into law, effective January 1, 2016. SB 222 was introduced on February 12, 2015, initially to amend Section 15251 of the California Education Code to clarify the process of lien perfection for general obligation bonds issued by or on behalf of California school and community college districts. Subsequently, on April 15, 2015, SB 222 was amended to include an addition to the California Government Code to similarly clarify the process of lien perfection for general obligation bonds issued by cities, counties, authorities and special districts, including the District.

SB 222, applicable to general obligations bonds issued after its effective date, removes the extra step between (a) the issuance of general obligation bonds by cities, counties, cities and counties, school districts, community college districts, authorities and special districts; and (b) the imposition of a lien on the future *ad valorem* property taxes that are the source of repayment of the general obligation bonds. By clarifying that the lien created with each general obligation bond issuance is a "statutory" lien (consistent with bankruptcy statutory law and case precedent), SB 222, while it does not prevent default, should reduce the ultimate bankruptcy risk of non-recovery on local general obligation bonds, and thus potentially improve ratings, interest rates and bond cost of issuance.

Special Revenues

If the District were to become a debtor in a Chapter 9 proceeding, because the Bonds are for the financing of specific capital projects and are supported by a consensual lien on *ad valorem* property taxes that are use-restricted under State law to the repayment of the Bonds, the District believes that those taxes are “special revenues” as defined in the Bankruptcy Code, and thus there is a special revenue lien in favor of owners of the Bonds in addition to, and separate and independent of, the statutory lien created by SB 222. In comparison to other consensual pledges and liens arising by agreement (that are all made ineffective post-bankruptcy by Section 552 of the Bankruptcy Code), special revenues acquired by a municipality during a Chapter 9 case will remain subject to the lien that arose from the security agreement entered into prior to the beginning of the case, and will survive the conclusion of the Chapter 9 proceeding. In addition, the automatic stay arising upon the filing of the bankruptcy petition has historically been understood not to stay the application of special revenues to payment of the bonds secured by such special revenues. Thus, regularly scheduled payments of principal of and interest to owners of the Bonds likely would continue under 11 U.S.C. §922(d) throughout any bankruptcy proceeding.

Based on the foregoing, if the District were to become a debtor in a Chapter 9 proceeding, the District believes that: the *ad valorem* property taxes could not be used for any other purpose other than repayment of the Bonds; the *ad valorem* property taxes should be determined to be special revenues in a Chapter 9 proceeding, and thus owners of the Bonds would ordinarily continue to be paid post-petition; and the *ad valorem* property taxes are also protected by a statutory lien in favor of the bondholders. However, bankruptcy courts are courts of equity and as such have broad discretionary powers, and there is no binding judicial precedent dealing with the treatment in bankruptcy proceedings of *ad valorem* property tax revenues collected for the payments of bonds in the State, so no assurance can be given that a bankruptcy court would not hold otherwise. If the District were to become the debtor in a proceeding under Chapter 9 of the Bankruptcy Code, the bankruptcy court could find that the automatic stay exception for special revenues does not apply, and the parties to the proceedings may thus be prohibited from taking any action to collect any amount from the District (including *ad valorem* tax revenues), or to enforce any obligation of the District, without the bankruptcy court’s permission. It is also possible that the bankruptcy court may not enforce the state law use restriction imposed on *ad valorem* property taxes.

Even if the *ad valorem* property tax revenues are determined to be “special revenues,” the Bankruptcy Code provides that special revenues can be applied to necessary operating expenses of the project or system, before they are applied to other obligations. This rule applies regardless of the provisions of the transaction documents. Thus, a bankruptcy court could determine that the District is entitled to use the *ad valorem* property tax revenues to pay necessary operating expenses of the District and its schools, before the remaining revenues are paid to the owners of the Bonds. It should also be noted that it is possible – in the context of confirming a Plan of Adjustment (the “Plan”) in a Chapter 9 case where the Plan has not received the requisite consent of the holders of the Bonds – a bankruptcy court may confirm a Plan that adjusts the timing of payments on the Bonds or the interest rate or other terms of the Bonds provided that (a) the bondholders retain their lien on the revenues subject to the statutory and/or special revenues lien, (b) the payment stream has a present value equal to the value of the revenues subject to the lien(s) and (c) the bankruptcy court finds that these and any other adjustments to the Bonds’ terms are fair and equitable.

The Resolution and the Act require the County to annually levy *ad valorem* taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of the principal of, premium, if any, and interest on the Bonds. The County on behalf of the District is thus expected to be in possession of the annual *ad valorem* taxes and certain funds to repay the Bonds and may invest these funds in the County’s

Investment Pool, as described in “THE KERN COUNTY TREASURY POOL” herein. In the event the District or the County were to file for bankruptcy relief, a bankruptcy court might hold that the owners of the Bonds are unsecured creditors with respect to any funds received by the District or the County prior to the bankruptcy, which might include taxes that have been collected and deposited in the Debt Service Fund, where such amounts are deposited into the County Treasury Pool, and such amounts may not be available for payment of the principal of and interest on the Bonds unless the owners of the Bonds can “trace” those funds. There can be no assurance that the Owners could successfully so “trace” such taxes on deposit in the Debt Service Fund where such amounts are invested in the County Treasury Pool. Further, it is not entirely clear what procedures the owners of the Bonds would have to follow to attempt to obtain possession of such tax revenues, or what amount of time would be required for such procedures to be completed. Under any such circumstances, there could be delays or reductions in payments on the Bonds.

LEGALITY FOR INVESTMENT

Under provisions of the California Financial Code, the Bonds are legal investments for commercial banks in California to the extent that the Bonds, in the informed opinion of the investing bank, are prudent for the investment of funds of depositors. Under provisions of the California Government Code, the Bonds are eligible to secure deposits of public moneys in California.

RATINGS

The Bonds are expected to be assigned a rating of “AA” by S&P with the understanding that, upon delivery of the Bonds, the Policy will be issued by BAM. See “BOND INSURANCE” herein. Moody’s Investors Services (“Moody’s”) has assigned their municipal bond rating of “Aa3” to the Bonds. Such ratings reflect only the views of S&P and Moody’s respectively. An explanation of the significance of each rating may be obtained from the rating agencies at their respective addresses, as follows: Moody’s, 7 World Trade Center, at 250 Greenwich Street, New York, New York 10007; and S&P, 55 Water Street, New York, New York 10041. The information provided by any rating agency is not incorporated herein by reference. The District furnished such rating agency with certain information and materials relating to the Bonds that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies and assumptions by rating agencies. There is no assurance that such rating will continue for any given period of time or that it will not be revised downward or withdrawn entirely if, in the judgment of the rating agency, circumstances so warrant. The District has not undertaken any responsibility to bring to the attention of the owners of the Bonds any proposed revision or withdrawal of a rating of the Bonds or to oppose any such proposed revision or withdrawal. Any such downward revision or withdrawal of such rating may have an adverse effect on the market price of the Bonds.

UNDERWRITING

Hilltop Securities Inc., as Original Purchaser (the “Original Purchaser”), has agreed to purchase the Bonds from the District at the purchase price of \$33,814,799.90 (being the initial principal issue amount of the Bonds, plus net original issue premium of \$1,122,143.65, less an underwriter’s discount of \$231,443.75 and less a bond insurance premium of \$75,900.00), at the rates and yields shown on the inside cover hereof.

The Original Purchaser intends to offer the Bonds to the public at the offering prices set forth on the inside cover page of this Official Statement. The Original Purchaser may, however, offer and sell Bonds to certain dealers and others at prices lower than the offering prices stated on the inside cover page of this Official Statement. The offering prices may be changed from time to time by the Original Purchaser.

NO LITIGATION

No litigation is pending or threatened concerning the validity of the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District's ability to receive *ad valorem* taxes or to collect other revenues or contesting the District's ability to issue the Bonds.

The District is subject to lawsuits and claims in the ordinary course of its operations. In the opinion of the District, the aggregate amount of the uninsured liabilities of the District under these lawsuits and claims will not materially affect the finances of the District.

MUNICIPAL ADVISOR

Fieldman, Rolapp & Associates, Inc. (the "Municipal Advisor") is employed as Municipal Advisor to the District in connection with the issuance of the Bonds. The Municipal Advisor's fee for services rendered with respect to the sale of the Bonds is contingent upon the issuance and delivery of the Bonds. Fieldman, Rolapp & Associates, Inc. in its capacity as Municipal Advisor, does not assume any responsibility for the information, covenants and representations contained in any of the legal documents with respect to the federal income status of the Bond, or the possible impact of any present, pending or future actions taken by any legislative or judicial bodies.

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OTHER INFORMATION

References are made herein to certain documents, reports, statutes, and constitutional provisions which are brief summaries thereof, and which do not purport to be complete, comprehensive or definitive, and are qualified in their entireties by reference each such document, report, statute and constitutional provision. Reference is made to such documents, reports, statutes, and constitutional provisions for full and complete statements of the contents thereof. Additional information concerning the District and copies of the most recent and subsequent audited financial statements of the District and the Resolution may be obtained by contacting: Bakersfield City School District, 1300 Baker Street, Bakersfield, California 93305, Attention: Superintendent. The District may impose a fee for copying, shipping and handling.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not be construed as a contract or agreement between the District and the purchasers or Owners of any of the Bonds.

The execution and delivery of this Official Statement has been duly authorized by the District.

BAKERSFIELD CITY SCHOOL DISTRICT

By: /s/ Sherry Gladin
Assistant Superintendent,
Business Services

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APPENDIX A

THE DISTRICT

Prospective purchasers of the Bonds should be aware that the following discussion of the financial condition of the Bakersfield City School District (the “District”), its fund balances, budgets and obligations, is intended as general information only, and no implication is made that the payment of principal of or interest on the Bonds is dependent in any way upon the District’s financial condition. The District neither receives nor accounts for ad valorem property tax revenues collected by the County of Kern (the “County”) to pay debt service on the Bonds (or its other general obligation bonds) in the following tables or in its annual financial statements. Pursuant to Section 15251 of the California Education Code, all tax revenues collected for payment of debt service on the Bonds must be deposited into the debt service fund of the District. The Bonds are and will continue to be payable solely from ad valorem taxes levied and collected by the County within the boundaries of the District. See the body of this Official Statement under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

This Appendix A provides information concerning the operations and finances of the District. The Bonds are general obligation bonds of the District, secured and payable from ad valorem property taxes assessed on taxable properties within the District. The Bonds are not an obligation of the County, the State of California (the “State”) or any of its other political subdivisions or of the general fund of the District. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS” in the forepart of this Official Statement.

General

The District, established in 1882, is located in the southern San Joaquin Valley in the County, approximately 110 miles north of Los Angeles and approximately 120 miles east of San Luis Obispo. The District encompasses approximately 158 square miles, and provides kindergarten through eighth grade education services in 34 elementary schools, 9 middle schools and junior high schools, one community day school and two alternative sites for special education. Fiscal year 2020-21 enrollment in the District was 29,307 students with an average daily attendance (“ADA”) of 29,445. For fiscal year 2021-22, the District predicts enrollment of 29,260 students and an ADA of 27,965.

Unless otherwise indicated, the following financial, statistical and demographic data has been provided by the District. Additional information concerning the District and copies of the most recent and subsequent audited financial statements of the District may be obtained by contacting: Bakersfield City School District, 1300 Baker Street, Bakersfield, California 93305, Attention: Superintendent.

District Organization

The District is governed by a Board of Education (the “Board”). The Board consists of five members who are elected by trustee area to overlapping four-year terms at elections held in staggered years. If a vacancy arises during any term, the vacancy is filled by either an appointment by the majority vote of the remaining Board members or by a special election. The years in which the current terms for each member of the Board expire are set forth below:

BOARD OF EDUCATION

Name	Office	Term Expires (November)
Lillian Tafoya	President	2024
Laura Guerrero-Salgado	President Pro Tem	2022
Shannon Zimmerman	Clerk	2024
Dr. Chris Cruz-Boone	Clerk Pro Tem	2024
Pam Baugher	Member	2022

Unless otherwise indicated, the following financial, statistical and demographic data has been provided by the District.

Key Personnel

The Superintendent of the District is appointed by the Board, reports to the Board, and supervises the work of other key District administrators.

Mr. Mark Luque, Superintendent. Mr. Luque serves as Superintendent. During his seven tenure with the District, Mr. Luque has also served as Deputy Superintendent of Education Services and Director of Curriculum and Instruction. Prior to joining the District, Mr. Luque served as the Assistant Superintendent of Educational Services for the Delano Union School District. Prior to this, Mark served in various administrative and instructional roles. Mr. Luque earned his Bachelor of Arts Degree in History from San Diego State University and his Master of Arts Degree in Educational Administration from California State University, Bakersfield.

Laura Orozco, Assistant Superintendent, Educational Services. Laura Orozco serves as Assistant Superintendent of Educational Services. During her 23-year tenure, Mrs. Orozco has served in several progressive positions ranging from teacher, Principal, and Executive Director. Mrs. Orozco has a Bachelor's in Liberal Studies, a Reading Authorization, a Masters in Bilingual Education, and a Master's in Educational Administration.

Sherry Gladin, Assistant Superintendent, Business Services. Mrs. Gladin has 20 years of public education experience within the District and has served in a variety of roles with progressively increasing levels of responsibility throughout that time. Immediately preceding her appointment to Assistant Superintendent, Business Services, Mrs. Gladin served for eleven years as the District's Director of Fiscal Services. Mrs. Gladin holds a Bachelor's Degree in Business Administration with a Concentration in Finance from California State University, Bakersfield.

Changes in District Enrollment

The table below sets forth the enrollment and ADA for the District for the fiscal years 2015-16 through 2020-21 and estimates for fiscal years 2021-22 through 2023-24. The 2022-23 Proposed State Budget proposes changes to the ADA component of the LCFF and the independent study program to help school districts better manage declining enrollment. See "Fiscal Year 2022-23 Proposed State Budget" herein.

**BAKERSFIELD CITY SCHOOL DISTRICT
ENROLLMENT AND AVERAGE DAILY ATTENDANCE
FISCAL YEARS 2015-2016 THROUGH 2023-24⁽¹⁾**

<u>Fiscal Year</u>	<u>Enrollment</u>	<u>ADA</u>
2015-16	30,222	28,752.88
2016-17	30,372	28,917.77
2017-18	30,699	29,191.42
2018-19	30,782	29,410.71
2019-20	30,793	29,445.32
2020-21 ⁽¹⁾	29,307	29,445.32
2021-22 ⁽²⁾	29,260	27,965.00
2022-23 ⁽²⁾	29,260	27,965.00
2023-24 ⁽²⁾	29,260	27,965.00

⁽¹⁾ The 2020-21 state budget provided for a hold-harmless clause which allowed for the 2019-20 ADA to be carried forward to 2020-21 due to the effects of the COVID-19 pandemic on ADA.

⁽²⁾ Projected.

Source: The District.

Population

The population of the County and the State is set forth in the following tables.

**POPULATION OF THE
COUNTY AND STATE⁽¹⁾**

<u>Calendar Year⁽²⁾</u>	<u>Kern County</u>	<u>State</u>
2012	851,643	37,680,593
2013	861,646	38,030,609
2014	868,610	38,357,121
2015	874,264	38,714,725
2016	886,507	39,255,883
2017	896,101	39,500,973
2018	906,563	39,740,508
2019	916,464	39,927,315
2020	916,828	39,648,938
2021	914,193	39,466,855

⁽¹⁾ Population figures for the City of Rosamond are unavailable.

⁽²⁾ Figures as of January of the year indicated.

Source: California State Department of Finance.

District Employees

In fiscal year 2020-21, the District employed approximately 1,864 full-time and part-time certificated academic professionals as well as 2,182 full-time and part-time classified employees.

Certificated employees are represented by the Bakersfield Elementary Teachers Association (“BETA”). The certificated employees’ contract with BETA expires on June 30, 2022. The skilled trades

employees of the District have assigned the Laborers' International Union of North America, Local 777, ("LIUNA") as their exclusive bargaining agent. The skilled trades employees' contract with LIUNA expires on June 30, 2022. Classified employees are represented by California School Employees Association ("CSEA"). The classified employees' contract with CSEA expires on June 30, 2022.

Pension Plans

The District participates in the State of California Teachers Retirement System ("STRS") which provides retirement benefits to certificated personnel. The District contributed \$41,901,347 to STRS in fiscal year 2020-21 and the District estimates a contribution of \$54,624,047 in fiscal year 2021-22.

The District also participates in the State of California Public Employees' Retirement System ("PERS") which provides retirement benefits to classified personnel. The District contributed \$14,610,845 to PERS in fiscal year 2020-21 and the District estimates a contribution of \$23,106,033 in fiscal year 2021-22.

The District also contributes to the Self-Insured Schools of California ("SISC") Defined Benefit Plan, a cost-sharing multiple-employer public employee retirement system defined benefit pension plan for all part-time, temporary, and seasonal employees. The contributions to the SISC Defined Benefit Plan for fiscal year 2020-21 were \$97,890, of which \$65,305 was the District's portion and \$32,585 was the employees' portion. The total equals 100% of the required District contributions.

The information set forth below regarding STRS and PERS has been obtained from publicly available sources and has not been independently verified by the District, the Original Purchaser or the Municipal Advisor, is not guaranteed as to the accuracy or completeness of the information and is not to be construed as a representation by the District, the Original Purchaser or the Municipal Advisor. Furthermore, the summary data below should not be read as current or definitive, as recent gains or losses on investments made by the retirement systems generally may have changed the unfunded actuarial accrued liabilities.

Both PERS and STRS are operated on a statewide basis. The PERS and STRS defined benefit programs are funded through a combination of investment earnings and contributions by members, employees and the State. Both PERS and STRS have substantial State unfunded actuarial liabilities. PERS may issue certain pension obligation bonds to reach funded status. Additional funding of STRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282. The amounts of the pension/award benefit obligation (PERS) or actuarially accrued liability (STRS) will vary from time to time depending upon actuarial assumptions, rates of return on investments, salary scales, and levels of contribution. The District is unable to predict what the amount of liabilities will be in the future, or the amount of the contributions which the District may be required to make.

District contribution rates to PERS can vary annually depending on changes in actuarial assumption and other factors, such as liability. Unlike typical defined benefit programs, prior to fiscal year 2014-15, neither the STRS employer nor the State contribution rate varied annually to make up funding shortfalls or assess credits for actuarial surpluses. As a result, in recent years, the combined employer, employee and State contributions to STRS have not been sufficient to pay actuarially required amounts. As a result, and due to significant investments losses, the unfunded actuarial liability of STRS increased significantly. The District is unable to predict what the STRS program liabilities will be in the future.

Declines in investment earnings as a result of COVID-19 or otherwise may lead to increases in District contributions to each of these retirement systems. The District is unable to predict the likelihood or the amount of such increases on its contributions to STRS or PERS.

In order to address STRS funding inadequacies, the 2014-15 State Budget set forth a plan of shared responsibility among the State, school districts and teachers to shore up STRS. The first year's increased contributions from all three entities were approximately \$275 million. The contributions would increase in subsequent years, reaching more than \$5 billion annually. Then Governor Brown expected that this will eliminate the unfunded liability in approximately 30 years. The 2018-19 State Budget included \$3.1 billion for state contributions to STRS, which reflects action by the STRS board to increase state contributions by 0.5% of teacher payroll. The 2019-20 State Budget included approximately \$3.3 billion for State contributions to STRS. However, the 2020-21 State budget redirected approximately \$2.3 billion of this amount to further reduce employer contribution rates in fiscal years 2020-21 and 2021-22, reducing the STRS employer rate from 18.41% to approximately 16.15% in fiscal year 2020-21, and from 17.9% to approximately 16.02% in fiscal year 2021-22, and reducing the PERS employer rate from 22.67% to approximately 20.70% in fiscal year 2020-21, and from 24.60% to approximately 22.84% in fiscal year 2021-22. The 2021-22 State Budget includes \$6 billion (\$3.2 billion general fund) for State contributions to PERS for State pension costs and \$3.7 billion general fund for State contributions to STRS. Additionally, the 2021-22 State Budget increases one-time Proposition 2 debt payments for PERS to \$1.9 billion and maintains the 2021-22 Proposed State Budget proposal one-time Proposition 2 debt payments of \$410 million to STRS, each towards the State's unfunded liability under PERS and STRS, respectively. On June 9, 2021, the State Teachers' Retirement Board approved an employer contribution rate of 16.92% for fiscal year 2021-22.

STATE OF CALIFORNIA ACTUARIAL VALUE OF STATE RETIREMENT SYSTEMS

Name of Plan	Market Value of Assets	Actuarial Value of Assets⁽³⁾	Actuarial Obligation	Unfunded Actuarial Accrued Liability	Funded Ratio (Market Value)	Funded Ratio (Actuarial Value)
Public Employees' Retirement Fund Schools Pool (PERS) ⁽¹⁾	\$71.400 billion	—	\$104.062 billion	\$32.662 billion	68.6%	—
State Teachers' Retirement Fund Defined Benefit Program (STRS) ⁽²⁾	\$233.253 billion	\$216.252 billion	\$322.127 billion	\$105.875 billion	66.5%	67.1%

⁽¹⁾ Figures as of June 30, 2020. As of June 30, 2020, the PERS provided pension benefits to 1,321,315 active and inactive program members and 735,123 retirees, beneficiaries, and survivors.

⁽²⁾ Figures as of June 30, 2020. As of June 30, 2020, the STRS Defined Benefit Program had approximately 661,475 active and inactive program members and 314,518 retirees and benefit recipients.

⁽³⁾ PERS no longer uses an actuarial value of assets and only uses the market value of assets.

Source: STRS Defined Benefit Program Actuarial Valuation, PERS State and Schools Pool Actuarial Valuation, PERS Comprehensive Annual Financial Report 2019-20 and STRS Comprehensive Annual Financial Report 2019-20.

California State Teachers' Retirement System. STRS is a defined benefit program and member benefits are determined pursuant to the Education Code and are generally determined based on a member's age, final compensation and years of credited service. As a result of the California Public Employees' Pension Reform Act of 2013 (Chapter 296, Statutes of 2012), there are two benefit structures

for members that apply according to the members' first date of hire to perform STRS creditable activities. Members first hired on or before December 31, 2012 are 100% vested in retirement benefits after five years of credited service and are eligible for "normal" retirement at age 60 and for early retirement at age 55 or at age 50 with 30 years of credited service. The normal retirement benefit is 2% of final compensation (as defined in the Education Code) for each year of credited service (up to 2.4% of final compensation for members retiring after age 60), and members who retire on or after January 1, 2011 with 30 or more years of service by December 31, 2010 receive monthly bonus payments of up to \$400 per month. Members first hired on or after January 1, 2013 who retire at age 62 are eligible for a benefit equal to 2% of final compensation for each year of credited service (up to 2.4% of final compensation for members retiring after age 62). Additional benefits under both benefit structures include a 2% cost of living increase (computed on a simple, non-compounded, basis based on the initial allowance) on each September 1 following the first anniversary of the effective date of the benefit.

Prior to fiscal year 2014-15, neither the STRS employer nor the State contribution rate varied annually to make up funding shortfalls or assess credits for actuarial surpluses. As a result, the combined employer, employee and State contributions to STRS were not sufficient to pay actuarially required amounts. Assembly Bill 1469 ("A.B. 1469"), enacted in connection with the adoption of the 2014-15 State budget authorizes shared contribution increases among the program's three contributors – STRS members, employers and the State. Defined Benefit Program contribution rate increases for all contributing parties will be incrementally phased-in over the next several years, with the first increases having taken effect July 1, 2014. The rate increases authorized by A.B. 1469 are projected to fund the unfunded actuarial obligation with respect to service credited to the members of the STRS Defined Benefit Program before July 1, 2014 fully in 32 years.

Employer contribution rates, including those of the District, will increase through fiscal year 2020-21 as shown in the following table. Beginning fiscal year 2021-22, employer contribution rates will be set each year by the STRS board to reflect the contribution required to eliminate unfunded liabilities by June 30, 2046.

<u>Effective Date</u>	<u>Prior Rate</u>	<u>A.B. 1469 Increases</u>	
		<u>Increase</u>	<u>Total</u>
July 1, 2017	8.25%	6.18%	14.43%
July 1, 2018	8.25	8.03	16.28
July 1, 2019	8.25	8.85	17.10
July 1, 2020	8.25	10.15	18.40

The State contributions are set pursuant to the Education Code. As of July 1, 2020 the State contributed 7.828% of members' annual earnings to the defined benefit plan for fiscal year 2020-21 and will contribute 8.328% for fiscal year 2021-22. The employee contribution rate for STRS members first hired on or before December 31, 2012 to perform STRS creditable activities (i.e., STRS 2% at 60 members) is 10.25% for fiscal year 2021-22. The employee contribution rate for STRS members first hired on or after January 1, 2013 to perform STRS creditable activities (i.e., STRS 2% at 62 members) is 10.205% for fiscal year 2021-22. However, the 2020-21 State budget redirected approximately \$2.3 billion of this amount to further reduce employer contribution rates in fiscal years 2020-21 and 2021-22, reducing the STRS employer rate from 18.41% to approximately 16.15% in fiscal year 2020-21, and from 17.9% to approximately 16.02% in fiscal year 2021-22. On June 9, 2021, the State Teachers' Retirement Board approved an employer contribution rate of 16.92% for fiscal year 2021-22. Under the 2021-22 State Budget, State contributions to PERS includes \$1.9 billion in one-time Proposition 2 debt repayment funding in fiscal year 2021-22 and includes \$6 billion for State contributions for State pension costs. State contributions to STRS include \$410 million one-time Proposition 2 supplemental pension payment

to be paid in fiscal year 2021-22 and \$174 million one-time general fund to offset the statutory reduction in the State's contribution in fiscal year 2020-21. See "FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA – Fiscal Year 2021-22 State Budget" herein.

The State Teachers' Retirement Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the defined benefit plan. STRS actuarial consultant determines the actuarial value of the defined benefit plan's assets by using a one-third smoothed recognition method of the difference between the actual market value of assets to the expected actuarial value of assets. Accordingly, the actuarial value of assets will not reflect the entire impact of certain investment gains or losses on an actuarial basis as of the date of the valuation or legislation enacted subsequent to the date of the valuation.

In February 2017, the State Teacher's Retirement Board voted to revise the actuarial methods and assumptions beginning with the STRS Defined Benefit Program for fiscal year 2016. The actuarial assumptions set forth in the 2016 STRS actuarial valuation use a 7.25% investment rate of return for measurements as of June 30, 2016 and an assumed 7.00% investment rate of return for measurements subsequent to June 30, 2016, 3.00% interest on member accounts, 3.50% wage growth, and 2.75% inflation. The STRS unfunded liability will vary based on actuarial assumptions, actual returns on investments and contribution rates.

The Defined Benefit Program of the California State Teachers' Retirement System, June 30, 2020 Actuarial Valuation (the "2020 STRS Actuarial Valuation") states that for fiscal year 2019-20 the funded ratio increased by 1.1% over the previous year, mainly due to salary increases less than assumed, additional State contributions and contributions to pay down the unfunded actuarial obligation. However, the funded ratio as a whole has decreased by approximately 4% over the past 10 years primarily due to a combination of returns that have, on a smoothed basis, been less than the actuarial assumption, contributions less than the actuarially calculated amount, and changes in the actuarial assumptions that have increased the Actuarial Obligation. The alternate funded ratio using the Fair Market Value of assets has decreased since the last valuation. This decrease is primarily due to actual market returns for fiscal year 2019-20 being less than the assumed investment return of 7.0%.

California Public Employees' Retirement System. PERS is a defined benefit program and member benefits are determined pursuant to the Public Employees' Retirement Law and are generally determined based on a member's age, final compensation and years of credited service.

Member contribution rates are determined by the Public Employees' Retirement Law and depend on the respective employer's benefit formulas. Employer contribution rates are determined by periodic actuarial valuations or by statute. For fiscal year 2020-21, the employee contribution rate for classic plan members is 7.0% of monthly salary and the estimated employee contribution rate for PEPRAs members is 7.0% of monthly salary. The employer contribution rate increased from 19.721% of covered payroll for fiscal year 2019-20, to 20.70% of covered payroll for fiscal year 2020-21. For fiscal year 2021-22, the employer contribution rate is 22.84%.

At its April 17, 2013 meeting, the PERS Board of Administration approved a recommendation to change the PERS amortization and smoothing policies. Prior to this change, PERS employed an amortization and smoothing policy which spread investment returns over a 15-year period with experience gains and losses paid for over a rolling 30-year period. After this change, PERS will employ an amortization and smoothing policy that will pay for all gains and losses over a fixed 30-year period with the increases or decreases in the rate spread directly over a 5-year period. The new amortization and smoothing policy were used for the first time in the June 30, 2014 actuarial valuations. These valuations were performed in early 2015 and set employer contribution rates for the fiscal year 2015-16.

The actuarial methods and assumptions used for determining the rates are based on those adopted by Board of Administration of PERS. At its December 21, 2016 meeting, the PERS Board of Administration approved a discount rate assumption decrease from its current rate of 7.50% to 7.00% over the next three years. For the School Pool, the discount rate was lowered for the first time to 7.375% effective with the June 30, 2017 actuarial valuation (the “2017 PERS Schools Pool Actuarial Valuation”), impacting the Schools Pool employer contribution rates beginning in fiscal year 2018-19. The discount rate was lowered further to 7.25% for the June 30, 2018 actuarial valuation, to 7.00% for the June 30, 2019 actuarial valuation and lowered again to 6.8% for the June 30, 2021 actuarial valuation. Lowering the discount rate results in increases in both the normal cost and the accrued liabilities which results in higher required employer contributions. The District cannot predict how these changes will affect its contribution levels.

On December 20, 2017, the PERS Board of Administration adopted new actuarial demographic assumptions to update various assumptions including mortality, retirement rates and inflation. These new assumptions were applied beginning with the June 30, 2018 valuation for the schools pool, setting employer contribution rates for fiscal year 2019-20. As a result, the June 30, 2019 actuarial valuation assumes a reduced inflation rate of 2.50% per year and reduced payroll growth of 2.75% per year. The actuarial funding method used in the PERS Schools Pool Actuarial Valuation as of June 30, 2020 (the “2020 PERS Actuarial Valuation”) is the “Individual Entry Age Normal Cost Method.” At its February 12, 2018 meeting, the PERS Board of Administration approved a recommendation to change the PERS amortization policy once again. Prior to this change, PERS employed an amortization and smoothing policy which spread investment returns over a 30-year period with the increases or decreases in the rate spread directly over a 5-year period. After this change, PERS will employ an amortization and smoothing policy that will pay for all gains and losses over a fixed 20-year period rather than a 30-year period. The new amortization policy was used for the first time in the June 30, 2019 actuarial valuations.

On April 19, 2021, prior to the release of the 2020 PERS Schools Pool Actuarial Valuation, the PERS Board adopted updated projections for future employer contribution rates of 22.91%, 26.1%, 27.1%, 27.7%, 27.8% and 27.6% in Fiscal Years 2021-22, 2022-23, 2023-24, 2024-25, 2025-26 and 2026-27 respectively. The PERS Board did not adjust the employer contribution rate for Fiscal Year 2020-21.

The PERS Board, at the November 15-17, 2021 board meetings, voted to hold the current discount rate of 6.8% and adopted new actuarial assumptions. On January 5, 2022, PERS released a circular letter with respect to the expected impact on employer and member contributions due to the discount rate and new actuarial assumptions. The letter reports that most of the demographic assumptions were changed, including, most significantly, the life expectancies for retirees and beneficiaries, expected retirement ages for certain safety groups and future pay increases for some groups. While PERS projects that the aforementioned assumption changes may slightly increase employer contribution requirements, the potential impact of the investment gain for Fiscal Year 2020-21 may eventually result in comparable or slightly lower than anticipated employer contribution requirements for many plans. The new actuarial assumptions will be available at www.calpers.ca.gov/page/employers/actuarial-resources/employer-contributions. *The District has not incorporated by reference the information on such website and the District does not assume any responsibility for the accuracy of the information on such website.*

Both PERS and STRS are operated on a statewide basis and, based on available information, STRS and PERS both have unfunded liabilities. PERS may issue certain pension obligation bonds to reach funded status. Additional funding of STRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282. The amounts of the pension/award benefit obligation (PERS) or actuarially accrued liability (STRS) will

vary from time to time depending upon actuarial assumptions, rates of return on investments, salary scales, and levels of contribution.

STRS and PERS each issue separate comprehensive annual financial reports that include financial statements and required supplementary information. Copies of the STRS annual financial report may be obtained from www.calstrs.com or by written request mailed to STRS, P.O. Box 15275, Sacramento, California 95851-0275, and copies of the PERS annual financial report may be obtained from www.calpers.ca.gov or by written request mailed to the CalPERS Financial Services Division, P.O. Box 942703, Sacramento, California 94229-2703. The information presented in those reports is not incorporated by reference in this Official Statement.

The District is unable to predict what the amount of liabilities will be in the future, or the amount of future contributions that the District may be required to pay. See APPENDIX C – “AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR FISCAL YEAR 2020-21 for additional information concerning STRS and PERS contained in the notes to said financial statements.

Pension Reform Act of 2013 (Assembly Bill 340)

On September 12, 2012, then Governor Brown signed AB 340, a bill that enacted the California Public Employees’ Pension Reform Act of 2013 (“PEPRA”), amending various sections of the California Education and Government Codes. AB 340 (i) increased the retirement age for new State, school, and city and local agency employees depending on job function, (ii) capped the annual PERS and STRS pension benefit payouts, (iii) addressed abuses of the system, and (iv) requires State, school, and certain city and local agency employees to pay at least half of the costs of their PERS pension benefits. PEPRA will apply to all public employers except the University of California, charter cities and charter counties (except to the extent they contract with PERS.)

The provisions of AB 340 went into effect on January 1, 2013 with respect to new State, school, and city and local agency employees hired on that date and after; existing employees who are members of employee associations, including employee associations of the District, had a five-year window to negotiate compliance with AB 340 through collective bargaining. A city, public agency or school district could require employees to pay their half of the costs of PERS pension benefits, up to 8 percent of pay for civil workers and 11 percent or 12 percent for public safety workers.

PERS has predicted that the impact of AB 340 on employers, including the District and other employers in the STRS system, and employees will vary, based on each employer’s current level of benefits. To the extent that the new formulas lower retirement benefits, employer contribution rates could decrease over time as current employees retire and employees subject to the new formulas make up a larger percentage of the workforce. This change would, in some circumstances, result in lower retirement benefits than employees currently earn. Additionally, PERS has noted that AB 340 changes may have an adverse impact on public sector recruitment in areas that have historically experienced recruitment challenges due to higher pay for similar jobs in the private sector.

With respect to STRS, for employees hired after January 1, 2013, members will pay the greater of either (1) at least 50 percent of the cost of their retirement plan, rounded to the nearest one-quarter percent, or (2) the contribution rate paid by current members. The member contribution rate could be increased from this level through collective bargaining or may be adjusted based on other factors. Public employers will pay at least the normal cost rate, after subtracting the member’s contribution. The District is unable to predict the amount of future contributions it will make to STRS as a result of the implementation of AB 340 (being its future contributions for the normal costs of new employees), and as a result of negotiations with its employee associations, or, notwithstanding the adoption of AB 340,

resulting from any legislative changes regarding STRS employer contributions that may be adopted in the future.

More information about AB 340 can be accessed through the PERS's web site at www.calpers.ca.gov and through the STRS website at www.calstrs.com. The references to these internet websites are shown for reference and convenience only; the information contained within the websites may not be current and has not been reviewed by the District and is not incorporated herein by reference.

Other Post-Employment Benefits ("OPEB")

In June 2004, the GASB pronounced Statement No. 45, *Accounting and Financial Reporting by Employers for Post-Employment Benefits Other Than Pensions*. The pronouncement requires public agency employers providing healthcare benefits to retirees to recognize and account for the costs for providing these benefits on an accrual basis and provide footnote disclosure on the progress toward funding the benefits. The implementation date for this pronouncement was staggered in three phases based upon the entity's annual revenues, similar to the implementation for GASB Statement No. 34 and 35. GASB Statement No. 45 ("GASB 45") became effective for the District for fiscal year 2008-09.

GASB Statement Nos. 74 and 75. In June 2015, the GASB approved Statement No. 74 ("GASB 74"), *Financial Reporting for Postemployment Benefits Plans Other Than Pension Plans*, and Statement No. 75 ("GASB 75"), *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. The pronouncements make substantial changes to GASB 45, including changes to the way other postemployment benefits are measured and reported. The new pronouncements require recognition of a liability equal to the total OPEB liability on the full-accrual financial statements. GASB 45 allowed recognition over a period not-to-exceed 30 years. GASB 74 and GASB 75 require that most changes in net OPEB liability be included in OPEB expense in the period of change. Overall, basic accounting and reporting will be similar to pensions under GASB 67 and GASB 68.

In addition to the retirement plan benefits with STRS and PERS, the District provides certain post-retirement healthcare benefits, in accordance with District employment contracts. The District's health care plan (the "Plan") is a single-employer defined benefit healthcare plan administered by the District to provide health benefits to eligible retirees. The required contribution is based on projected pay-as-you-go financing requirements. Membership of the Plan consists of 236 retirees currently receiving benefits and 2,942 active members. The District provides employer paid medical benefits to eligible retirees and their eligible dependents from age 55 through age 65. Eligibility for retiree health benefits requires at least 10 years of consecutive full-time service for those employees hired prior to June 1, 2007, or 10 years of consecutive full-time service at retirement for those employees hired after June 1, 2007. For fiscal year 2020-21, the District contributed \$61,003,445 to the Plan for active and retired employees and for fiscal year 2021-22, the District expects to contribute \$61,500,000 to the Plan. These contributions are based on the actual cash contributions made by the District, and do not take into account the implicit rate subsidy factor. Please see the District's Audited Financial Statements, attached as APPENDIX C hereto, for the annual required contributions including the implicit rate subsidy factor.

Total Compensation Systems, Inc. has prepared an actuarial valuation covering the District's retiree health benefits and dated July 12, 2021, with a valuation date of June 30, 2021 and which is updated annually, with the most recent supplemental schedules dated June 30, 2021, and using a reporting period and measurement period of July 1, 2020 to June 30, 2021 (as updated, the "OPEB Actuarial Report"). Certain assumptions incorporated in the OPEB Actuarial Valuation, as updated, include a 2.16% discount rate, a 2.75% inflation rate, a 2.75% annual increase for salaries, and various other assumptions. The total OPEB liability ("TOL") is the liability that would have accumulated if all actuarial assumptions are exactly met and the District expensed the service cost every year for all past and current

employees and retirees. The OPEB Actuarial Report used the above-described assumptions, as well as other assumptions set forth therein, to determine the District's TOL. According to the OPEB Actuarial Report, the District had a TOL of \$108,328,416 as of July 1, 2020 and a TOL of \$115,099,795 as of June 30, 2021.

The OPEB Actuarial Report describes the District's net OPEB liability ("NOL") as the excess of the TOL over the plan fiduciary's net position. Under GASB Statement 74 and Statement 75, in order for assets to count toward offsetting the TOL, the assets have to be held in an irrevocable trust that is safe from creditors and can only be used to provide OPEB benefits to eligible participants. The District has not established an irrevocable trust for OPEB assets and currently has no plans to do so. As such, the District's plan fiduciary has a net position of zero, and the District's NOL as of June 30, 2021 was also \$115,099,795.

The Governmental Accounting Standards Board (the "GASB") released its Statement Number 45 ("Statement Number 45"), which requires municipalities to account for OPEB (meaning other than pension benefits) liabilities much like municipalities are required to account for pension benefits. The expense is generally accrued over the working career of employees, rather than on a pay-as-you-go basis, which has been the practice for most municipalities and public sector organizations. OPEBs generally include post-employment health benefits (medical, dental, vision, prescription drug and mental health), life insurance, disability benefits and long term care benefits. Statement Number 45 was phased in over a three-year period based upon the entity's revenues.

Statement Number 45 explicitly incorporates Actuarial Standards of Practice ("ASOPs"). There was a recent change to ASOPs No. 6 ("ASOP 6") requiring reflection of "implicit subsidies" in OPEB costs and projections. "Implicit subsidies" refers to an indirect cost sharing feature of OPEB plans. Using unadjusted flat-rate premiums as a cost basis for accounting was previously acceptable under GASB 45 when the health plans are considered "community-rated." Community-rated plans have premium levels determined without adjustment for the demographics of an individual employer buying coverage. Although these subsidies were previously allowed to be excluded, the changes to ASOP 6 eliminated the community-rated exemption. As a result, the District began to reflect these implicit subsidies in its OPEB liability accounting.

For additional information about the District's Plan, as well as information regarding a previous actuarial valuation, see District's financial statements attached hereto as APPENDIX C. A copy of the latest actuarial valuation is available upon request from the District at the address listed on the first page of the forepart of this Official Statement. The District may impose a charge for copying, handling and mailing such requested documents.

GASB 67 and 68

On June 25, 2012, GASB voted to approve two new standards that aimed to improve the accounting and financial reporting of public employee pensions by state and local governments. Statement No. 67, Financial Reporting for Pension Plans, revised existing guidance for the financial reports of most pension plans. Statement No. 68, Accounting and Financial Reporting for Pensions, revised and established new financial reporting requirements for most governments that provide their employees with pension benefits.

Statement 67 replaces the requirements of Statement No. 25, Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans and Statement 50, Pension Disclosures as they relate to pension plans that are administered through trusts or similar arrangements meeting certain criteria. Statement 67 builds upon the existing framework for financial reports of defined

benefit pension plans, which includes a statement of fiduciary net position (the amount held in a trust for paying retirement benefits) and a statement of changes in fiduciary net position. Statement 67 enhances note disclosures and RSI for both defined benefit and defined contribution pension plans. Statement 67 also requires the presentation of new information about annual money-weighted rates of return in the notes to the financial statements and in 10-year required supplementary information schedules.

Statement 68 replaces the requirements of Statement No. 27, Accounting for Pensions by State and Local Governmental Employers and Statement No. 50, Pension Disclosures, as they relate to governments that provide pensions through pension plans administered as trusts or similar arrangements that meet certain criteria. Statement 68 requires governments providing defined benefit pensions to recognize their long-term obligation for pension benefits as a liability for the first time, and to more comprehensively and comparably measure the annual costs of pension benefits. The Statement also enhances accountability and transparency through revised and new note disclosures and required supplementary information.

The provisions in Statement 67 became effective for financial statements for periods beginning after June 15, 2013. The provisions in Statement 68 became effective for fiscal years beginning after June 15, 2014.

Insurance

The District maintains insurance or self-insurance in such amounts and with such retentions and other terms providing coverages for property damage, fire and theft, general public liability and worker's compensation as are adequate, customary and comparable with such insurance maintained by similarly situated elementary school districts. The District also participates in three joint ventures under joint powers agreement: Self Insured Schools of California I, Self Insured Schools of California II and Self Insured Schools of California III (collectively, the "JPAs"). The JPAs arrange for and provide workers' compensation, property and liability and health insurance coverage to member districts. In addition, based upon prior claims experience, the District believes that the recorded liabilities for self-insured claims are adequate.

Financial Statements of the District

The following information, concerning the operations and finances of the District is not intended to and does not suggest that the Bonds are secured by the general revenues or General Fund of the District, nor is the County obligated in any way with respect to the Bonds. The Bonds are general obligation bonds of the District, secured and payable solely from ad valorem property taxes collected against taxable properties within the boundaries of the District. Prospective purchasers of the Bonds should be aware that the following discussion of the District's financial condition, its fund balances, budgets and other obligations is intended as general information only, and no implication is made the payment of principal of or interest on the Bonds is dependent in any way upon the District's financial condition. The District neither receives nor accounts for ad valorem property taxes collected by the County to pay debt service on the Bonds. Pursuant to Section 15241 of the California Education Code, all tax revenues collected for payment of debt service on general obligation bonds, including the Bonds, must be deposited into the debt service fund of the District maintained within the County Treasury Pool. See the body of this Official Statement under the caption "SECURITY AND SOURCES OF PAYMENT FOR THE BONDS."

The General Fund of the District, as shown herein, is a combined fund comprised of moneys which are unrestricted and available to finance the legally authorized activities of the District not financed by restricted funds and moneys which are restricted to specific types of programs or purposes. General

Fund revenues are derived from such sources as State of California (the “State”) fund apportionments, taxes, use of money and property, and aid from other governmental agencies.

The District’s financial statements are prepared on a modified accrual basis of accounting in accordance with generally accepted accounting principles as set forth by the Governmental Accounting Standards Board.

Funds used by the District are categorized as follows:

<u>Governmental Funds</u>	<u>Proprietary Funds</u>
General Fund	Internal Service Funds
Special Revenue Funds	
Debt Service Funds	
Capital Project Funds	

The financial statements included herein were prepared by the District using information from the Annual Financial Reports which are prepared by the District and audited by independent certified public accountants each year. The District’s audited financial statements for fiscal year 2020-21 are attached hereto as APPENDIX C. The District has not requested its auditor to provide any review or update of such financial statements in connection with their inclusion in this Official Statement. Certain information from the District’s financial statements follows.

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General Fund

The following table describes the District's audited financial results for the General Fund for fiscal years 2017-18 through 2020-21.

	Audited 2017-18	Audited 2018-19	Audited 2019-20	Audited 2020-21
Revenues				
Revenue Limit Sources	\$299,039,374	\$325,800,750	\$337,175,603	\$338,991,549
Federal Revenue	31,107,691	34,803,780	26,362,253	75,939,752
Other State Revenue	50,854,700	66,226,954	52,514,684	67,184,698
Other Local Revenue	2,470,702	5,488,802	4,790,470	4,688,078
Total Revenues	<u>\$383,472,467</u>	<u>\$432,320,286</u>	<u>\$420,843,010</u>	<u>\$486,804,077</u>
Expenditures				
Certificated Salaries	\$153,658,606	\$163,428,375	\$160,915,695	\$162,045,096
Classified Salaries	57,958,408	65,416,711	66,768,031	66,801,417
Employee Benefits	106,378,033	131,226,693	125,188,807	118,136,757
Books and Supplies	36,519,726	26,455,176	22,446,714	46,240,060
Services and operating expenditures	31,608,153	34,985,856	33,310,065	36,112,414
Capital Outlay	7,206,198	10,552,258	5,892,541	5,245,391
Other outgo	737,017	824,342	1,443,458	791,599
Direct/Indirect Costs	(807,425)	(756,209)	(935,383)	(722,592)
Total Expenditures	<u>\$393,258,716</u>	<u>\$432,133,202</u>	<u>\$415,052,787</u>	<u>\$434,650,142</u>
Excess (Deficiency) of Revenues Over Expenditures	(9,786,249)	187,084	5,790,223	52,257,754
Other Financing Sources (Uses)				
Other Sources (uses)		211,167	2,248,063	103,819
Operating Transfers In	—	—	—	—
Operating Transfers Out	(233,128)	—	—	—
Total Other Financing Sources (uses)	(233,128)	211,167	2,248,063	103,819
Net Changes in Fund Balances	(10,019,377)	398,251	8,038,286	52,257,754
Beginning Fund Balances, July 1	73,026,301	63,006,924	63,405,175	71,443,461
Ending Fund Balances, June 30	\$ 63,006,924	\$ 63,405,175	\$ 71,443,461	\$123,701,215

Source: The District.

District Revenues

The District's General Fund is used to account for the day-to-day operations of the District. The General Fund is divided into two sections: unrestricted and restricted. Unrestricted revenue may be spent at the District's discretion. Restricted funds are moneys that can only be used for the purposes allowed by the funding agency.

Other state Revenues, or categorical funds, consist primarily of restricted revenues that fund specific items, such as new curriculum and technology, special education programs, instructional materials, and mentor teachers.

State Lottery. The District receives a portion of the State Lottery (the "Lottery") revenues. Lottery revenues allocated to the District must be used for the education of students and cannot be used for non-instructional purposes, such as real property acquisition, facility construction, or the financing of research. Lottery net revenues (gross revenues less prizes and administration expenses) are allocated by computing an amount per ADA or full time equivalent ("FTE"). This figure is derived by dividing the

total net revenues figures by the total ADA for grades K-12 and by the total FTE for the community colleges, University of California system and the California State University and College system. Each entity receives an amount equal to its total ADA or FTE, as applicable, multiplied by the per ADA or FTE figure. The Lottery revenues were \$7,431,305 in fiscal year 2020-21. The Lottery revenues are budgeted to be approximately \$5,853,366 in fiscal year 2021-22.

Developer Fees

The District maintains a fund separate and apart from its General Fund to account for developer fees collected by the District. Residential development is assessed a fee per square foot and the District collects a portion of that assessment. The following table sets forth the developer fees collected during fiscal years 2015-16 through 2020-21, and the projected developer fees to be collected during fiscal year 2021-22.

BAKERSFIELD CITY SCHOOL DISTRICT Developer Fees Fiscal Years 2015-16 through 2021-22

<u>Fiscal Year</u>	<u>Developer Fees Collected</u>
2015-16	\$1,135,906
2016-17	1,530,173
2017-18	902,942
2018-19	930,488
2019-20	2,864,039
2020-21	3,487,298
2021-22 ⁽¹⁾	1,650,000

⁽¹⁾ Estimated.
Source: The District.

Budgets of the District

State law requires school districts to maintain a balanced budget in each fiscal year. The State Department of Education imposes a uniform budgeting and accounting format for school districts.

California Assembly Bill 1200 ("A.B. 1200"), effective January 1, 1992, tightened the budget development process and interim financial reporting for school districts, enhancing the authority of the county schools superintendents' offices and establishing guidelines for emergency State aid apportionments. Many provisions affect District operations directly, while others create a foundation from which outside authorities (primarily state and county school officials) may impose actions on the District. A school district governing board must file with the county superintendent of schools a tentative budget by July 1 in each fiscal year and an adopted budget by September 8 of each fiscal year.

Under the provisions of A.B. 1200, school districts in the State must also conduct a review of their budgets according to certain standards and criteria established by the State Department of Education, and each school district is required to file interim certifications with the county office of education as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. A written explanation must be provided for any element in the budget that does not meet the established standards and criteria. The district superintendent or designee must certify that such a review has been conducted and the certification, together with the budget review checklist and a written narrative, must accompany the budget when it is submitted to the governing board for approval. The balanced budget requirement makes appropriations reductions

necessary to offset any revenue shortfalls. The county office of education reviews the certification, completes the budget review checklist and conducts an analysis of any budget item that does not meet the established standards and issues either a positive, negative or qualified certification. A copy of the completed checklist, together with any comments or recommendations, must be provided to the district and its governing board by November 1. By November 30, every district must have an adopted and approved budget, or the county superintendent of schools will impose one. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent two fiscal years. A negative certification is assigned to any school district that will be unable to meet its financial obligations for the remainder of the fiscal year or subsequent fiscal year. A qualified certification is assigned to any school district that may not meet its financial obligations for the current fiscal year or two subsequent fiscal years. Each certification is based on then-current projections. Within the previous five fiscal years, the District has not received a qualified or negative certification from the County Office of Education. Presented on the following page are the District's adopted budgets for fiscal years 2017-18 through 2021-22. The District adopted its budget for fiscal year 2021-22 on June 22, 2021.

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The following table compares the District's Board adopted budgets to audited actuals for fiscal years 2017-18 through 2020-21, provides the fiscal year 2021-22 adopted budget and provides the fiscal year 2021-22 first interim report. See APPENDIX C for the District's financial statements for fiscal year 2020-21.

BAKERSFIELD CITY SCHOOL DISTRICT
COMPARISON OF ADOPTED BUDGETS AND ACTUALS AND FISCAL YEAR 2021-22 FIRST INTERIM REPORT⁽¹⁾

	2017-18 Original Budget	2017-18 Audited Actuals	2018-19 Original Budget	2018-19 Audited Actuals	2019-20 Original Budget	2019-20 Audited Actuals	2020-21 Original Budget	2020-21 Audited Actuals	2021-22 Original Budget	2021-22 1st Interim Report⁽²⁾
Revenues										
Revenue Limit/LCFF Sources	\$297,625,273	\$299,039,374	\$322,398,738	\$325,800,750	\$337,523,286	\$337,175,603	\$311,700,384	\$338,991,549	\$356,729,396	\$367,061,010
Federal Revenues	31,242,184	31,107,691	32,830,075	34,803,780	36,152,398	26,362,253	56,845,749	75,939,752	39,027,031	175,010,046
Other State Revenues	46,413,577	50,854,700	51,125,654	66,226,954	44,939,625	52,514,684	47,321,974	67,184,698	65,994,666	82,557,388
Other Local Revenues	2,431,026	2,470,702	3,103,560	5,488,802	2,655,129	4,790,470	2,582,880	4,688,078	2,804,987	4,629,555
Total Revenues	\$377,712,060	\$383,472,467	\$409,458,027	\$432,320,286	\$421,270,438	\$420,843,010	\$418,250,997	\$486,804,077	\$464,556,080	\$629,257,999
Expenditures										
Current Expenditures										
Certificated Salaries	\$162,182,607	\$153,658,606	\$166,421,399	\$163,428,375	\$164,513,423	\$160,915,695	\$168,209,665	\$162,045,096	\$187,645,042	\$212,685,622
Classified Salaries	54,608,418	57,958,408	62,044,090	65,416,711	66,922,755	66,768,031	69,422,371	66,801,417	83,479,389	97,330,767
Employee Benefits	113,403,646	106,378,033	120,541,626	131,226,693	123,475,476	125,188,807	119,124,351	118,136,757	145,712,005	153,900,595
Books and Supplies	25,622,412	36,519,726	24,178,408	26,455,176	35,874,989	22,446,714	29,455,607	46,240,060	47,779,334	43,924,179
Services and Other										
Operating Expenditures	30,224,739	31,608,153	36,530,479	34,985,856	39,321,468	33,310,065	41,995,309	36,112,414	57,106,056	61,777,153
Other Outgo/Indirect Costs	54,700	(70,408)	125,404	68,133	(2,111)	344,434	(1,851)	69,007	(292,682)	4,484
Capital Outlay	3,822,747	7,206,198	2,951,923	10,552,258	3,005,073	5,892,541	2,994,418	5,245,391	13,891,888	75,554,106
Total Expenditures	\$389,919,269	\$393,258,716	\$412,793,329	\$432,133,202	\$433,111,073	\$415,052,787	\$432,199,870	\$434,650,142	\$535,321,032	\$645,176,906
Excess (Deficiency) of Revenues Over Expenditures	(12,207,209)	(9,786,249)	(3,335,302)	187,084	(11,840,635)	5,790,223	(13,948,873)	52,153,935	(70,764,952)	(15,918,907)
Other Financing Sources (Uses)										
Other Sources	-	-	-	211,167	-	2,248,063	3,000,000	103,819	720,000	720,000
Operating transfers out	(339,015)	(233,128)	-	-	-	-	-	-	(720,000)	(720,000)
Total Other Financing Sources (Uses)	(339,015)	(233,128)	-	211,167	-	2,248,063	3,000,000	103,819	-	-
Net Change in Fund Balance	(12,546,224)	(10,019,377)	(3,335,302)	398,251	(11,840,635)	8,038,286	(10,948,873)	52,257,754	(70,764,952)	(15,918,907)
Fund Balances, July 1	73,026,301	73,026,301	63,006,924	63,006,924	63,405,175	63,405,175	71,443,461	71,443,461	123,701,215	123,701,215
Fund Balances, June 30	\$60,480,077	\$63,006,924	\$59,671,622	\$63,405,175	\$51,664,540	\$71,443,461	\$60,494,588	\$123,701,215	\$52,936,263	\$107,782,308

⁽¹⁾ Totals may not add due to rounding.

⁽²⁾ Projected totals.

Source: The District

District Investments

The Kern County Treasurer and Tax Collector (the “Treasurer”) manages, in accordance with California Government Code Section 53600 *et seq.*, funds deposited with the Treasurer by school and community college districts located in the County, various special districts, and some cities within the State of California. State law generally requires that all moneys of the County, school and community college districts and certain special districts located in the County be held in the County’s Treasury Pool.

The composition and value of investments under management in the Treasury Pool vary from time to time depending on cash flow needs of the County and public agencies invested in the pool, maturity or sale of investments, purchase of new securities, and due to fluctuations in interest rates generally.

For a further discussion of the County’s Treasury Pool, see the caption “THE KERN COUNTY TREASURY POOL” in the body of this Official Statement.

Significant Accounting Policies and Audited Financial Statements

The California State Department of Education imposes by law uniform financial reporting and budgeting requirements for K-12 school districts. Financial transactions are accounted for in accordance with the California School Accounting Manual. Eide Bailly LLP, Fresno, California, serves as independent auditor to the District and their report for the Fiscal Year Ended June 30, 2021, are attached hereto as APPENDIX C. The District’s auditor has not specifically approved the inclusion of such excerpts herewith.

Independently audited financial reports are prepared annually in conformity with generally accepted accounting principles for educational institutions. The annual audit report is generally available about six months after the June 30 close of each fiscal year. For the District’s most recent available audited financial statements, see APPENDIX C.

FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA

Public school district revenues consist primarily of guaranteed State moneys, *ad valorem* property taxes and funds received from the State and federal government in the form of categorical aid, which are amounts restricted to specific categories of use, under various ongoing programs. All State apportionment (“State Aid”) is subject to the appropriation of funds in the State’s annual budget. Decreases in State revenues may affect appropriations made by the State Legislature to the District.

Historically, the majority of the District’s annual General Fund revenues (unrestricted) have consisted of payments from or under the control of the State. Payments made to K-12 public schools and public colleges and universities are priority payments for State funds and are expected to be made prior to other State payment obligations. Although the State Constitution protects the priority of payments to K-12 schools, colleges and universities, it does not protect the timing of such payments, and other obligations may be scheduled and have been scheduled to be paid in advance of those dates on which payments to school districts are scheduled to be made.

On June 27, 2013, the State adopted a new method for funding school districts commonly referred to as the “Local Control Funding Formula (the “LCFF”). The LCFF was fully implemented in fiscal year 2018-19 – two years ahead of schedule. See “– *Local Control Funding Formula*” below for more information. Prior to adoption of the LCFF, the State used a revenue limit funding system, described below under “– *Revenue Limit Funding*.”

Revenue Limit Funding. School districts in the State have historically received most of their revenues under a formula known as the “revenue limit.” Generally, revenue limits were calculated for each school district by multiplying the ADA for such district by a base revenue limit per unit of ADA. Revenue limit calculations were subject to adjustment to provide cost of living adjustments (“COLAs”) and to equalize revenues among school districts of the same type. The revenue limit system of funding has been replaced by the LCFF. A description of the revenue limit system is included herein as the District has historically received financial assistance from the State pursuant to this method of appropriations.

Each school district’s revenue limit, which was funded by State moneys and local *ad valorem* property taxes from the general 1% *ad valorem* property tax levy, was allocated based on the ADA of each school district for either the current or preceding school year. Generally, State Aid to a school district amounted to the difference between the school district’s revenue limit and the school district’s local property tax allocation from the general 1% *ad valorem* property tax levy. See “CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS” herein.

Local Control Funding Formula. Effective in fiscal year 2013-14, the State established the LCFF, a new system for funding school districts, charter schools and county offices of education. The LCFF replaces the revenue limit funding system, as well as many categorical programs. The LCFF distributes State resources to schools through a guaranteed base funding grant per unit of ADA (a “Base Grant”). The Base Grants per unit of ADA for each grade span are: (i) \$6,845 for grades K-3; (ii) \$6,947 for grades 4-6; (iii) \$7,154 for grades 7-8; and (iv) \$8,289 for grades 9-12. Full implementation of the LCFF was accomplished in fiscal year 2018-19. During the implementation period, an annual transition adjustment was calculated for each school district, equal to such district’s proportionate share of appropriations included in the State budget to close the gap between the prior-year funding level and the target allocation following full implementation of the LCFF. Beginning in fiscal year 2014-15, the Base Grants were adjusted for COLAs by applying the implicit price deflator for government goods and services. Following full implementation of the LCFF, the provision of COLAs will now be subject to appropriation for such adjustment in the annual State budget.

The Base Grants for grades K-3 are subject to adjustments of 10.4% to cover the costs of class size reduction. Unless otherwise collectively bargained for, school districts serving students in grades K-3 must maintain an average class enrollment of 24 or fewer students in grades K-3 at each school site in order to continue receiving the adjustment to the K-3 Base Grant. The Base Grants for grades 9-12 are subject to adjustments of 2.6% for the provision of career technical education.

School districts that serve students of limited English proficiency (“EL” students), students from low-income families that are eligible for free or reduced priced meals (“LI” students) and foster youth are eligible to receive additional funding grants. Enrollment counts are unduplicated; if the school district has students with both limited English proficiency and eligibility for reduced price meals, for instance, such students will not be duplicated for purposes of determining the additional funding grants. Foster youths automatically qualify for free or reduced priced meals. A supplemental grant add-on (each, a “Supplemental Grant”) is authorized for school districts that serve EL/LI students, equal to 20% of the applicable Base Grant multiplied by such districts’ percentage of unduplicated EL/LI student enrollment. School districts whose EL/LI populations exceed 55% of their total enrollment are eligible for a concentration grant add-on (each, a “Concentration Grant”) equal to 50% of the applicable Base Grant multiplied the percentage of such district’s unduplicated EL/LI student enrollment in excess of the 55% threshold. The following table shows a breakdown of the District’s ADA by grade span, total enrollment, and the percentage of EL/LI student enrollment, for fiscal years 2016-17 through 2020-2021 and projections for fiscal year 2021-22 through fiscal year 2023-24.

BAKERSFIELD CITY SCHOOL DISTRICT
ADA, ENROLLMENT AND EL/LI ENROLLMENT PERCENTAGE
Fiscal Years 2016-17 through 2020-21 and Fiscal Year 2021-22 through 2023-24 Projections

Fiscal Year	Average Daily Attendance⁽¹⁾				Enrollment	
	K-3	4-6	7-8	Total ADA	Total Enrollment	% of EL/LI Enrollment
2016-17	13,505	9,663	5,750	28,918	30,372	89.88
2017-18	13,423	9,785	5,983	29,191	30,699	90.61
2018-19	13,553	9,583	6,275	29,411	30,782	90.48
2019-20	13,491	9,743	6,211	29,445	30,793	92.16
2020-21 ⁽²⁾	13,491	9,743	6,211	29,445	29,307	93.24
2021-22 ⁽³⁾	12,348	9,445	6,172	27,965	29,260	86.76
2022-23 ⁽³⁾	12,348	9,445	6,172	27,965	29,260	86.76
2023-24 ⁽³⁾	12,348	9,445	6,172	27,965	29,260	86.76

⁽¹⁾ Reflects P-2 ADA.

⁽¹⁾ The 2020-21 state budget provided for a hold-harmless clause which allowed for the 2019-20 ADA to be carried forward to 2020-21 due to the effects of the COVID-19 pandemic on ADA.

⁽³⁾ Projected.

Source: The District.

The LCFF provides for a permanent economic recovery target (“ERT”) add-on for school districts that would have received greater funding levels under the revenue limit system. The ERT is equal to the difference between the revenue limit allocations such districts would have received under the prior system in Fiscal Year 2020-21, and the target LCFF allocations owed to such districts in the same year. The ERT add-on will be paid incrementally over the implementing period of the LCFF. The District does not qualify for the ERT add-on.

The sum of a school district’s adjusted Base, Supplemental and Concentration Grants will be multiplied by such district’s P-2 ADA for the current or prior year, whichever is greater (with certain adjustments applicable to small school districts). This funding amount, together with any applicable ERT or categorical block grant add-ons, will yield a district’s total LCFF allocation. Generally, the amount of annual State apportionments received by a school district will amount to the difference between such total LCFF allocation and such district’s share of applicable local property taxes.

Beginning July 1, 2014, school districts are required to develop a three-year Local Control and Accountability Plan (each, an “LCAP”). County Superintendent of Schools and the State Superintendent of Public Instruction will review and provide support to the districts and county offices of education under their jurisdiction. In addition, the Fiscal Year 2013-14 State Budget created the California Collaborative for Education Excellence (the “Collaborative”) to advise and assist school districts, county offices of education, and charter schools in achieving the goals identified in their plans. The State Superintendent of Public Instruction may direct the Collaborative to provide additional assistance to any district, county office, or charter school. For those entities that continue to struggle in meeting their goals, and when the Collaborative indicates that additional intervention is needed, the State Superintendent of Public Instruction has authority to make changes to the district or county office’s local plan. For charter schools, the charter authorizer will be required to consider revocation of a charter if the Collaborative finds that the inadequate performance is so persistent and acute as to warrant revocation. The State will continue to measure student achievement through statewide assessments, produce an Academic Performance Index

for schools and subgroups of students, determine the contents of the school accountability report card, and establish policies to implement the federal accountability system.

State Assistance

The District's principal funding formulas and revenue sources are derived from the budget of the State of California. **The following information concerning the State of California's budgets has been obtained from publicly available information which the District believes to be reliable; however, the State has not entered into any contractual commitment with the District, the Original Purchaser, Bond and Disclosure Counsel or the Owners of the Bonds to provide State budget information to the District or the Owners of the Bonds. Although they believe the State sources of information listed above are reliable, none of the District, Bond and Disclosure Counsel or the Original Purchaser assumes any responsibility for the accuracy of the State budget information set forth or referred to herein or incorporated by reference herein. Additional information regarding State budgets is available at various State-maintained websites, including www.dof.ca.gov, which website is not incorporated herein by reference.**

Risks Related to COVID-19

Introduction. The outbreak of a strain of coronavirus ("COVID-19"), a respiratory tract illness first identified in Wuhan, China in late 2019, spread to numerous countries across the globe, including the United States. COVID-19 has been characterized as a pandemic by the World Health Organization and has resulted in a declaration of a national emergency by the Federal Government on March 13, 2020, as a state of emergency by certain states (including by the State on March 4, 2020) and by local governments and counties. The purpose behind these declarations was to coordinate and formalize emergency actions across federal, state and local governmental agencies, and to proactively prepare for a wider spread of the virus. The pandemic resulted in the imposition of stay-at-home orders, restrictions on gatherings and widespread temporary closings of businesses, universities and schools. Multiple states implemented state-wide school closures for all or part of the 2019-20 and 2020-21 school year, including the State. The United States also implemented certain restrictions on both domestic and international airline travel.

The spread of COVID-19 has significantly altered the behavior of businesses and people in a manner that has had substantial negative impacts on global and local economies. Stock markets in the U.S. and globally have seen significant volatility attributed to COVID-19 and related stay-at-home orders, and the corresponding decreases in business activity attributable thereto. The country's unemployment rate rose to a level not seen since the Great Depression.

On June 28, 2021, Governor Gavin Newsom released the budget for the 2021-22 Fiscal Year (the "2021-22 State Budget"), which also addressed the ongoing impact of the COVID-19 pandemic. See "– Fiscal Year 2021-22 State Budget" below for additional information on the effect of COVID-19 pandemic on the State and its funding of school districts.

Potential Effects of the COVID-19 Pandemic on Assessed Values and Tax Collection. The COVID-19 pandemic has resulted in economic disruption that may cause a general market decline in property values, and therefore affecting the assessed value of property, in the District. In addition, in response to the COVID-19 pandemic, the State has suspended fees, penalties, costs and interest for delinquent property taxes on certain residential and small business property for taxpayers affected by the COVID-19 pandemic, and the County Treasurer and Tax Collector has provided for the cancellations of penalties for delinquent payment of taxes for taxpayers similarly affected. See "SECURITY AND SOURCES OF PAYMENT FOR THE BONDS – Appeals of Assessed Value; Proposition 8 Reductions" and "– *Ad Valorem* Property Taxes, Tax Rates, Levies, Collections and Delinquencies" in the body of this

Official Statement for more information on the potential effects of the COVID-19 pandemic on assessed valuations of property, tax collection and delinquency rates. The District cannot anticipate the effects of the COVID-19 pandemic on assessed values of property in the District or on collection or delinquency rates of property taxes.

District Response to the COVID-19 Pandemic. The District is currently receiving guidance on COVID-19 from State and County health officials which are monitoring the COVID-19 situation, in accordance with COVID-19 guidelines for schools published by the Centers for Disease Control and Prevention. On June 15, 2021, the State fully reopened the economy. Businesses and activities returned to normal except for certain “mega events” (1,000 people indoors or 10,000 outdoors) and with other risk reduction measures. Accordingly, schools within the County are currently permitted to engage in on-site learning with certain restrictions. The District has taken numerous steps to encourage continued learning for enrolled students and has returned to on-site learning with certain modifications to schedules and safety protocols. During the pandemic, the District maintained essential services including, but not limited to, operations, communications, distance learning, payroll, accounts payable, providing meals for students, and ongoing project management. The District has incurred additional operational costs to implement distance learning strategies, deep clean and sanitize its facilities, and purchase additional sanitation and cleaning supplies necessary to maintain sanitation of its facilities. To date, these expenditures have been reimbursed by the Federal government through the CARES Act (described herein).

Additional costs may be borne by the District as circumstances related to the COVID-19 pandemic fluctuate during the 2021-22 school year and subsequent school years. These may include costs related to or associated with: (i) implementing and performing tests and screening for the virus, and monitoring staff and students for signs of illness; (ii) modifications to accommodate students or staff testing positive for the virus, including additional communications systems to exposed staff and students; (iii) obtaining an ongoing supply of personal protective equipment for students and staff; (iv) addressing additional hygiene and handwashing practices, including increasing the frequency of disinfecting high-touch surfaces; (v) implementation of staggered schedules and physical distancing procedures, including utilization of campus locations such as gymnasiums, auditoriums, cafeterias, and outdoor spaces, for educational activities; (vi) incorporation of additional technology to implement distance learning; (vii) altering procedures for cafeterias and provision of food service, including installation of additional physical barriers for provision of food service, such as sneeze guards and partitions, and modification of cafeteria spaces to allow physical distancing; (viii) ensuring adequate air circulation, including potential modification of HVAC systems; (ix) other additional labor costs resulting from the COVID-19 pandemic, including costs of staff training and costs associated with ensuring appropriate staffing levels to meet facility cleanliness and physical distancing requirements; (x) providing services to students and staff with disabilities, or who are otherwise at higher risk of contracting COVID-19; (xi) ensuring adequate support for English-learners and social and emotional support for all students and staff; and (xii) development and implementation of a plan to close physical locations once re-opened, if required by circumstances related to the pandemic.

The District cannot evaluate at this time whether, or the extent to which, any of the above considerations will materially affect its operations or result in material increased costs. The District cannot predict the extent to which the State or Federal government will provide reimbursement or additional funding to offset any of the above expenses, or whether the extent of such funding will be sufficient to cover the entire cost, if provided. The circumstances described above are not unique to the District and will be considerations for all school districts in the State.

Effect of the COVID-19 Pandemic on State Funding of School Districts.

The Bonds are general obligations of the District payable solely from ad valorem property taxes and are not payable from the general fund of the District or from any amounts received from the State discussed below. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.” The impacts set forth below will affect most, if not all school districts in the State, and the effects described below and therein are not unique to the District. For a discussion of the effects of the COVID-19 pandemic on future fiscal years as projected by Governor Newsom, see “– Fiscal Year 2021-22 State Budget” below.

Fiscal Year 2020-21 State Budget Showed Significant Declines in State Revenues. In the 2020-21 State Budget, the State anticipated approximately an overall 7% decline in State Revenues, which without other action, would have resulted in an approximately \$10 billion reduction in spending from the Proposition 98 minimum guarantee set forth the 2019-20 State Budget. The 2020-21 State Budget offset this loss in several ways, including the deferral of approximately \$12.9 billion in payments into the 2021-22 fiscal year to preserve programs for school districts and community college districts and draws of approximately \$8.8 billion in reserves from the BSA, Safety Net Reserve and PSSSA. The 2020-21 State Budget sought to restore up to an approximate of \$11.1 billion in the event federal funds were received by October 15, 2020, with the specific amount depending on the amount of federal funding received. However, the State Department of Finance indicated that these funds were not received by the October 15 deadline and the federal government had not enacted legislation to provide additional federal funding to the State as of that date. However, the Governor’s 2021-22 State Budget indicated significant improvements to State revenues and a proposed elimination of all K-12 deferrals in 2021-22. See “– Fiscal Year 2021-22 State Budget” herein.

In prior fiscal years when the State has received significantly reduced revenues, the State has delayed certain payments to school districts. Under certain conditions, the State may suspend funds guaranteed pursuant to Proposition 98 for one or more years, and payments have been suspended in the past during periods of decreased State revenues. See “CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS – Proposition 98” in the body of this Official Statement. While payments from the State have been delayed during the 2020-21 fiscal year and potentially during future fiscal years, the District cannot predict whether such future delays will occur, the length of any delay or the amount of funds the payment of which will be delayed.

School districts, may hold reserves in their local operating accounts, and although there is significant variation in the level of reserves held by the various school districts, the LAO indicates that school district reserves average seventeen percent of school funding statewide. According to the LAO, the median school district holds reserves equal to approximately twenty-two percent of its expenditures, although about twenty-five percent of school districts hold reserves that account for less than fourteen percent of their expenditures. The District holds unrestricted reserves that account for 15.7% of its expenditures.

Governor Newsom has enacted a number of executive orders and the State Legislature has also adopted legislation in response to the COVID-19 pandemic, including the below:

SB 117: ADA and Enrollment: Under current State law, unless waived by the State Department of Education, a temporary shutdown of District school(s) could reduce the average daily attendance and could impact the funding the District receives from the State. On March 13, 2020, Governor Newsom issued Executive Order N-26-20 (the “Executive Order”), qualifying closure of schools to address COVID-19 as a condition preventing maintenance of schools wherein school districts would continue to receive State funding, and encouraging the implementation of distance learning strategies. On March 17, 2020, Governor Newsom signed Senate Bill 117 (“SB 117”) which, among other things, provided that for

schools that comply with the Executive Order, only attendance during full school months from July 1, 2019 to and including February 29, 2020, will be reported for apportionment purposes for the 2019-20 school year. SB 117 also holds that certain minimum instructional day and minute requirements will be deemed to have been met during the period complying school districts are closed due to COVID-19, in order to prevent a loss of funding due to the COVID-19 outbreak. The District received approximately \$0.5 million in supplemental funding as a result of SB 117.

Executive Orders N-26-20, N-30-20, N-45-20, N-12-21, N-3-22: These orders defined expectations for local educational agencies for service delivery during COVID-19 school closures, suspended state academic assessments for the 2019-20 school year, increased programmatic flexibility for after school programs, required local educational agencies to be transparent with their communities about actions taken to ensure continuity of student learning during the COVID-19 pandemic, provided flexibility to hire retired teachers as necessary to assist schools in providing continuity of educational services for students, and temporarily (1) lowers barriers that delay the hire of qualified short-term substitute teachers; (2) permits substitute teachers to have their assignments extended; and (3) provides additional flexibility to support retired teachers who have returned to the classroom and eliminates barriers that may prevent additional retired teachers from returning.

Assembly Bill 86: On March 5, 2021, Governor Newsom signed into law Assembly Bill 86 (“A.B. 86”). This legislation provides approximately \$6.6 billion in State funding for COVID-19 relief efforts, including \$2 billion in incentives to expedite reopening schools and \$4.6 billion to address the COVID-19 pandemic’s impact on learning. The majority of such funding will be apportioned through the LCFF. A.B. 86 incorporates features of the Proposed 2021-22 State Budget relating to in-person instruction grants to incentivize schools to offer in-person instruction, including \$2 billion for school districts serving certain students, including low-income household students and those with limited internet access, to reopen on-site learning. The \$4.6 billion may fund summer school, tutoring and mental health services to address the educational difficulties of the past year. A.B. 86 also requires county departments of public health to make COVID-19 vaccinations available to employees at schools offering on-site learning. The District will receive approximately \$34.6 million in funds under A.B. 86.

Additional executive orders or legislation may be enacted in response to the pandemic, but the District cannot predict the nature or content of such orders, or the effect they will have on its operations or finances. In addition, certain of these executive orders have been challenged in the courts by affected plaintiffs. The District cannot predict the outcome of any such litigation or whether any resulting change to any executive order will affect the funding of school districts in the State, including the District.

Federal Response to the COVID-19 Pandemic. On March 27, 2020, the Coronavirus Aid, Relief and Economic Security Act (the “CARES Act”) was signed into law, which provides \$30 billion to education, including \$3 billion allocated to state governors to use at their discretion to address the COVID-19 outbreak, \$13.5 billion for K-12 education, and \$14.25 billion for postsecondary education. A school district’s share of the \$13.5 billion K-12 education allowance is based on the proportion of Title I funding received for the most recent fiscal year. The District received \$49.7 million in supplemental funding as a result of the CARES Act.

In December 2020, federal legislation (the “Coronavirus Response and Relief Supplemental Appropriations Act”) was passed to, among other things, provide \$54.3 billion in emergency relief for schools. The District received \$62.5 million in supplemental relief funding as a result of this legislation.

On March 27, 2020, the California Department of Education received final approval from the U.S. Department of Education to waive certain requirements of the Every Student Succeed Act (“ESSA”) program. As a result, new schools will not be identified as needing Comprehensive Support and

Improvement (“CSI”) or Additional Targeted Support and Improvement (“ATSI”) for the 2020-21 school year. Schools that are already identified as CSI or ATSI will remain in their respective status for the 2020-21 school year, eligible to receive additional federal funding.

On March 11, 2021, the President signed into law a \$1.9 trillion COVID-19 relief package referred to as the American Rescue Plan Act of 2021 (“ARPA”). ARPA provides approximately \$126 billion for K-12 schools, and known as “Elementary & Secondary School Emergency Relief (“ESSER”) funding, the allocation of which will be based on the proportion of funding received for the most-recent fiscal year. The District has received approximately \$140 million in federal COVID-19 related ARPA supplemental funding.

Additional information with respect to events surrounding the outbreak of COVID-19 and responses thereto can be found on State and local government websites, including but not limited to the CDC (<https://www.cdc.gov/coronavirus/2019-nCoV/index.html>), the Governor’s office (<http://www.gov.ca.gov>) and the California Department of Public Health (<http://covid19.ca.gov/>). *The District has not incorporated by reference the information on such websites and the District does not assume any responsibility for the accuracy of the information on such websites.*

Fiscal Year 2021-22 State Budget

Introduction. On June 28, 2021, Governor Gavin Newsom signed the fiscal year 2021-22 budget (the “2021-22 State Budget”). The COVID-19 pandemic triggered a nationwide recession in February 2020. Despite the global economic crisis caused by the COVID-19 pandemic, the 2021-22 State Budget asserts that its prudent fiscal planning is supporting the State’s recovery from the COVID-19 recession. The combination of the State’s surplus and federal relief funds gives California the opportunity to make once-in-a-generation investments in a more equitable future for the State. However, the multi-year forecast reflects a return to revenue growth more in line with a typical economic expansion, thereby limiting ongoing spending. Accordingly, the multi-year forecast reflects a budget kept in balance by focusing on one-time spending. The State has paid off budgetary debts and has multi-year plans to pay down its long-term retirement liabilities. These actions, coupled with historic reserve levels, enhance the State’s budget resiliency.

The 2021-22 State Budget recognizes that the COVID-19 pandemic impacted every sector of the State’s economy and caused record high unemployment—the State’s unemployment rate increased from a low of 4.3 percent in February 2020 to a record high of 16 percent in April 2020 and exacerbated underemployment, resulting in 1.2 million fewer Californians employed in May 2021 than in February 2020.

According to the 2021-22 State Budget, the State and its economy will benefit from over \$600 billion provided in federal funds due to federal stimulus bills. The 2021-22 State Budget expects the State will receive over \$43 billion in combined ARPA recovery funds to cover costs incurred between March 3, 2021 and December 31, 2024 to mitigate the impacts of the COVID-19 pandemic, including \$27 billion in State fiscal recovery funds (the “Coronavirus State Fiscal Recovery Fund”). The 2021-22 State Budget proposes to use the Coronavirus State Fiscal Recovery Fund as follows: (1) \$1.8 billion of support for State and local emergency response to COVID-19 and to address public health impacts of the COVID-19 pandemic, including the effects on children and youth stemming from quarantine requirements and distance learning; (2) \$12.2 billion to address various economic and disproportionate impacts of COVID-19 on households, individuals, businesses, and industry; (3) \$9.2 billion to replace lost State revenue due to the COVID-19 pandemic; and (4) \$3.8 billion in investments to promote access to and affordability of broadband internet.

Current estimates of total direct pandemic emergency response costs to the State are approximately \$12.5 billion, which represents costs incurred in fiscal years 2019-20 and 2020-21 as well as estimated costs in fiscal year 2020-21 and projected costs in fiscal year 2021-22. These expenditures are estimated to have a net general fund cost of approximately \$1 billion.

The 2021-22 State Budget projects State general fund revenues in the amount of \$188.8 billion in fiscal year 2020-21 and \$175.3 billion in fiscal year 2021-22. State general fund expenditures for fiscal year 2021-22 are expected to be \$196.4 billion (an increase of approximately \$30.3 billion from fiscal year 2020-21 general fund expenditures), of which \$65.4 billion (33.3 percent) is allocated to K-12 education. The 2021-22 State Budget projects that the State will end fiscal year 2020-21 with a reserve balance of approximately \$37.4 billion (comprised of an approximate balance of \$25.1 billion in the Special Fund for Economic Uncertainties (“SFEU”) and an approximate balance of \$12.3 billion in the BSA), and that the State will end fiscal year 2021-22 with an approximately \$19.8 billion reserve balance (comprised of approximately \$4.0 billion in the SFEU and approximately \$15.8 billion in the BSA).

The 2021-22 State Budget includes (i) \$3.4 billion payments in fiscal year 2021-22 to continue to pay down the State’s long-term retirement liabilities required by Proposition 2 and \$7.9 billion in additional payments over the next three years; (ii) \$1.5 billion investment in the Small Business COVID-19 Relief Grant Program; (iii) \$2 billion to pay down unpaid utility debt accumulated during the pandemic; (iv) \$93.7 billion in Proposition 98 funding in fiscal year 2021-22 which represents nearly \$14,000 per pupil and \$21,555 per pupil when accounting for all funding sources; (v) \$12 billion over two years to combat homelessness, including \$150 million to support transitions to permanent housing; (vi) \$291.3 million general fund for State Supplemental Payment grant increases to help reduce poverty; and (vii) \$135 million for the Governor’s Office of Emergency Services to strengthen the State’s emergency capacity and capabilities.

The State Appropriations Limit, or “Gann Limit,” caps the amount of revenues from proceeds of taxes that can be appropriated by the State, which serves to constrain State spending. Any excess revenues appropriated above the State’s limit over a two-year period must ultimately be reallocated evenly between schools and taxpayer refunds. The 2021-22 State Budget projects the State to be below the Gann Limit for the fiscal years 2020-21 and 2021-22, based in part on statutory changes enacted as part of the 2021-22 State Budget that more accurately account for selected expenditures under both State and local limits and a revised level of excluded spending. The estimate for this two-year period will continue to be revised until May 2023.

K-12 Education. The 2021-22 State Budget includes total funding of \$123.9 billion (\$65.5 billion State general fund and \$58.4 billion other funds) for all K-12 education programs—the highest level of funding in the State’s history. The 2021-22 State Budget pays off all LCFF apportionment deferrals under the 2020-21 State Budget and includes funding for the California for All Kids Plan—investing in universal transitional kindergarten, offering year-round access to enrichment and extended-day supplemental education programs in low-income communities, improving teacher preparation and training, increasing staff on school campuses and increasing access to school-based nutrition for all students.

California for All Kids. The 2021-22 State Budget includes a package of investments in pre-kindergarten through 12 education designed to improve outcomes for all young Californians. The 2021-22 State Budget achieves these goals through funding for all of the following:

- Universal access to transitional kindergarten (pre-kindergarten) so all children are prepared to succeed in school.

- Statewide expansion of and infrastructure to support community schools, which partner with families and communities to meet students' health, academic, and social emotional needs.
- Year-round access to enrichment activities and before/after-school supplemental education programs for children in low-income communities.
- Universal access to high-quality, subsidized school meals.
- Well-prepared and well-supported teachers to address persistent shortages and accelerate learning for students.
- Deeper connections and relationships between students and adults on campus, with training in tiered systems of student supports, including more school counselors, social workers, and nurses.
- More intervention-focused special education programs.
- Improved and more integrated relationship between schools and health care plans, county health, and social services to provide school-based services to children.
- Greater student access to broadband Internet and computer technology, both in the classroom and at home.

Proposition 98. Proposition 98 is a voter-approved constitutional amendment that guarantees minimum funding levels for K-12 schools and community colleges. The Proposition 98 guarantee, which went into effect in the 1988-89 fiscal year, determines funding levels according to multiple factors including the level of funding in 1986-87, State general fund revenues, per capita personal income, and school attendance growth or decline (the “Proposition 98 Guarantee”). See “CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS – Proposition 98” in the body of this Official Statement for more information on Proposition 98. The LCFF is the primary mechanism for distributing these funds to support all students attending K-12 public schools in the State.

The Proposition 98 Guarantee continues to be in a “Test 1” for all fiscal years 2019-20 through 2021-22. This means that the funding level of the Proposition 98 Guarantee is equal to approximately 38 percent of State general fund revenues, plus local property tax revenues. The significant increase in revenues projected for fiscal year 2020-21 and fiscal year 2021-22 results in a corresponding increase in resources for K-14 schools. Proposition 98 is estimated to be \$79.3 billion in fiscal year 2019-20, \$93.4 billion in fiscal year 2020-21, and \$93.7 billion in fiscal year 2021-22, representing a historically high three-year increase in the minimum Proposition 98 Guarantee of \$47 billion over the level funded in the 2020-21 State Budget.

Proposition 98 Rainy Day Fund. The 2021-22 State Budget includes payments of \$1.9 billion and \$2.6 billion in fiscal years 2020-21 and 2021-22, respectively, into the PSSSA, for a total account balance of \$4.5 billion at the end of fiscal year 2021-22. Under current State law, there is a cap of 10 percent on school district reserves in fiscal years immediately succeeding those in which the balance in the PSSSA is equal to or greater than 3 percent of the total K-12 share of the Proposition 98 Guarantee. The balance of \$4.5 billion in fiscal year 2021-22 triggers school district reserve caps beginning in fiscal year 2022-23.

Local Control Funding Formula (“LCFF”). The 2021-22 State Budget includes a compounded LCFF cost-of-living adjustment of 4.05 percent, representing a fiscal year 2020-21 cost-of-living

adjustment of 2.31 percent and a fiscal year 2021-22 cost-of-living adjustment of 1.7 percent. Additionally, to help local educational agencies address ongoing fiscal pressures, the 2021-22 State Budget includes \$520 million Proposition 98 General Fund to provide a 1 percent increase in LCFF base funding. This discretionary increase, when combined with the compounded cost-of-living adjustment, results in growth in the LCFF of 5.07 percent over fiscal year 2020-21 levels.

Deferrals. COVID-19 recession-driven revenue reductions anticipated at the 2020-21 State Budget drove the need to defer LCFF apportionments, in the amounts of \$1.9 billion in fiscal year 2019-20, growing to more than \$11 billion in fiscal year 2020-21. The 2021-22 State Budget eliminates all K-12 deferrals in fiscal year 2021-22.

Universal Transitional Kindergarten and State Preschool. To provide access to free, high-quality, inclusive pre-kindergarten education for all children, the 2021-22 State Budget includes a series of investments beginning in fiscal year 2022-23 to incrementally establish universal transitional kindergarten, with full implementation by fiscal year 2025-26. Universal transitional kindergarten will be phased-in over five years, with local educational agencies able to use fiscal year 2021-22 for planning and infrastructure development. Additional access for four-year-olds will be implemented in increments of two months of age per year from fiscal year 2022-23 through fiscal year 2024-25 and three months of age in fiscal year 2025-26, when all four-year-olds will be eligible. The costs of this plan are anticipated to be approximately \$600 million general fund in fiscal year 2022-23, growing to \$2.7 billion in fiscal year 2025-26 (the Proposition 98 Guarantee will be “rebenched” to draw down general fund for the costs of new enrollment in each year of increased investment). Additionally, the 2021-22 State Budget includes \$200 million one-time Proposition 98 General Fund for planning and implementation grants for all local educational agencies and \$100 million one-time Proposition 98 General Fund for local educational agencies to train and increase the number of early childhood educators.

To build on and enhance the quality of the existing transitional kindergarten program, the 2021-22 State Budget also proposes new ongoing Proposition 98 General Fund beginning in fiscal year 2022-23 to provide one additional certificated or classified staff person in each transitional kindergarten classroom, reducing adult-to-child ratios from 1:24 to 1:12. Additionally, to the extent that additional funding is provided for this purpose, beginning in the 2023-24 school year, these ratios could be further reduced to 1:10.

Further, to maximize parent choice, the 2021-22 State Budget clarifies that otherwise-eligible children remain eligible for transitional kindergarten, State Preschool, Head Start, or any other State or federal child care program that a student’s parent or guardian decides is best for them. Finally, the 2021-22 State Budget also encourages schools to consider using State Preschool operators to provide wraparound care for their income-eligible students, to ensure a full day of developmentally appropriate care and education for these children. To provide the resources necessary to ensure that State Preschool providers can meet these demands, the 2021-22 State Budget includes \$130 million Proposition 98 General Fund for additional student access, as well as increasing reimbursement rates to more closely reflect regional differences in the cost of providing care.

Comprehensive Student Supports. To build up the capacity of schools to become stable hubs for a wider spectrum of basic student needs and real-world learning, the 2021-22 State Budget includes \$3 billion Proposition 98 General Fund, available over several years, to expand and strengthen the implementation and use of the community school model to all schools in communities with high levels of poverty. Community schools partner with education, county, and nonprofit entities to provide integrated health, mental health, and social services alongside high-quality, supportive instruction. In addition to these integrated student supports, community schools offer expanded learning time, active family and community engagement, and collaborative leadership and practices, which are also funded in other

proposals in the 2021-22 State Budget. Over \$140 million of the nearly \$3 billion will support the establishment of regional technical assistance centers across the state to assist local educational agencies in establishing and maintaining community schools using multiple funding sources to meet students' needs.

To increase the number of adults providing direct services to students on school campuses, the 2021-22 State Budget includes an ongoing increase to the LCFF concentration grant of \$1.1 billion Proposition 98 General Fund, increasing the concentration grant from 50 to 65 percent of the LCFF base grant. Local educational agencies that are recipients of these funds will be required to demonstrate in their local control and accountability plans how these funds are used to increase the number of certificated and classified staff on their campuses, including school counselors, nurses, teachers, paraprofessionals, custodial staff, and other student support providers. Also, in recognition of the disproportionate impact of the COVID-19 pandemic on youth in foster care, county offices of education will receive an additional \$30 million one-time Proposition 98 General Fund to work with local partners to coordinate and provide direct services to these students.

Further, the 2021-22 State Budget provides \$547.5 million one-time Proposition 98 General Fund for the A-G Completion Improvement Grant Program, which will fund high schools to increase the number of students, particularly students eligible for free and/or reduced price meals, English learners, and foster youth, who graduate from high school having completed the A-G series of classes required for admission to the California State University and University of California. The COVID-19 Pandemic made completion of these classes more difficult for many students, and the extra supports that will be provided to them with these resources will help them get back on track.

Expanded Learning Time. To provide children with expanded learning opportunities regardless of their family income, the 2021-22 State Budget makes an initial \$1.8 billion Proposition 98 General Fund investment as part of a multi-year plan to implement expanded-day, full-year instruction and enrichment for all elementary school students, with a focus on local educational agencies with the highest concentrations of low-income students, English language learners, and youth in foster care.

Pursuant to this plan, all local educational agencies will receive funding for expanded learning opportunities based on their number of low-income students, English language learners, and youth in foster care, with local educational agencies with the highest concentrations of these students receiving a higher funding rate. All local educational agencies will be required to offer expanded learning opportunities to the students generating the funding, with the local educational agencies receiving the higher funding rate required to offer expanded learning opportunities to all students. These students will have access to no-cost after school and summer programs, which when combined with regular instructional time, will provide these students with the opportunity for nine hours of developmentally appropriate academics and enrichment activities per instructional day and for six weeks each summer.

Similar to the existing After School Education and Safety Program, these programs will offer developmentally appropriate enrichment to students, including:

- an educational element in which tutoring or homework assistance is provided, and
- a supplemental element including, but not limited to, Science, Technology, Engineering, and Mathematics (“STEM”); fine arts; career technical education; recreation; and physical fitness.

Additionally, these programs will be required to maintain adult-to-student ratios of no less than 1:10 for transitional kindergarten and kindergarten students and 1:20 for students in first through sixth grades.

Funding for expanded learning opportunities is expected to increase over the course of five years, growing to \$5 billion in fiscal year 2025-26. Over the implementation period, per pupil funding will increase and more local educational agencies will be expected to expand access to all students. In the meantime, local educational agencies are encouraged to expand access beyond the targeted student population by incorporating fee-based services into their programs for students whose families can afford to pay, using a graduated fee schedule that considers family income.

Educator Preparation, Retention, and Training. Preparing, training, and recruiting a diverse, expert workforce of administrative, credentialed, and classified staff to work in public K-12 schools is critical to the success of the entire system. To further expand the state's educator preparation and training infrastructure, including to meet the need for additional early childhood educators, the 2021-22 State Budget provides approximately \$2.9 billion to support educator initiatives. These proposals include:

Workforce Preparation.

- \$500 million one-time general fund over five years for the Golden State Teacher grants, which would support a combined total of at least 25,000 grants for teacher credential candidates who commit to teach at a priority school, in a high-need subject matter area, for four years.
- \$350 million one-time Proposition 98 General Fund over five years to support teacher preparation residencies and other grow-your-own teacher credentialing programs.
- \$125 million one-time Proposition 98 General Fund over five years for the Classified School Employee Teacher Credentialing Program, to support more than 5,000 classified school staff in becoming credentialed teachers.
- \$20 million one-time general fund to provide a credential fee waiver in fiscal year 2021-22 for individuals entering the K-12 educator workforce.
- \$15 million one-time Proposition 98 General Fund over three years to support 6,000 teachers in completing the coursework necessary to receive state certification to teach computer science.
- \$1.7 million one-time Proposition 98 General Fund to support the educator recruitment work of the Center on Teaching Careers.
- Statute authorizing new pathways for prospective teachers to establish basic skills and subject matter competency, through coursework and upgrades to existing examinations.

Retention and Training.

- \$1.5 billion one-time Proposition 98 General Fund over five years for the Educator Effectiveness Block Grant, to provide local educational agencies with training resources for classified, certificated, and administrative school staff in specified high-need topics, including accelerated learning, social-emotional learning, re-engaging students, restorative practices, and implicit bias training.
- \$250 million one-time Proposition 98 General Fund over five years to incentivize 2,500 highly-qualified National Board Certified teachers to teach and mentor other instructional staff in high poverty schools.

- \$60 million one-time Proposition 98 General Fund for the Classified School Employee Summer Assistance Program, which provides matching funds for intersessional pay for classified employees that work less than 12 months per year.
- \$50 million one-time Proposition 98 General Fund for the California Collaborative for Educational Excellence to administer evidence-based professional development for educators that can support learning acceleration for California's diverse student population, particularly in mathematics, literacy and language development.
- \$25 million one-time Proposition 98 General Fund over five years for the 21st Century California School Leadership Academy, to provide high-quality professional learning for administrators and other school leaders.
- Additional one-time funds are also provided to increase educator training and resources in early math, reading, science instruction, computer science, dyslexia, anti-bias strategies, environmental literacy, open educational resources, ethnic studies, and LGBTQ+ cultural competency.

Finally, the 2021-22 State Budget proposes aligning teacher preparation programs with new teacher expectations for the instruction of students with exceptional needs, including dyslexia.

Universal School Nutrition. To ensure that nutrition program benefits are available to all children, and to reduce the stigma of free and reduced-price meals, the 2021-22 State Budget provides an additional \$54 million Proposition 98 General Fund to reimburse all meals served to students, including for those who would not normally qualify for reimbursement under the state meal program. Federal waivers allow schools to operate the federal Seamless Summer Option throughout the fiscal year 2021-22 school year and will allow participating schools to offer free meals to all students, regardless of income eligibility, while providing federal reimbursement at the free rate for all meals served.

Beginning in fiscal year 2022-23 school year, all public schools will be required to provide two free meals per day to any student who requests a meal, regardless of income eligibility. Further, all schools eligible for the Community Eligibility Provision, the federal universal meals provision, will be required to apply for the program by June 30, 2022 (if they are not already participating) to reduce volatility in costs to the State and ensure the State is not responsible for costs that could be reimbursed at the federal level. The State will then cover any remaining unreimbursed costs up to the federal free per-meal rate, at an estimated cost of \$650 million Proposition 98 General Fund annually.

Additionally, the 2021-22 State Budget provides \$150 million one-time Proposition 98 General Fund for school districts to upgrade kitchen infrastructure and equipment, as well as provide training to food service employees. Of this amount, \$120 million will provide a minimum of \$25,000 per district for kitchen upgrades and equipment, and \$30 million to provide a minimum of \$2,000 per district for training to promote nutritious foods, food preparation, and healthy food marketing.

Special Education. The 2021-22 State Budget reflects the State's ongoing commitment to invest in and improve instruction and services for students with disabilities. Specifically, the 2021-22 State Budget includes the following for special education programs:

- \$450 million one-time Proposition 98 General Fund for local educational agencies to provide learning recovery supports for students with disabilities.

- \$396.9 million ongoing Proposition 98 General Fund to increase the statewide base rate for special education funding.
- \$277.7 million one-time federal Individuals with Disabilities Education Act (“IDEA”) funds to local educational agencies to increase general statewide special education resources.
- \$260 million ongoing Proposition 98 General Fund to support early intervention services for preschool-aged children.
- \$186.1 million ongoing Proposition 98 General Fund to provide a 4.05-percent cost-of-living adjustment for state special education funding.
- \$100 million one-time Proposition 98 General Fund for alternative dispute resolution to provide more opportunities for efficient and effective resolution of special education services complaints.
- \$15 million one-time Proposition 98 General Fund for grants to LEAs to improve the delivery of inclusive practices.
- \$10 million one-time federal IDEA funds to provide technical assistance and support to local educational agencies in developing and administering comprehensive individualized education programs and to develop tools and resources to assess and address academic impacts of the Pandemic on students with disabilities.
- \$7 million ongoing federal IDEA funds to support and expand Family Empowerment Centers.
- \$2.3 million federal IDEA funds (of which \$965,000 is available on a one-time basis) and six positions for the Department of Education to address special education complaints, perform court-ordered special education monitoring of local educational agencies, and to purchase special education monitoring software.

Independent Study. The 2021-22 State Budget requires that all districts return to full-time in-person instruction for the 2021-22 school year. Consistent with all school years prior to 2020-21, this mode of instruction will be the default for all students, and generally one of only two ways in which local educational agencies can earn state apportionment funding in fiscal year 2021-22. However, the 2021-22 State Budget requires school districts and county offices of education to provide students with an independent study option and includes a series of improvements to the State’s existing independent study programs.

Specifically, local educational agencies will provide non-classroom based instruction using the existing traditional and course-based independent study models, but will have additional requirements to: (1) provide opportunities for synchronous instruction and live interaction; (2) ensure access to technology, internet connectivity, and a dedicated and rigorous curriculum; (3) develop and implement a framework of tiered re-engagement strategies for students not meaningfully participating in instruction; and (4) track student learning to ensure that students are making satisfactory educational progress.

Other K-12 Budget Adjustments.

Other significant adjustments include:

- Career Technical Education – An increase of \$150 million ongoing Proposition 98 General Fund to augment opportunities for local educational agencies to participate in the Career Technical Education Incentive Grant Program.
- Career Technical Education ROCPs – An increase of \$86.4 million one-time Proposition 98 General Fund for career technical education regional occupational centers or programs (“ROCPs”) operated by a joint powers authority to address costs associated with the COVID-19 pandemic.
- Court Schools – An increase of \$80 million one-time Proposition 98 General Fund for court schools to address costs associated with the COVID-19 pandemic.
- State Special School Facilities – \$20.2 million general fund and a commitment for \$106.3 million in future years for three new projects and one continuing project. The new projects would renovate 26 student residences and provide a perimeter fence at the Fremont campus and demolish 16 vacated modular buildings at the Riverside campus.

LAO Overview of 2021-22 State Budget. The Legislative Analyst’s Office (the “LAO”), a nonpartisan State office which provides fiscal and policy information and advice to the State Legislature, released its preliminary analysis of the Fiscal Year 2021-22 State Budget Act, entitled “The 2021-22 Budget: Overview of the California Spending Plan (Preliminary Version)” (the “2021-22 Budget Overview”). In the 2021-22 Budget Overview, the LAO summarizes the 2021-22 State Budget and highlights certain major features, including the condition of the general fund, revenues and spending.

General Fund Condition. The 2021-22 Budget Overview notes the 2021-22 State Budget’s assumption that the State will end fiscal year 2021-22 with nearly \$21 billion in total reserves, consisting of (i) \$15.8 billion in the BSA, (ii) \$4 billion in the SFEU, and (iii) \$900 million in the Safety Net Reserve. Additionally, the Proposition 98 Reserve would reach \$4.5 billion under the 2021-22 State Budget spending plan. The 2021-22 State Budget includes two major discretionary spending amounts that are excluded from the State Appropriations Limit. First, the 2021-22 State Budget includes \$18 billion (\$16.4 billion general fund) in “qualified” capital outlay expenditures, which is spending that meets the statutory definition of capital outlay for exclusion under the State Appropriations Limit. Second, trailer bill language clarifies that the \$8.1 billion in Golden State Stimulus payments are related to the state of emergency as a result of COVID-19 and are therefore exempt from the State Appropriations Limit. Additionally, the 2021-22 State Budget includes two other more significant adjustments to the State Appropriations Limit, which both increase room under the limit. First, trailer bill legislation reflects the intent of the Legislature to count realignment revenues to local governments as subventions in accordance with the changes in the state-local fiscal relationship that have occurred since 1980. This results in an additional \$12.2 billion in room in fiscal year 2021-22. Second, the 2021-22 State Budget includes trailer bill language that recognizes room under the limits of school and community colleges at the state level. This results in an additional \$4.3 billion in room in fiscal year 2021-22.

The LAO estimates that the Legislature had a \$47 billion surplus to allocate in the 2021-22 State Budget. This surplus reflects significantly higher revenues than were estimated at the time of the 2020-21 State Budget. This change in surplus amount is primarily due to the 2021-22 State Budget use of \$9.2 billion in ARPA fiscal relief funds to offset general fund revenue losses that have occurred due to the

COVID-19 pandemic. Allocation of the \$47 billion general fund surplus includes nearly \$39 billion spending on one-time or temporary program augmentations.

Revenues. The LAO notes that revenues for fiscal year 2020-21 reached historic highs. Between fiscal years 2019-20 and 2020-21, revenues are estimated to have increased 25%—the largest single year increase in over four decades. However, the 2021-22 State Budget assumes general fund revenues and transfers will be \$175 billion in fiscal year 2021-22, which represents a decline of 7 percent over the historic fiscal year 2020-21 level. This decline is due to a number of factors, including the nearly \$8 billion withdrawal from the BSA in fiscal year 2020-21 and an anticipated decline in collections from personal income tax and corporation tax. The 2021-22 Budget Overview also notes certain policy changes, including new options for owners of certain businesses to restructure their taxes in a way that reduces their federal income taxes, which may result in owners paying somewhat higher state taxes. It is estimated that this change will increase general fund revenues by \$1.3 billion in fiscal year 2021-22, with lower gains in the out years.

Spending. The LAO Overview also notes that the 2021-22 State Budget assumes total state spending of \$258 billion in fiscal year 2021-22, an increase of nearly \$30 billion from the revised fiscal year 2020-21 level. This increase in spending reflects the general fund spending associated with the significant general fund surplus in fiscal year 2021-22. Federal funds are expected to decline substantially between fiscal years 2020-21 and 2021-22 (from \$277 billion to \$193 billion) due to the significant federal funds the State received from federally enhanced unemployment insurance benefits, which are accounted for in the 2021-22 State Budget in the Employment Development Department (“EDD”). Accordingly, federal spending in EDD is assumed to reach \$140 billion in fiscal year 2020-21 and will decline to \$34 billion in fiscal year 2021-22. The State also received substantial federal funds through several pieces of federal legislation, particularly from ARPA. ARPA included \$27 billion in fiscal relief funds to the State, which are mostly budgeted in the 2021-22 State Budget. The 2021-22 Budget Overview also highlights that the 2021-22 State Budget includes: (i) \$72 billion in discretionary general fund spending choices (about \$30 billion in discretionary spending choices within the Proposition 98 minimum funding level for schools and community colleges and \$42 billion of the total general fund surplus to a range of different program areas); (ii) \$27 billion in ARPA fiscal relief funds (to be used by December 31, 2024; (iii) \$550 million in Coronavirus Capital Projects Fund from ARPA, which is available to the State on a more flexible basis and which the 2021-22 State Budget has allocated to broadband infrastructure; and (iv) additional Medicaid-related federal funds from ARPA that allow the State to draw down an additional \$3 billion in Medicaid home-and community-based services funds.

K-14 Education Spending. The LAO notes that a major feature of the 2021-22 State Budget is a significant increase in school and community college funding, including a 5.07 percent baseline increase for the primary school and community college funding formulas. For fiscal year 2020-21, the minimum funding requirement was up \$22.5 billion (31.8 percent) compared with the estimates made in June 2020. This increase represented the largest upward revision since the passage of Proposition 98 and is due to higher general fund revenue estimates. For fiscal year 2021-22, the minimum annual funding requirement increases by an additional \$309 million (0.3 percent) relative to the revised level for fiscal year 2020-21. Separately, the \$30 billion in discretionary Proposition 98 funds noted above are to be used toward the constitutionally required funding increases for schools and community colleges. Of the \$30 billion, \$26 billion are one-time funds with the largest allocation being \$12.5 billion to pay down the deferrals the State adopted as part of the Fiscal Year 2019-20 State Budget Act, while the remaining \$4 billion is ongoing, with almost two-thirds allocated to provide academic support and expanded learning time for disadvantaged students. Specifically, schools will focus on providing academic support for disadvantaged students, reopening schools and addressing learning loss, enhancing the education workforce, and implementing new curriculum or instructional practices in certain subjects.

Finally, the LAO highlights that trailer legislation that adopted in June 2020 would have required the State to make payments to schools and community colleges on top of the minimum funding requirement beginning in fiscal year 2021-22, however, the additional payments have been repealed by the 2021-22 State Budget due to significant revenue increases that have occurred since that time. Instead, the 2021-22 State Budget makes a commitment that will increase funding for schools—above the existing minimum requirement—on an ongoing basis. This commitment establishes a plan to make all four-year olds eligible for Transitional Kindergarten by fiscal year 2025-26, with associated costs—approximately \$2.7 billion at full implementation—by adjusting the Proposition 98 formulas to increase the share of the general fund revenue allocated to schools.

The 2021-22 Budget Overview is available on the LAO website at www.lao.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such references.

Fiscal Year 2022-23 Proposed State Budget

On January 10, 2022, Governor Newsom released his proposed fiscal year 2022-23 state budget (the “2022-23 Proposed State Budget”), which projects general fund revenues at \$197 billion in fiscal year 2021-22 and \$196 billion in fiscal year 2022-23. The State is projected to end fiscal year 2021-22 with a reserve balance of approximately \$39.8 billion, comprised of approximately \$20.5 billion in the SFEU and approximately \$19.3 billion in the BSA. Fiscal year 2022-23 is expected to end with approximately \$24.0 billion in the reserve balance, comprised of approximately \$3.1 billion in the SFEU and approximately \$20.9 billion in the BSA. The 2022-23 Proposed State Budget sets aside \$3.1 billion for the PSSSA, bringing its total balance to \$9.7 billion. The PSSSA balance of \$6.7 billion in fiscal year 2021-22 triggered school district reserve caps beginning in fiscal year 2022-23. The BSA is now at its constitutional maximum (10% of General Fund revenues) requiring \$2.4 billion to be dedicated for infrastructure investments in fiscal year 2022-23.

The 2022-23 Proposed State Budget supports various safety, health, business and climate change initiatives. The 2022-23 Proposed State Budget accelerates the pay down of the State’s retirement liabilities as required by Proposition 2, with \$3.9 billion in additional payments required in fiscal year 2022-23 and nearly \$8.4 billion projected to be paid over the next three years. Finally, the 2022-23 Proposed State Budget projects that the Gann Limit will be exceeded in the 2020-21 and 2021-22 fiscal years. Any funds above this limit are constitutionally required to be allocated evenly between schools and a tax refund.

Proposition 98. Under the 2022-23 Proposed State Budget, general fund expenditures for fiscal year 2022-23 are \$213.1 billion (an increase of nearly \$3.1 billion from fiscal year 2021-22 general fund expenditures), of which \$70.4 billion (33%) is allocated to K-12 education. The 2022-23 Proposed State Budget provides Proposition 98 funding of \$102 billion for fiscal year 2022-23—an increased investment of \$8.2 billion in schools and community colleges above the level funded in the 2021-22 State Budget, and the highest level of state funding for K-14 schools. The 2022-23 Proposed State Budget includes total funding of \$119 billion (\$70.5 billion General Fund and \$48.5 billion other funds) for all K-12 education programs.

School Fiscal Stability and Declining Enrollment Protections. The 2022-23 Proposed State Budget provides funding to address students’ needs due to the COVID-19 pandemic. Some local educational agencies are facing fiscal challenges associated with declining student enrollment and high absenteeism, which directly impact state and federal fund allocations. To support the fiscal stability of all local educational agencies, including those with a declining student population, the 2022-23 Proposed

State Budget proposes changes to the ADA component of the LCFF and the independent study program to help school districts better manage declining enrollment and simplify the collection of attendance in virtual instructional programs.

To allow school districts to adjust to enrollment-related funding declines and minimize the impacts of a single-year drop in enrollment, the 2022-23 Proposed State Budget amends the LCFF calculation to consider the greater of a school district's current year, prior year, or the average of three prior years' ADA. This formula change will help districts with significant declining enrollment and better serve remaining students. Ongoing costs associated with these policies are estimated to be \$1.2 billion Proposition 98 General Fund.

Early Education. Pursuant to the 2021-22 State Budget, the 2022-23 Proposed State Budget proposes \$639.2 million General Fund to expand eligibility for transitional kindergarten, from all children turning five-years-old between September 2 and December 2 to all children turning five-years-old between September 2 and February 2, beginning in the 2022-23 school year. These funds will increase the Proposition 98 guarantee through the process of rebenchmarking, increasing the percentage of General Fund revenues due to the Proposition 98 guarantee from 38.02% to 38.4% to accommodate enrollment increases related to the expansion of transitional kindergarten. Additionally, the 2022-23 Proposed State Budget proposes \$383 million Proposition 98 funds to add one additional certificated or classified staff person to every transitional kindergarten class, reducing student-to-adult ratios to more closely align with the State's preschool program.

The 2022-23 Proposed State Budget also invests \$197.8 million Proposition 98 funds and \$110.6 million general funds to increase State preschool program adjustment factors for students with disabilities and dual language learners. The 2022-23 Proposed State Budget proposes \$500 million one-time funding to support the Inclusive Early Education Expansion Program, which funds infrastructure necessary to support general education and special education students in inclusive classrooms.

The investments described above are in addition to more than \$4.3 billion in resources being provided to early learning and child care programs over a four-year period (beginning in fiscal year 2021-22), from the 2021-22 State Budget. As part of this multi-year plan, the 2022-23 Proposed State Budget proposes \$166.2 million Proposition 98 funding to cover full-year costs of State preschool rate increases that began January 1, 2022.

Educator Workforce. The 2022-23 Proposed State Budget proposes \$54.4 million to build upon the multi-year investments included in the 2021-22 State Budget to support efforts to enhance schools' ability to hire qualified teachers and substitutes.

Expanded Learning Opportunities Program. The 2022-23 Proposed State Budget proposes an additional \$3.4 billion for the Expanded Learning Opportunities Program above the 2021-22 State Budget amount. The Expanded Learning Opportunities Program will, by fiscal year 2025-26, provide all students in low income communities with no-cost access to nine hours of developmentally appropriate academics and enrichment activities per instructional day and for six weeks each summer. The 2022-23 Proposed State Budget also proposes \$937 million one-time funding to support Expanded Learning Opportunities Program infrastructure, with a focus on integrating arts and music programming into the enrichment options for students.

Special Education. The 2022-23 Proposed State Budget proposes an additional \$500 million ongoing funds above the 2021-22 State Budget amount for the special education funding formula, paired with certain policy changes to further the State's commitment to improving special education instruction and services.

College and Career Pathways. The 2022-23 Proposed State Budget proposes \$1.5 billion one-time Proposition 98 funding over four years to support the development of pathway programs focused on technology (including computer science, green technology and engineering), health care, education (including early education), and climate-related fields. These programs are predicated on developing local partnerships that bring together school systems, higher education institutions, employers and other relevant community stakeholders.

Transportation and Nutrition. The 2022-23 Proposed State Budget proposes \$1.5 billion one-time Proposition 98 funding, available over three years, to support school transportation programs, with a focus on greening school bus fleets. The 2022-23 Proposed State Budget also proposes \$596 million Proposition 98 funds in addition to \$54 million provided in the 2021-22 State Budget, to fund universal access to subsidized school meals.

Additionally, the 2022-23 Proposed State Budget proposes \$450 million one-time Proposition 98 funds, available over three years, to upgrade school kitchen infrastructure and equipment to incorporate more fresh, minimally processed State-grown foods in school meals.

K-12 School Facilities. Since 1998, State voters have approved more than \$42 billion in statewide general obligation bonds to construct or renovate public school classrooms used by the State’s approximately six million K-12 students. The 2022-23 Proposed State Budget includes \$2.5 billion to support the debt service costs associated with these bonds.

The 2022-23 Proposed State Budget allocates the remaining Proposition 51 bond funds—approximately \$1.4 billion—to support school construction projects. Proposition 51 bond authority is expected to be exhausted in fiscal year 2022-23. See “CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS-Proposition 51” in the body of this Official Statement for a discussion of Proposition 51. The 2022-23 Proposed State Budget proposes approximately \$1.3 billion one-time funds in fiscal year 2022-23 and \$925 million one-time funding in fiscal year 2023-24 to support new construction and modernization projects through the School Facility Program.

Other K-12 Budget Adjustments. The 2022-23 Proposed State Budget included the following significant adjustments affecting California K-12 school districts:

- **Local Property Tax Adjustments** - A decrease of \$127.8 million ongoing Proposition 98 General Fund for school districts and county offices of education in fiscal year 2021-22, and a decrease of \$1.4 billion ongoing Proposition 98 General Fund for school districts and county offices of education in fiscal year 2022-23, as a result of increased offsetting property taxes.
- **Cost-of-Living Adjustments** - An increase of \$295 million ongoing Proposition 98 General Fund to reflect a 5.33% cost-of-living adjustment for categorical programs that remain outside of the LCFF, including Special Education, Child Nutrition, Youth in Foster Care, Mandates Block Grant, Adults in Correctional Facilities Program, American Indian Education Centers, and the American Indian Early Childhood Education Program.
- **County Offices of Education** - An increase of \$11.5 million ongoing Proposition 98 General Fund to reflect a 5.33% cost-of-living adjustment and ADA changes applicable to the LCFF.

LAO Overview of 2022-23 Proposed State Budget. The LAO released its report on the 2022-23 Proposed State Budget entitled “The 2022-23 Budget: Overview of the Governor’s Budget” on January 13, 2022 (the “2022-23 Proposed Budget Overview”). In the 2022-23 Proposed Budget Overview, the

LAO summarizes the Proposed 2022-23 State Budget as having reasonable multiyear revenue projections but expresses concern that new spending proposals exceed the administration's estimates of the budget's capacity. The LAO recommends the legislature should strongly consider building general purpose reserves above the level currently proposed by Governor Newsom, however it recognizes that the legislature will be limited in its choices in the upcoming budget process due to the Gann Limit.

The LAO estimates that Governor Newsom had a \$29 billion surplus to allocate, in contrast to the \$21 billion identified in the 2022-23 Proposed State Budget. The LAO summarizes that Governor Newsom (global) proposes spending about 60% of discretionary resources, or \$17.3 billion, on a one-time or temporary basis for a variety of programmatic expansions, \$6.2 billion to reduce revenues and \$2 billion for ongoing spending increases, with ongoing spending increases increasing to \$5.2 billion by fiscal year 2025-26. Additionally, while Governor Newsom's budget allocates nearly \$13 billion in discretionary spending for schools and community colleges, the LAO excludes these amounts from its surplus calculation because these amounts are constitutionally required.

Additionally, the LAO details how the Gann Limit limits how the legislature can use revenues that exceed a specific threshold because the 2022-23 Proposed State Budget shows excess revenues of \$2.6 billion across fiscal years 2020-21 and 2021-22. The LAO notes however that the 2022-23 Proposed State Budget does not include a proposal to address these excess revenues, but rather states that the administration plans to put forward a strategy to address these requirements in the May Revision. In fiscal year 2022-23, the 2022-23 Proposed State Budget reflects \$5.7 billion in room—meaning appropriations subject to the limit are under the Gann limit by this amount for fiscal year 2022-23. This room, in part, reflects \$12 billion in proposals for revenue reductions and Gann Limit exclusions.

The LAO emphasizes that the Gann Limit will continue to constrain the legislature's choices in the upcoming budget process. Deferring plans to meet the GANN Limit requirement further decreases the legislature's flexibility. The LAO encourages the legislature to develop a plan for how it wishes to meet the requirement across fiscal years 2020-21 and 2021-22.

Separately, the LAO notes that under the 2022-23 Proposed State Budget, Governor Newsom anticipates reaching the 10% of General Fund threshold for deposits into the BSA in fiscal year 2022-23. Under Proposition 2, once the BSA reaches this threshold, required deposits that would bring the fund above 10% of General Fund taxes must instead be spent on infrastructure. As a result, under current estimates, the State is required to spend \$2.4 billion on infrastructure in fiscal year 2022-23. The 2022-23 Proposed State Budget does not allocate these funds to specific proposals and only notes that it has fulfilled the constitutional requirement. As a result, for purposes of the LAO's surplus calculation, the LAO must treat this \$2.4 billion in spending on capital outlay as part of the surplus, although it would not ordinarily define a constitutional requirement this way.

While the LAO often noted previously that the administration's multiyear revenue estimates to be fairly cautious, the LAO characterizes the current budget estimates as a middle of the road among potential outcomes. The LAO highlights that despite improved revenues, the administration's multiyear estimates reflect negative balances in the SFEU in fiscal year 2023-24 and throughout the rest of their forecast due to proposed spending exceeding estimated resources. The LAO warns that while multiyear revenue and expenditure forecasts are imprecise, committing to spending above anticipated resources carries considerable risk.

Additionally, the LAO recognizes that although the reserve for schools and community colleges has increased from zero in fiscal year 2019-20 to nearly \$10 billion—or nearly 10% of funding—under the 2022-23 Proposed State Budget, the State's other budget reserves have not increased as a share of other General Fund spending and, in fact, are significantly below their pre-pandemic levels. Accordingly,

the LAO recommends the legislature consider building general purpose reserves above the level currently proposed by Governor Newsom.

Under the 2022-23 Proposed State Budget, the State would end fiscal year 2022-23 with nearly \$25 billion in general purpose reserves, an increase of \$4.2 billion over the enacted reserve level of \$20.7 billion in fiscal year 2021-22. The LAO also notes that while the Proposition 98 reserve would reach nearly \$10 billion under the 2022-23 Proposed State Budget, the LAO does not include this reserve in general purpose reserves because withdrawals supplement the constitutional minimum spending level for K-14 education and therefore do not help the State address future budget problems.

Specifically related to schools and community colleges, the LAO Report details the nearly \$13 billion in discretionary spending proposals under the 2022-23 Proposed State Budget to meet the constitutionally required funding level for schools and community colleges.

Finally, the LAO notes that while the 2022-23 Proposed State Budget includes additional spending for COVID-19 related expenditures, it largely does not include the extension of program flexibilities and temporary supports provided in the 2021-22 State Budget. The LAO recognizes that this likely reflects that the 2022-23 Proposed State Budget was developed before the recent surge in COVID-19 cases. As the LAO states that COVID-19 likely will remain a public health and economic challenge in future years, the LAO recommends the legislature closely consider the extent to which Governor Newsom's proposals properly prepare the State for this reality.

The 2022-23 Proposed Budget Overview is available on the LAO website at www.lao.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

Changes in State Budget. The final fiscal year 2022-23 State budget, which requires approval by a majority vote of each house of the State Legislature, may differ substantially from Governor Newsom's budget proposal. Accordingly, the District cannot provide any assurances that there will not be any changes in the final fiscal year 2022-23 State budget from the 2022-23 Proposed State Budget. Additionally, the District cannot predict the impact that the final fiscal year 2022-23 State budget, or subsequent budgets, will have on its finances and operations. The final fiscal year 2022-23 State budget may be affected by national and State economic conditions and other factors which the District cannot predict.

Additional Information. Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of the State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading "California Budget." Summaries and detail of the State budget may be found at www.ebudget.ca.gov. Various analyses of the budget may be found at the website of the LAO at www.lao.ca.gov. In addition, various State official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found via the website of the State Treasurer, www.treasurer.ca.gov. The information presented in these websites is not incorporated by reference in this Official Statement.

Future State Budgets. The District cannot predict what actions will be taken in the future by the State Legislature and the Governor to address any future budget deficits and cash management practices. Future State budgets will be affected by national and State economic conditions over which the District has no control, and other factors over which the District will have no control, including by the COVID-19 pandemic. The District cannot predict whether the State will continue to encounter budgetary difficulties in future fiscal years. The District also cannot predict the impact future State Budgets will have on the

District's finances and operations or what actions the State Legislature and the Governor may take to respond to changing State revenues and expenditures. In the event current or future State Budgets decrease the District's revenues or increase required expenditures by the District from the levels assumed by the District, the District will need to generate additional revenues, curtail programs or services, or use its reserve funds to ensure a balanced budget.

APPENDIX B

FORM OF BOND COUNSEL OPINION

[Closing Date]

Board of Education
Bakersfield City School District
1300 Baker Street
Bakersfield, California 93305

Re: \$33,000,000 Bakersfield City School District (Kern County, California)
General Obligation Bonds, Election of 2016, 2022 Series C

Ladies and Gentlemen:

We have acted as Bond Counsel to the Bakersfield City School District, County of Kern, State of California (the “District”), in connection with the issuance by the District of \$33,000,000 aggregate principal amount of its General Obligation Bonds, Election of 2016, 2022 Series C (the “Bonds”). The Bonds are issued pursuant to (i) Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State, as amended, (ii) applicable provisions of the Education Code of the State, as amended, (iii) Article XIII A of the California Constitution, and (iv) pursuant to a resolution of the Board of Education of the District adopted on January 25, 2022 (the “Resolution”). All terms used herein and not otherwise defined shall have the meanings given to them in the Resolution.

As Bond Counsel, we have examined copies, certified to us as being true and complete copies, of the proceedings of the District for the authorization and issuance of the Bonds. In connection thereto, we have also examined such certificates of public officials and officers of the District as we have considered necessary for the purposes of this opinion, and we have assumed that all such representations therein are true and correct and that the District will comply with such covenants. We have, with your approval, assumed that all items submitted to us as originals are authentic and that all items submitted to us as copies conform to the originals.

On the basis of such examination, our reliance upon the assumptions contained herein and our consideration of those questions of law we considered relevant, and subject to the limitations and qualifications in this opinion, we are of the opinion that:

1. The Bonds have been duly authorized and issued and constitute legally valid and binding obligations of the District, enforceable in accordance with their terms and the terms of the Resolution.
2. The Bonds are payable solely from and are secured by a pledge of *ad valorem* taxes which may be levied without limitation as to rate or amount upon all taxable real property in the District, and which, under the laws now in force with respect to the Bonds, may be levied within the limit prescribed by law upon all taxable personal property in the District, and from other available funds as set forth in the Resolution.

3. The Resolution has been duly authorized by the District and constitutes the legally valid and binding obligation of the District, enforceable in accordance with its terms. The Bonds, assuming due authentication by the Paying Agent, are entitled to the benefits of the Resolution.
4. The Internal Revenue Code of 1986, as amended (the "Code") sets forth certain requirements which must be met subsequent to the issuance and delivery of the Bonds for interest thereon to be and remain excluded from gross income for federal income tax purposes. Noncompliance with such requirements could cause the interest on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issue of the Bonds. Pursuant to the Resolution and the Tax and Nonarbitrage Certificate executed by the District in connection with the issuance of the Bonds (the "Tax Certificate"), the District has covenanted to comply with the applicable requirements of the Code in order to maintain the exclusion of the interest on the Bonds from gross income for federal income tax purposes pursuant to Section 103 of the Code. In addition, the District has made certain representations and certifications in the Resolution and the Tax Certificate. We have not independently verified the accuracy of those certifications and representations.

Under existing law, assuming compliance with the tax covenants described herein and the accuracy of the aforementioned representations and certifications, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code. We are also of the opinion that such interest is not treated as a preference item in calculating the alternative minimum tax imposed under the Code with respect to individuals and corporations. Interest on the Bonds is, however, included in the adjusted current earnings of certain corporations for purposes of computing the alternative minimum tax imposed on such corporations.

5. Interest on the Bonds is exempt from personal income taxes of the State of California under present state law.
6. Bond Counsel is further of the opinion that the excess of the principal amount of any maturity of the Bonds over the price at which a substantial amount of such maturity of the Bonds was sold to the public (excluding bond houses, brokers or similar persons or organizations acting in the capacity of underwriters or wholesalers) (each, a "Discount Bond" and collectively, the "Discount Bonds") constitutes original issue discount which is excluded from gross income for federal income tax purposes to the same extent as interest on the Bonds. Further, such original issue discount accrues actuarially on a constant interest rate basis over the term of each Discount Bond and the basis of each Discount Bond acquired at such initial offering price by an initial purchaser thereof will be increased by the amount of such accrued original issue discount. The accrual of original issue discount may be taken into account as an increase in the amount of tax-exempt income for purposes of determining various other tax consequences of owning the Discount Bonds, even though there will not be a corresponding cash payment.

The opinions set forth in paragraphs 1, 2, and 3 above (i) assume that the Paying Agent has duly authenticated the Bonds, and (ii) are subject to (a) applicable bankruptcy, insolvency, reorganization, moratorium or similar laws relating to or affecting creditors' rights generally (including, without limitation, fraudulent conveyance laws), (b) the effect of general principles of equity, including, without limitation, concepts of materiality, reasonableness, good faith and fair dealing and the possible unavailability of specific performance or injunctive relief, regardless of whether considered in a

proceeding in equity or at law, and (c) the limitations on legal remedies against government entities in the State of California. As to the due adoption of the Resolution and the other resolutions adopted by the Board of Education of the District relating to the approval of the Bonds, we have entirely relied upon certificates of officials of the District and other representations made by the District in connection with the issuance of the Bonds.

In rendering the opinions set forth in paragraphs 4 and 6 above, we are relying upon representations and covenants of the District in the Tax Certificate concerning the investment and use of Bond proceeds, the rebate to the federal government of certain earnings thereon, and the use of the property and facilities financed with the proceeds of the Bonds. In addition, we have assumed that all such representations are true and correct and that the District will comply with such covenants. We express no opinion with respect to the exclusion of the interest on the Bonds from gross income under Section 103(a) of the Code in the event that any of such representations are untrue or the District fails to comply with such covenants, unless such failure to comply is based on our advice or opinion.

Except as stated in paragraphs 4 through 6, we express no opinion as to any other federal, state or local tax consequences of the ownership or disposition of the Bonds. Furthermore, we express no opinion as to any federal, state or local tax law consequences with respect to the Bonds, or the interest thereon, if any action is taken with respect to the Bonds or the proceeds thereof upon the advice or approval of other counsel.

No opinion is expressed herein on the accuracy, completeness or sufficiency of the Official Statement or other offering material relating to the Bonds. This opinion is expressly limited to the matters set forth above and we render no opinion, whether by implication or otherwise, as to any other matters.

Our opinions are limited to matters of California law and applicable federal law, and we assume no responsibility as to the applicability of laws of other jurisdictions. We call attention to the fact that the opinions expressed herein and the exclusion of interest on the Bonds from gross income for federal income tax purposes may be affected by actions taken or omitted or events occurring or failing to occur after the date hereof. We have not undertaken to determine, or inform any person, whether any such actions are taken, omitted, occur or fail to occur.

Respectfully submitted,

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APPENDIX C

**BAKERSFIELD CITY SCHOOL DISTRICT
AUDITED FINANCIAL STATEMENTS
FOR FISCAL YEAR ENDED JUNE 30, 2021**

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June 30, 2021

Bakersfield City School District

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Independent Auditor's Report

To the Governing Board
Bakersfield City School District
Bakersfield, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Bakersfield City School District (the District) as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of Bakersfield City School District, as of June 30, 2021, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter – Change in Accounting Principle

As discussed in Notes 1 and 16 to the financial statements, Bakersfield City School District has adopted the provisions of GASB Statement No. 84, *Fiduciary Activities*, which has resulted in a restatement of the net position and fund balance as of July 1, 2020. Our opinions are not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, schedule of the District's proportionate share of the net OPEB liability – MPP program, schedule of the District's proportionate share of the net pension liability, and the schedule of District contributions, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Bakersfield City School District's financial statements. The combining and individual non-major fund financial statements, Schedule of Expenditures of Federal Awards as required by the audit requirements of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance), and other supplementary information listed in the table of contents are presented for purposes of additional analysis and are not a required part of the financial statements.

The combining non-major governmental fund financial statements, the schedule of expenditures of federal awards, and the other supplementary information listed in the table of contents are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining non-major governmental fund financial statements, the schedule of expenditures of federal awards, and the other supplementary information listed in the table of contents are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued a report dated December 8, 2021 on our consideration of Bakersfield City School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Bakersfield City School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Bakersfield City School District's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
December 8, 2021



BAKERSFIELD CITY SCHOOL DISTRICT

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Board of Education
Pam Baugher, President
Lillian Tafoya, President Pro-tem
Laura Guerrero-Salgado, Clerk
Shannon Zimmerman, Clerk Pro-tem
Dr. Chris Cruz-Boone, Member

This section of the Bakersfield City School District's (the District) annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year that ended on June 30, 2021, with comparative information for the fiscal year ended June 30, 2020. Please read it in conjunction with the District's financial statements, which immediately follow this section.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Financial Statements

The financial statements presented herein include all of the activities of the District and its component units using the integrated approach as prescribed by Governmental Accounting Standards Board (GASB) Statement No. 34.

The *Government-Wide Financial Statements* present the financial picture of the District from the economic resources measurement focus using the accrual basis of accounting. They present governmental activities and business-type activities separately. These statements include all assets of the District (including capital assets), deferred outflows, as well as all liabilities (including long-term liabilities), and deferred inflows. Additionally, certain eliminations have occurred as prescribed by the statement in regards to interfund activity, payables, and receivables.

The *Fund Financial Statements* include statements for each of the two categories of activities: governmental, and proprietary.

The *Governmental Funds* are prepared using the current financial resources measurement focus and modified accrual basis of accounting.

The *Proprietary Funds* are prepared using the economic resources measurement focus and the accrual basis of accounting.

Reconciliation of the Fund Financial Statements to the Government-Wide Financial Statements is provided to explain the differences created by the integrated approach.

The Primary unit of the government is the Bakersfield City School District.

REPORTING THE DISTRICT AS A WHOLE

The Statement of Net Position and the Statement of Activities

The Statement of Net Position and the Statement of Activities report information about the District as a whole and about its activities. These statements include all assets, deferred outflows, liabilities, and deferred inflows of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

These two statements report the District's net position and changes in them. Net position is the difference between assets and liabilities, which is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position will serve as a useful indicator of whether the financial position of the District is improving or deteriorating. Other factors to consider are changes in the District's property tax base and the condition of the District's facilities.

The relationship between revenues and expenses is the District's *operating results*. Since the governing board's responsibility is to provide services to our students and not to generate profit as commercial entities do, one must consider other factors when evaluating the overall health of the District. The quality of the education and the safety of our schools will likely be an important component in this evaluation.

In the Statement of Net Position and the Statement of Activities, we present the District activities as follows:

Governmental Activities - Most of the District's services are reported in this category. This includes the education of kindergarten through grade eight students, the operation of child development activities, and the on-going effort to improve and maintain buildings and sites. Property taxes, State income taxes, user fees, interest income, Federal, State, and local grants, as well as general obligation bonds, finance these activities.

REPORTING THE DISTRICT'S MOST SIGNIFICANT FUNDS

Fund Financial Statements

The fund financial statements provide detailed information about the most significant funds - not the District as a whole. Some funds are required to be established by State law and by bond covenants. However, management establishes many other funds to help it control and manage money for particular purposes or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money that it receives from the U.S. Department of Education.

Governmental Funds - Most of the District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances left at year-end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. The differences of results in the governmental fund financial statements to those in the government-wide financial statements are explained in a reconciliation following each governmental fund financial statement.

Proprietary Funds - When the District charges users for the services it provides, whether to outside customers or to other departments within the District, these services are generally reported in proprietary funds. Proprietary funds are reported in the same way that all activities are reported in the Statement of Net Position and the Statement of Revenues, Expenses, and Changes in Fund Net Position. In fact, the District's enterprise funds are the same as the business-type activities we report in the government-wide statements, but provide more detail and additional information, such as cash flows, for proprietary funds. We use internal service funds (the other component of proprietary funds) to report activities that provide supplies and services for the District's other programs and activities, such as the District's Self-Insurance Funds. The internal service funds are reported with governmental activities in the government-wide financial statements.

FINANCIAL HIGHLIGHTS

- The District's financial status continues to remain solid. The District is able to meet all of its current needs and maintain an adequate reserve.
- Overall revenues for all governmental activities were \$536,955,565 which was \$25,279,154 more than expenditures.
- The General Fund balance increased \$52,272,447 excluding the impact of the consolidation of the Special Reserve Other Postemployment Benefits Fund and the Pupil Transportation Fund. The reserved nonspendable portion increased by \$320,449; the restricted portion increased by \$11,197,882; and the unassigned portion increased by \$20,579,414.
- The District increased the outstanding long-term liabilities by \$48,559,445; the increase was primarily due to the changes in the net pension liability.

THE DISTRICT AS A WHOLE

Net Position

The District's net position was \$(132,292,792) for the fiscal year ended June 30, 2021. Of this amount, \$47,184,361 was restricted. Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limits the governing board's ability to use net position for day-to-day operations. Our analysis below, in summary form, focuses on the net position (Table 1) and change in net position (Table 2) of the District's governmental activities.

Table 1

	Governmental Activities	
	2021	2020 as Restated
Assets		
Current and other assets	\$ 262,232,399	\$ 187,777,648
Capital assets	281,563,276	274,333,569
Total assets	543,795,675	462,111,217
Deferred outflows of resources	127,923,767	114,936,587
Liabilities		
Current liabilities	61,585,999	37,356,682
Long-term liabilities	682,261,686	633,702,241
Total liabilities	743,847,685	671,058,923
Deferred inflows of resources	60,164,549	63,560,827
Net Position		
Net investment in capital assets	175,665,140	171,102,238
Restricted	47,184,361	29,180,843
Unrestricted	(355,142,293)	(357,855,027)
Total net position	\$ (132,292,792)	\$ (157,571,946)

The \$(132,292,792) in net position of the governmental activities represents the accumulated results of all past years' operations. Unrestricted net position – the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation, or other legal requirements – increased by 0.76 percent (\$355,142,293) compared to (\$357,855,027).

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the Statement of Activities. Table 2 takes the information from the Statement and rearranges the numbers slightly so you can see our total revenues for the year.

Table 2

	Governmental Activities	
	2021	2020*
Revenues		
Program revenues		
Charges for services	\$ 1,601,268	\$ 1,160,899
Operating grants and contributions	158,235,672	93,087,913
Capital grants and contributions	13,700,707	5,809,912
General revenues		
Federal and State aid not restricted	323,618,760	324,773,461
Property taxes	30,209,580	26,932,263
Other general revenues	9,589,578	9,866,539
Total revenues	<u>536,955,565</u>	<u>461,630,987</u>
Expenses		
Instruction-related	384,504,016	330,122,754
Pupil services	55,320,507	62,768,223
Administration	23,953,795	21,564,760
Plant services	37,492,604	39,186,777
All other services	10,405,489	11,924,297
Total expenses	<u>511,676,411</u>	<u>465,566,811</u>
Change in net position	<u>\$ 25,279,154</u>	<u>\$ (3,935,824)</u>

* The revenues and expenses for fiscal year 2020 were not restated to show the effects of GASB 84 for comparative purposes.

Governmental Activities

As reported in the Statement of Activities, the cost of all of our governmental activities this year was \$511,676,411. However, the amount that our taxpayers ultimately financed for these activities through local taxes was only \$30,209,580 because the cost was paid by those who benefited from the programs totaling \$1,601,268 or by other governments and organizations who subsidized certain programs with grants and contributions totaling \$171,936,379. We paid for the remaining "public benefit" portion of our governmental activities with \$323,618,760 in Federal and State unrestricted and \$9,589,578 in other revenues, like interest, developer fees, and general entitlements.

In Table 3, we have presented the net cost of each of the District's largest functions: instruction related, pupil services, administration, plant services, and all other services. As discussed above, net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

Table 3

	Total Cost of Services		Net Cost of Services	
	2021	2020*	2021	2020*
Instruction-related	\$ 384,504,016	\$ 330,122,754	\$ (245,611,691)	\$ (261,806,206)
Pupil services	55,320,507	62,768,223	(29,521,027)	(36,851,326)
Administration	23,953,795	21,564,760	(21,013,864)	(19,130,959)
Plant services	37,492,604	39,186,777	(33,765,149)	(37,599,930)
All other services	10,405,489	11,924,297	(8,227,033)	(10,119,666)
Total	<u>\$ 511,676,411</u>	<u>\$ 465,566,811</u>	<u>\$ (338,138,764)</u>	<u>\$ (365,508,087)</u>

* The total cost of services and net cost of services for fiscal year 2020 were not restated to show the effects of GASB 84 for comparative purposes.

THE DISTRICT'S FUNDS

As the District completed this year, our governmental funds reported a combined fund balance of \$159,799,306, which is an increase of \$51,815,055 from last year (Table 4).

Table 4

Governmental Fund	Balances and Activity			
	July 1, 2020 as Restated	Revenues and Other Financing Sources	Expenditures and Other Financing Uses	June 30, 2021
General	\$ 71,443,461	\$ 486,907,896	\$ 434,650,142	\$ 123,701,215
Student Activities	155,065	9,146	35,796	128,415
Child Development	424,093	4,609,900	4,215,905	818,088
Cafeteria	5,641,700	17,249,512	18,965,025	3,926,187
Building	11,025,714	(197,780)	7,148,406	3,679,528
Capital Facilities	2,960,333	3,507,067	3,137,924	3,329,476
County School Facilities	9,446,763	13,470,971	5,105,826	17,811,908
Special Reserve Fund for Capital Outlay Projects	111,527	(58)	15,500	95,969
Bond Interest and Redemption	6,775,595	7,519,337	7,986,412	6,308,520
Total	<u>\$ 107,984,251</u>	<u>\$ 533,075,991</u>	<u>\$ 481,260,936</u>	<u>\$ 159,799,306</u>

The primary reasons for the changes are:

- a. Our General Fund is our principal operating fund. The fund balance in the General Fund increased \$52,257,754 to \$123,701,215. The total revenues increased \$64.6 million over the prior year, primarily due to CARES Act funding the District received because of the COVID-19 pandemic. Spending on educational services increased as well but not at the same rate as revenues.
- b. Our special revenue funds reported a net decrease of \$1,348,168. The decrease was due to a decrease of \$8.3 million in revenues and the expenditures outpacing the revenues. COVID-19 required the school year begin with students' distance learning resulting in fewer meals being served and reimbursed via the National School Lunch Program, the fund's primary source of revenue.
- c. The fund balance in the Bond Interest and Redemption Fund decreased \$467,075 as debt service requirements in the current year exceeded tax collections.
- d. The capital outlay funds showed a net increase of \$1,372,544 due primarily to the District receiving Office of Public School Construction funding of \$9,182,198 for new construction/modernization projects and Full Day Kindergarten Facilities Grant funding of \$4,212,466, which exceeded costs associated with on-going construction projects.

General Fund Budgetary Highlights

The difference between the original budget and the final amended budgeted expenditures was an increase of \$226,278 or (0.052 percent), excluding the impact of the consolidation of the Pupil Transportation Fund and the Special Reserve Other Postemployment Benefits Fund, as summarized below:

\$15,862,616 or 3.670 percent increase in Instructional Services
\$5,864,807 or 1.357 percent decrease in Pupil Services
\$10,366,442 or 2.399 percent decrease in Plant Services
\$594,914 or 0.138 percent increase in Other Supporting Services

Over the course of the year, the District revises its budget as it attempts to deal with unexpected changes in revenues and expenditures. The final amendment to the budget was adopted on September 28, 2021. A schedule showing the District's original and final budget amounts compared with amounts actually paid and received is provided in our annual report.

These budget amendments fall into the following categories:

- Budgets are revised when revisions are made to the enacted or proposed state budget.
- Budgets are revised when negotiations are completed.
- Final amounts for state and federal grants become available and budgets are revised mid-year.
- New grants become available.
- Final budget revisions are made to cover all areas of expenditures.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2021, the District had \$281,563,276 in a broad range of capital assets (net of depreciation), including land, buildings, furniture, and equipment. This amount represents a net increase (including additions, deductions, and depreciation) of \$7,229,707, or 2.64 percent, from last year (Table 5).

Table 5

	Governmental Activities	
	2021	2020
Land and construction in progress	\$ 35,906,935	\$ 60,876,284
Buildings and improvements	234,329,345	202,360,689
Equipment	11,326,996	11,096,596
Total	<u>\$ 281,563,276</u>	<u>\$ 274,333,569</u>

This year's additions of \$20,608,875 included on-going construction projects, various site improvements, portable classrooms, various site modernization projects, vehicles and cafeteria equipment. General obligation bonds were issued to help finance on-going construction projects.

Several capital projects are planned for the 2021-2022 year. We anticipate capital additions to be approximately \$5 million for the 2021-2022 year. We present more detailed information about our capital assets in the Notes to Financial Statements.

Long-Term Liabilities

At the end of this year, the District had \$682,261,686 in long-term liabilities versus \$633,702,241 last year, an increase of 7.7 percent. The outstanding liabilities consisted of:

Table 6

	Governmental Activities	
	2021	2020
Long-Term Liabilities		
General obligation bonds	\$ 114,782,124	\$ 117,574,554
Unamortized premiums/(discounts)	3,294,727	3,533,182
Capital leases	2,166,318	2,317,244
Compensated absences	2,879,219	1,868,405
Claims liability	12,558,803	12,156,751
OPEB liability	117,230,021	110,140,997
Aggregate net pension liability	429,350,474	386,111,108
Total	<u>\$ 682,261,686</u>	<u>\$ 633,702,241</u>

The District's general obligation bond ratings continue to be "A+ and Aa3" from Standard & Poor's and Moody's, respectively.

In addition, the District reported deferred outflows of resources from pension activities of \$108,187,163, and deferred inflows of resources from pension activities of \$14,262,635, which along with the aggregate net pension liability of \$429,350,474, had a negative impact on the District's net position of \$335,425,946.

We present more detailed information regarding our long-term liabilities in the Notes to Financial Statements.

FACTORS BEARING ON THE DISTRICT'S FUTURE

The primary source of revenue for the District is provided through the Local Control Funding Formula (LCFF) which provides funding to school districts based on a per student attendance rate. No COLA was provided by the State on LCFF funding during the 2020-2021 fiscal year. Due to the COVID-19 pandemic, District enrollment experienced a 4.8% decrease which led to a reduction in student attendance. As a result of the lack of growth in student attendance and omission a COLA, the District's LCFF entitlement for 2020-2021 remained flat at the 2019-2020 funding level.

Escalations in operating costs from step-and-column increases, employer pension increases, minimum wage increases, and growing utility costs were outpaced by unintended budget savings resulting from a pause in supplemental services and programs during the 2020-2021 school year to comply with COVID-19 health and safety precautions.

One-time revenue sources increased in 2020-2021 as a result of COVID-19 pandemic relief funding provided through the Federal and State governments to support the exceptional costs associated with responding to the COVID-19 virus and complying with the health and safety guidelines from California Department of Public Health and Cal-OSHA.

The effects of the COVID-19 pandemic will continue to impact revenues and operating costs during the 2021-2022 fiscal year despite the District's return to full in-person instruction at all school sites. The length and severity of the pandemic are significant factors in the District's future financial outlook as one-time operating costs will remain elevated until such time as virus transmission rates subside enough to allow for the phase out COVID-19 response efforts.

Moving forward to the 2021-2022 fiscal year and beyond, the District will continue to monitor enrollment trends to ensure district staffing and service delivery models are appropriately aligned to the student population served by the District.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact the Bakersfield City School District, Fiscal Services Department, 1300 Baker Street, Bakersfield, California, 93305.

Bakersfield City School District
Statement of Net Position
June 30, 2021

	<u>Governmental Activities</u>
Assets	
Deposits and investments	\$ 175,686,500
Receivables	85,307,491
Prepaid expense	326,525
Stores inventories	911,883
Capital assets not depreciated	35,906,935
Capital assets, net of accumulated depreciation	<u>245,656,341</u>
Total assets	<u>543,795,675</u>
Deferred Outflows of Resources	
Deferred outflows of resources related to OPEB	19,736,604
Deferred outflows of resources related to pensions	<u>108,187,163</u>
Total deferred outflows of resources	<u>127,923,767</u>
Liabilities	
Accounts payable	51,642,783
Unearned revenue	9,943,216
Long-term liabilities	
Long-term liabilities other than OPEB and pensions due within one year	4,413,554
Long-term liabilities other than OPEB and pensions due in more than one year	131,267,637
Total other postemployment benefits liability (OPEB)	117,230,021
Aggregate net pension liabilities	<u>429,350,474</u>
Total liabilities	<u>743,847,685</u>
Deferred Inflows of Resources	
Deferred inflows of resources related to OPEB	45,901,914
Deferred inflows of resources related to pensions	<u>14,262,635</u>
Total deferred inflows of resources	<u>60,164,549</u>
Net Position	
Net investment in capital assets	175,665,140
Restricted for	
Debt service	6,308,520
Capital projects	21,141,384
Educational programs	16,387,179
Child nutrition	3,218,863
Student activities	128,415
Unrestricted	<u>(355,142,293)</u>
Total net position	<u><u>\$ (132,292,792)</u></u>

Bakersfield City School District
Statement of Activities
Year Ended June 30, 2021

Functions/Programs	Expenses	Program Revenues			Net (Expenses) Revenues and Changes in Net Position
		Charges for Services and Sales	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities
Governmental Activities					
Instruction	\$ 323,267,115	\$ 15,721	\$ 108,211,223	\$ 13,700,707	\$ (201,339,464)
Instruction-related activities					
Supervision of instruction	31,916,805	-	14,303,122	-	(17,613,683)
Instructional library, media, and technology	273,836	-	91,366	-	(182,470)
School site administration	29,046,260	-	2,570,186	-	(26,476,074)
Pupil services					
Home-to-school transportation	9,959,934	-	939,817	-	(9,020,117)
Food services	19,893,125	815	16,418,070	-	(3,474,240)
All other pupil services	25,467,448	50,650	8,390,128	-	(17,026,670)
Administration					
Data processing	5,332,509	-	254,469	-	(5,078,040)
All other administration	18,621,286	12,848	2,672,614	-	(15,935,824)
Plant services	37,492,604	1,023	3,726,432	-	(33,765,149)
Ancillary services	72,889	9,145	87	-	(63,657)
Community services	3,525,338	-	506,057	-	(3,019,281)
Enterprise services	1,211,062	15,365	101,213	-	(1,094,484)
Interest on long-term liabilities	5,007,596	-	-	-	(5,007,596)
Other outgo	588,604	1,495,701	50,888	-	957,985
Total governmental activities	<u>\$ 511,676,411</u>	<u>\$ 1,601,268</u>	<u>\$ 158,235,672</u>	<u>\$ 13,700,707</u>	<u>(338,138,764)</u>
General Revenues and Subventions					
Property taxes, levied for general purposes					23,435,262
Property taxes, levied for debt service					6,254,746
Taxes levied for other specific purposes					519,572
Federal and State aid not restricted to specific purposes					323,618,760
Interest and investment earnings					796,422
Special and extraordinary					1,379,165
Miscellaneous					7,413,991
Subtotal, general revenues					<u>363,417,918</u>
Change in Net Position					25,279,154
Net Position - Beginning, as Restated					<u>(157,571,946)</u>
Net Position - Ending					<u><u>\$ (132,292,792)</u></u>

Bakersfield City School District
Balance Sheet – Governmental Funds
June 30, 2021

	General Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
Assets				
Deposits and investments	\$ 95,466,896	\$ 4,035,155	\$ 35,293,516	\$ 134,795,567
Receivables	82,839,261	10,735	2,421,300	85,271,296
Due from other funds	3,937,641	-	153,856	4,091,497
Prepaid expenditures	314,525	-	-	314,525
Stores inventories	205,429	-	706,454	911,883
Total assets	\$ 182,763,752	\$ 4,045,890	\$ 38,575,126	\$ 225,384,768
Liabilities and Fund Balances				
Liabilities				
Accounts payable	\$ 48,828,410	\$ 364,288	\$ 2,450,085	\$ 51,642,783
Due to other funds	294,105	2,074	3,703,284	3,999,463
Unearned revenue	9,940,022	-	3,194	9,943,216
Total liabilities	59,062,537	366,362	6,156,563	65,585,462
Fund Balances				
Nonspendable	602,077	-	707,324	1,309,401
Restricted	15,569,091	3,679,528	31,615,270	50,863,889
Committed	7,237,553	-	-	7,237,553
Assigned	20,174,610	-	95,969	20,270,579
Unassigned	80,117,884	-	-	80,117,884
Total fund balances	123,701,215	3,679,528	32,418,563	159,799,306
Total liabilities and fund balances	\$ 182,763,752	\$ 4,045,890	\$ 38,575,126	\$ 225,384,768

Bakersfield City School District
Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position
June 30, 2021

Total Fund Balance - Governmental Funds		\$ 159,799,306
Amounts Reported for Governmental Activities in the Statement of Net Position are Different Because		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.		
The cost of capital assets is	\$ 427,314,500	
Accumulated depreciation is	<u>(145,751,224)</u>	
Net capital assets		281,563,276
An internal service fund is used by management to charge the costs of the workers' compensation insurance program to the individual funds. The assets and liabilities of the internal service fund are included with governmental activities.		
		28,288,291
Deferred outflows of resources represent a consumption of net position in a future period and is not reported in the governmental funds. Deferred outflows of resources amounted to and related to		
Other postemployment benefits (OPEB)	19,736,604	
Net pension liability	<u>108,187,163</u>	
Total deferred outflows of resources		127,923,767
Deferred inflows of resources represent an acquisition of net position that applies to a future period and is not reported in the governmental funds. Deferred inflows of resources amount to and related to		
Other postemployment benefits (OPEB)	(45,901,914)	
Net pension liability	<u>(14,262,635)</u>	
Total deferred inflows of resources		(60,164,549)
Net pension liability is not due and payable in the current period, and is not reported as a liability in the funds.		
		(429,350,474)
The District's OPEB liability is not due and payable in the current period, and is not reported as a liability in the funds.		
		(117,230,021)
Long-term liabilities are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.		
Long-term liabilities at year-end consist of		
General obligation bonds	(107,411,346)	
Capital leases	(2,166,318)	
Compensated absences (vacations)	(2,879,219)	
In addition, capital appreciation general obligation bonds were issued. The accretion of interest to date on the general obligation bonds is	<u>(10,665,505)</u>	
Total long-term liabilities		<u>(123,122,388)</u>
Total net position - governmental activities		<u>\$ (132,292,792)</u>

Bakersfield City School District
Statement of Revenues, Expenditures, and Changes in Fund Balances – Governmental Funds
Year Ended June 30, 2021

	General Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
Revenues				
Local Control Funding Formula	\$ 338,991,549	\$ -	\$ -	\$ 338,991,549
Federal sources	75,939,752	-	17,157,810	93,097,562
Other State sources	67,184,698	-	19,330,875	86,515,573
Other local sources	4,688,078	(197,780)	9,877,190	14,367,488
Total revenues	486,804,077	(197,780)	46,365,875	532,972,172
Expenditures				
Current				
Instruction	280,906,102	-	3,671,719	284,577,821
Instruction-related activities				
Supervision of instruction	28,540,009	-	262,482	28,802,491
Instructional library, media, and technology	252,431	-	-	252,431
School site administration	26,342,181	-	69,217	26,411,398
Pupil services				
Home-to-school transportation	9,339,670	-	-	9,339,670
Food services	1,328,120	-	17,728,560	19,056,680
All other pupil services	23,303,647	-	-	23,303,647
Administration				
Data processing	5,126,654	-	-	5,126,654
All other administration	14,946,859	-	791,038	15,737,897
Plant services	35,493,641	-	673,782	36,167,423
Ancillary services	36,964	-	35,796	72,760
Community services	3,291,953	-	-	3,291,953
Other outgo	588,604	-	-	588,604
Enterprise services	102,394	-	82,041	184,435
Facility acquisition and construction	4,847,918	7,148,406	8,161,341	20,157,665
Debt service				
Principal	150,926	-	4,290,000	4,440,926
Interest and other	52,069	-	3,696,412	3,748,481
Total expenditures	434,650,142	7,148,406	39,462,388	481,260,936
Excess (Deficiency) of Revenues Over Expenditures	52,153,935	(7,346,186)	6,903,487	51,711,236
Other Financing Sources				
Other sources	103,819	-	-	103,819
Net Change in Fund Balances	52,257,754	(7,346,186)	6,903,487	51,815,055
Fund Balance - Beginning, as Restated	71,443,461	11,025,714	25,515,076	107,984,251
Fund Balance - Ending	\$ 123,701,215	\$ 3,679,528	\$ 32,418,563	\$ 159,799,306

Bakersfield City School District

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2021

Total Net Change in Fund Balances - Governmental Funds	\$ 51,815,055
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Amounts Reported for Governmental Activities in the Statement of Activities are Different Because

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures; however, for governmental activities, those costs are shown in the Statement of Net Position and allocated over their estimated useful lives as annual depreciation expenses in the Statement of Activities.

This is the amount by which capital outlays exceeds depreciation in the period.

Depreciation expense	\$ (13,307,235)
Capital outlays	<u>20,608,875</u>

Net expense adjustment	7,301,640
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The District issued capital appreciation general obligations bonds. This is the total accretion of interest on the general obligation bonds during the current fiscal year.	(1,497,570)
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Loss on disposal of capital assets is reported in the government-wide Statement of Net Position, but is not recorded in the governmental funds.	(71,933)
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In the Statement of Activities, certain operating expenses, such as compensated absences (vacations) are measured by the amounts earned during the year. In the governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially, the amounts actually paid). This amount is the difference between vacation earned and used.	(1,010,814)
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In the governmental funds, pension costs are based on employer contributions made to pension plans during the year. However, in the Statement of Activities, pension expense is the net effect of all changes in the deferred outflows, deferred inflows and net pension liability during the year.	(34,935,605)
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In the governmental funds, OPEB costs are based on employer contributions made to OPEB plans during the year. However, in the Statement of Activities, OPEB expense is the net effect of all changes in the deferred outflows, deferred inflows, and net OPEB liability during the year.	990,673
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Bakersfield City School District

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2021

Governmental funds report the effect of premiums, discounts, and the deferred charge on refunding when the debt is first issued, whereas the amounts are deferred and amortized in the Statement of Activities.

Premium amortization	290,255
Discount amortization	(51,800)

Payment of principal on long-term liabilities is an expenditure in the governmental funds, but it reduces long-term liabilities in the Statement of Net Position and does not affect the Statement of Activities.

General obligation bonds	4,290,000
Capital leases	150,926

An internal service fund is used by management to charge the costs of the self insurance program to the individual funds. The net revenue of the Internal Service Fund is reported with governmental activities.

(1,991,673)

Change in net position of governmental activities

\$ 25,279,154

Bakersfield City School District
Statement of Net Position – Proprietary Funds
June 30, 2021

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Total
Assets			
Current assets			
Deposits and investments	\$ 12,455,732	\$ 28,435,201	\$ 40,890,933
Receivables	30,042	6,153	36,195
Due from other funds	178,685	-	178,685
Prepaid expenses	-	12,000	12,000
Total assets	<u>12,664,459</u>	<u>28,453,354</u>	<u>41,117,813</u>
Liabilities			
Current liabilities			
Due to other funds	243,883	26,836	270,719
Noncurrent liabilities			
Claims liabilities	<u>7,025,320</u>	<u>5,533,483</u>	<u>12,558,803</u>
Total liabilities	<u>7,269,203</u>	<u>5,560,319</u>	<u>12,829,522</u>
Net Position			
Restricted for insurance claims	<u>5,395,256</u>	<u>22,893,035</u>	<u>28,288,291</u>
Total net position	<u>\$ 5,395,256</u>	<u>\$ 22,893,035</u>	<u>\$ 28,288,291</u>

Bakersfield City School District
Statement of Revenues, Expenses, and Changes in Fund Net Position – Proprietary Funds
Year Ended June 30, 2021

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Total
Operating Revenues			
Charges for services	\$ 1,896,008	\$ 61,003,445	\$ 62,899,453
Refunds and miscellaneous revenues	36,116	4,165,259	4,201,375
Total operating revenues	1,932,124	65,168,704	67,100,828
Operating Expenses			
Payments for claims	1,894,000	58,069,629	59,963,629
Direct costs for interfund services	43,724	65,585	109,309
Contracted services	494,362	8,477,176	8,971,538
Total operating expenses	2,432,086	66,612,390	69,044,476
Operating Loss	(499,962)	(1,443,686)	(1,943,648)
Nonoperating Revenues			
Fair market value adjustments	(283,038)	72,269	(210,769)
Interest income	134,378	28,366	162,744
Total nonoperating revenues	(148,660)	100,635	(48,025)
Change in Net Position	(648,622)	(1,343,051)	(1,991,673)
Total Net Position - Beginning	6,043,878	24,236,086	30,279,964
Total Net Position - Ending	\$ 5,395,256	\$ 22,893,035	\$ 28,288,291

Bakersfield City School District
Statement of Cash Flows – Proprietary Funds
Year Ended June 30, 2021

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Total
Operating Activities			
Cash receipts from operating funds	\$ 1,766,501	\$ 60,976,836	\$ 62,743,337
Cash receipts from refunds	36,116	4,165,259	4,201,375
Cash payments for claims	(1,719,392)	(57,963,494)	(59,682,886)
Cash payments for contracted services	(494,362)	(8,477,176)	(8,971,538)
Net Cash Used for Operating Activities	(411,137)	(1,298,575)	(1,709,712)
Investing Activities			
Interest on investments	168,204	35,618	203,822
Change in fair market value	(283,038)	72,269	(210,769)
Net Cash From (Used for) Investing Activities	(114,834)	107,887	(6,947)
Net Change in Cash and Cash Equivalents	(525,971)	(1,190,688)	(1,716,659)
Cash and Cash Equivalents, Beginning	12,981,703	29,625,889	42,607,592
Cash and Cash Equivalents, Ending	<u>\$ 12,455,732</u>	<u>\$ 28,435,201</u>	<u>\$ 40,890,933</u>
Reconciliation of Operating Loss to Net Cash Used for Operating Activities			
Operating loss	\$ (499,962)	\$ (1,443,686)	\$ (1,943,648)
Changes in assets and liabilities			
Prepaid expenditures	-	(12,000)	(12,000)
Due from other fund	(177,440)	-	(177,440)
Due to other fund	47,933	(26,609)	21,324
Claims liabilities	218,332	183,720	402,052
Net Cash Used for Operating Activities	<u>\$ (411,137)</u>	<u>\$ (1,298,575)</u>	<u>\$ (1,709,712)</u>

Note 1 - Summary of Significant Accounting Policies

Financial Reporting Entity

The Bakersfield City School District (the District) was established in 1882 under the laws of the State of California. The District operates under a locally elected five-member Board form of government and provides educational services to grades K - 8 as mandated by the State and/or Federal agencies. The District operates 34 elementary schools, seven middle schools, two junior high schools, one community day school, and two alternative sites for special education.

A reporting entity is comprised of the primary government and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For Bakersfield City School District, this includes general operations, food service, and student related activities of the District.

Basis of Presentation - Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. The District's funds are grouped into two broad fund categories which are governmental and proprietary.

Governmental Funds Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses, and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and liabilities is reported as fund balance. The following are the District's major and non-major governmental funds:

Major Governmental Funds

General Fund The General Fund is the chief operating fund for all districts. It is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund.

Two funds currently defined as special revenue funds in the California State Accounting Manual (CSAM) do not meet the GASB Statement No. 54 special revenue fund definition. Specifically, Fund 20, Special Reserve Other Postemployment Benefits Fund, and Fund 15, Pupil Transportation Fund, are not substantially composed of restricted or committed revenue sources. While these funds are authorized by statute and will remain open for internal reporting purposes, these funds function effectively as extensions of the General Fund, and accordingly have been combined with the General Fund for presentation in these audited financial statements.

Building Fund The Building Fund exists primarily to account separately for proceeds from the sale of bonds (Education Code Section 15146) and may not be used for any purposes other than those for which the bonds were issued.

Non-Major Governmental Funds

Special Revenue Funds The Special Revenue funds are used to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to the financing of particular activities, that compose a substantial portion of the inflows of the fund, and that are reasonably expected to continue. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

- **Student Activities Fund** The Student Activities Fund is used to account separately for the operating activities of the associated student body accounts that are not fiduciary in nature, including student clubs, general operations, athletics, and other student body activities.
- **Child Development Fund** The Child Development Fund is used to account separately for Federal, State, and local revenues to operate child development programs and is to be used only for expenditures for the operation of child development programs.
- **Cafeteria Fund** The Cafeteria Fund is used to account separately for Federal, State, and local resources to operate the food service program (*Education Code* Sections 38090-38093) and is used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code* Sections 38091 and 38100).

Capital Project Funds The Capital Project funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities and other capital assets (other than those financed by proprietary funds and trust funds).

- **Capital Facilities Fund** The Capital Facilities Fund is used primarily to account separately for monies received from fees levied on developers or other agencies as a condition of approval (*Education Code* Sections 17620-17626 and *Government Code* Section 65995 et seq.). Expenditures are restricted to the purposes specified in *Government Code* Sections 65970-65981 or to the items specified in agreements with the developer (*Government Code* Section 66006).
- **County School Facilities Fund** The County School Facilities Fund is established pursuant to *Education Code* Section 17070.43 to receive apportionments from the 1998 State School Facilities Fund (Proposition 1A), the 2002 State School Facilities Fund (Proposition 47), the 2004 State School Facilities Fund (Proposition 55), the 2006 State School Facilities Fund (Proposition 1D), or the 2016 State School Facilities Fund (Proposition 51) authorized by the State Allocation Board for new school facility construction, modernization projects, and facility hardship grants, as provided in the Leroy F. Greene School Facilities Act of 1998 (*Education Code* Section 17070 et seq.).

- **Special Reserve Fund for Capital Outlay Projects** The Special Reserve Fund for Capital Outlay Projects exists primarily to provide for the accumulation of General Fund monies for capital outlay purposes (*Education Code* Section 42840).

Debt Service Funds The Debt Service funds are used to account for the accumulation of resources for, and the payment of, principal and interest on general long-term liabilities.

- **Bond Interest and Redemption Fund** The Bond Interest and Redemption Fund is used for the repayment of bonds issued for a district (*Education Code* Sections 15125-15262).

Proprietary Funds Proprietary funds are used to account for activities that are more business-like than government-like in nature. Proprietary funds include those for which a fee is charged to external users or to other organizational units of the local education agency, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting and are classified as enterprise or internal service. The District has the following proprietary funds:

- **Internal Service Funds** Internal Service funds may be used to account for goods or services provided to other funds of the District on a cost-reimbursement basis. The District operates a Self-Insurance Workers' Compensation Fund and a Self-Insurance Healthcare Fund that are accounted for as internal service funds.

Basis of Accounting - Measurement Focus

Government-Wide Financial Statements The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements, but differs from the manner in which governmental fund financial statements are prepared.

The government-wide statement of activities presents a comparison between expenses, both direct and indirect, of the District and for each governmental function, and exclude fiduciary activity. Direct expenses are those that are specifically associated with a service, program, or department and are therefore, clearly identifiable to a particular function. The District does not allocate indirect expenses to functions in the Statement of Activities, except for depreciation. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District. Eliminations have been made to minimize the double counting of internal activities.

Net position should be reported as restricted when constraints placed on net position are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities result from special revenue funds and the restrictions on their use.

Fund Financial Statements Fund financial statements report detailed information about the District. The focus of governmental and proprietary fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. Non-major funds are aggregated and presented in a single column. The internal service funds are presented in two columns on the face of the proprietary fund statements.

- **Governmental Funds** All governmental funds are accounted for using the flow of current financial resources measurement focus and the modified accrual basis of accounting. With this measurement focus, only current assets and current liabilities generally are included on the balance sheet. The statement of revenues, expenditures, and changes in fund balances reports on the sources (revenues and other financing sources) and uses (expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements, therefore, include reconciliations with brief explanations to better identify the relationship between the government-wide financial statements, prepared using the economic resources measurement focus and the accrual basis of accounting, and the governmental fund financial statements, prepared using the flow of current financial resources measurement focus and the modified accrual basis of accounting.
- **Proprietary Funds** Proprietary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. All assets and all liabilities associated with the operation of this fund are included in the statement of net position. The statement of changes in fund net position presents increases (revenues) and decreases (expenses) in net total position. The statement of cash flows provides information about how the District finances and meets the cash flow needs of its proprietary funds.

Revenues – Exchange and Non-Exchange Transactions Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter, to be used to pay liabilities of the current fiscal year. The District considers revenues to be available if they are collected within one year after year-end, except for property taxes, which are considered available if collected within 60 days. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose restrictions. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue Unearned revenues arise when resources are received by the District before it has a legal claim to them, such as when certain grants are received prior to the occurrence of qualifying expenditures. In the subsequent periods, when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and the revenue is recognized.

Expenses/Expenditures On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred. Principal and interest on long-term liabilities, which has not matured, are recognized when paid in the governmental funds as expenditures. Allocations of costs, such as depreciation and amortization, are not recognized in the governmental funds but are recognized in the entity-wide statements.

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include cash with county treasury balances for purposes of the statement of cash flows.

Investments

Investments with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost. Fair values of investments in county and State investment pools are determined by the program sponsor.

Prepaid Expenditures (Expenses)

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements. The cost of prepaid items is recorded as expenditures/expenses when consumed rather than when purchased.

Stores Inventories

Inventories consist of expendable food and supplies held for consumption. Inventories are stated at cost, on the first-in, first-out basis for food items and weighted average basis for supply items. The costs of inventory items are recorded as expenditures in the governmental funds.

Capital Assets and Depreciation

The accounting and reporting treatment applied to the capital assets associated with a fund are determined by its measurement focus. Capital assets are long-lived assets of the District. The District maintains a capitalization threshold of \$15,000. The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized, but are expensed as incurred.

When purchased, such assets are recorded as expenditures in the governmental funds and capitalized in the government-wide statement of net position. The valuation basis for capital assets is historical cost, or where historical cost is not available, estimated historical cost based on replacement cost. Donated capital assets are capitalized at acquisition value on the date donated.

Depreciation is computed using the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 25 to 50 years; improvements, 10 to 35 years; equipment, 5 to 15 years.

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "interfund receivables/payables". These amounts are eliminated in the governmental activities column of the statement of net position.

Compensated Absences

Compensated absences are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide statement of net position.

Sick leave is accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive .004 year of service credit for each day of unused sick leave. Credit for unused sick leave is applicable to all certificated employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full-time.

Accounts Payable and Long-Term Liabilities

Accounts payable and long-term liabilities are reported in the government-wide financial statements. In general, governmental fund accounts payable that are paid in a timely manner and in full from current financial resources are reported as liabilities of the funds.

However, compensated absences, bonds, and other long-term liabilities are recognized as liabilities in the entity-wide fund financial statements when due.

Debt Premiums and Discounts

In the government-wide financial statements, long-term liabilities are reported as liabilities in the statement of net position. Debt premiums and discounts are amortized over the life of the bonds using the straight-line method, which approximates the effective interest method.

In governmental fund financial statements, bond premiums and discounts, as well as debt issuance costs are recognized in the period the bonds are issued. The face amount of the debt is reported as other financing sources. Premiums received on debt issuance are also reported as other financing sources. Issuance costs, whether or not withheld from the actual debt proceeds, are reported as debt service expenditures in the period the bonds are issued.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for pension related items and for OPEB related items.

In addition to liabilities, the Statement of Net Position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources for pension related items and OPEB related items.

The deferred amounts related to pension and OPEB relate to differences between expected and actual earnings on investments, changes of assumptions, and other pension and OPEB related changes.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid by the fund in which the employee worked.

Postemployment Benefits Other Than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the District Plan and the CalSTRS Medicare Premium Payment (MPP) Program and additions to/deductions from the District Plan and the MPP's fiduciary net position have been determined on the same basis as they are reported by the District Plan and the MPP. For this purpose, the District Plan and the MPP recognizes benefit payments when due and payable in accordance with the benefit terms. Investments are reported at fair value, except for money market investments and participating interest-earning investment contracts that have a maturity at the time of purchase of one year or less, which are reported at cost. The total OPEB liability attributable to the governmental activities will be paid primarily by the General, Child Development, and Cafeteria Funds.

Fund Balances - Governmental Funds

As of June 30, 2021, fund balances of the governmental funds are classified as follows:

Nonspendable - amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted - amounts that can be spent only for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws or regulations of other governments.

Committed - amounts that can be used only for specific purposes determined by a formal action of the governing board. The governing board is the highest level of decision-making authority for the District. Commitments may be established, modified, or rescinded only through resolutions or other action as approved by the governing board.

Assigned - amounts that do not meet the criteria to be classified as restricted or committed but that are intended to be used for specific purposes. Under the District's adopted policy, only the governing board or chief business officer/assistant superintendent of business services may assign amounts for specific purposes.

Unassigned - all other spendable amounts.

Spending Order Policy

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally unassigned funds, as needed, unless the governing board has provided otherwise in its commitment or assignment actions.

Minimum Fund Balance Policy

The governing board adopted a minimum fund balance policy for the General Fund in order to protect the District against revenue shortfalls or unpredicted one-time expenditures. The policy requires a Reserve for Economic Uncertainties consisting of unassigned amounts equal to no less than three percent of General Fund expenditures and other financing uses.

Net Position

Net position represents the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources. Net position net of investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction, or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies

restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available. The government-wide financial statements report \$47,184,361 of restricted net position.

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the District, these revenues are premiums charged to the operating funds to support the health and welfare and workers' compensation coverage. Operating expenses are necessary costs incurred to provide the good or service that is the primary activity of the fund. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of Kern bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

Change in Accounting Principles

Implementation of GASB Statement No. 84

As of July 1, 2020, the District adopted GASB Statement No. 84, *Fiduciary Activities*. The objective of this Statement is to improve the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. The requirements of this Statement will enhance consistency and comparability by (1) establishing specific criteria for identifying activities that should be reported as fiduciary activities and (2) clarifying whether and how business-type activities should report their fiduciary activities. Greater consistency and comparability enhance the value provided by the information reported in financial statements for assessing government accountability and stewardship. The impact to the District resulted in a reclassification of the District's student body activities from fiduciary to governmental. The effect of the implementation of this standard on beginning fund balance and net position is disclosed in Note 16.

New Accounting Pronouncements

In June 2017, the GASB issued Statement No. 87, *Leases*. The objective of this Statement is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of

the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

The requirements of this Statement are effective for the reporting periods beginning after June 15, 2021. Early implementation is encouraged. The effects of this change on the District's financial statements have not yet been determined.

Note 2 - Deposits and Investments

Summary of Deposits and Investments

Deposits and investments as of June 30, 2021, are classified in the accompanying financial statements as follows:

Governmental funds	\$ 134,795,567
Proprietary funds	<u>40,890,933</u>
Total deposits and investments	<u><u>\$ 175,686,500</u></u>

Deposits and investments as of June 30, 2021, consist of the following:

Cash on hand and in banks	\$ 1,136,429
Cash in revolving	330,527
Investments	<u>174,219,544</u>
Total deposits and investments	<u><u>\$ 175,686,500</u></u>

Policies and Practices

The District is authorized under California Government Code to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

Investment in County Treasury - The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (Education Code Section 41001). The fair value of the District's investment in the pool is reported in the financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

Investment in the State Investment Pool - The District is a voluntary participant in the Local Agency Investment Fund (LAIF) that is regulated by California Government Code Section 16429 under the oversight of the Treasurer of the State of California. The fair value of the District's investment in the Pool is reported in the accompanying financial statement at amounts based upon the District's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which is recorded on the amortized cost basis.

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District has a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District manages its exposure to interest rate risk by investing in the County Pool which purchases a combination of shorter term and longer term investments and which also times cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations.

Segmented Time Distribution

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the following schedule that shows the distribution of the District's investments by maturity:

Investment Type	Reported Amount	12 Months or Less	13 - 36 Months	37 - 60 Months
County Pool	\$ 174,219,339	\$ 69,687,736	\$ 40,070,448	\$ 64,461,155
Local Agency Investment Fund (LAIF)	205	205	-	-
Total	<u>\$ 174,219,544</u>	<u>\$ 69,687,941</u>	<u>\$ 40,070,448</u>	<u>\$ 64,461,155</u>

Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investments in LAIF are not required to be rated, nor have they been rated as of June 30, 2021.

Investment Type	Reported Amount	Minimum Legal Rating	Rating as of Year End				
			A-1+, A-1, AAA	AA+, AA	AA-	A+	Unrated
County Pool	\$ 174,219,339	N/A	\$ 45,471,247	\$ 104,705,823	\$ 14,634,424	\$ 3,658,606	\$ 5,749,239
Local Agency Investment Fund (LAIF)	205	N/A	-	-	-	-	205
Total	<u>\$ 174,219,544</u>		<u>\$ 45,471,247</u>	<u>\$ 104,705,823</u>	<u>\$ 14,634,424</u>	<u>\$ 3,658,606</u>	<u>\$ 5,749,444</u>

N/A – Not applicable

Custodial Credit Risk - Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the California *Government Code* requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agency. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits. As of June 30, 2021, \$4,057,417 of the District's cash balance was exposed to custodial credit risk because it was uninsured and collateralized with securities held by the pledging financial institution's trust department or agent, but not in the name of the District. This amount may include funds held by fiscal agents for the District's food service program and its Self-Insurance Funds.

Note 3 - Receivables

Receivables at June 30, 2021, consist of intergovernmental grants, entitlements, interest and other local sources. All receivables are considered collectible in full.

	General Fund	Building Fund	Non-Major Governmental Funds	Governmental Funds Total	Proprietary Funds	Governmental Activities Total
Federal Government						
Categorical aid	\$ 10,079,207	\$ -	\$ 1,420,318	\$ 11,499,525	\$ -	\$ 11,499,525
State Government						
LCFF apportionment	63,080,912	-	-	63,080,912	-	63,080,912
State grants and entitlements	9,168,854	-	426,212	9,595,066	-	9,595,066
Local sources	510,288	10,735	574,770	1,095,793	36,195	1,131,988
Total	<u>\$ 82,839,261</u>	<u>\$ 10,735</u>	<u>\$ 2,421,300</u>	<u>\$ 85,271,296</u>	<u>\$ 36,195</u>	<u>\$ 85,307,491</u>

Note 4 - Capital Assets

Capital asset activity for the fiscal year ended June 30, 2021, are as follows:

	Balance July 1, 2020	Additions	Deductions	Balance June 30, 2021
Governmental Activities				
Capital assets not being depreciated				
Land	\$ 15,682,251	\$ 1,262,200	\$ -	\$ 16,944,451
Construction in progress	45,194,033	17,775,150	(44,006,699)	18,962,484
Total capital assets not being depreciated	60,876,284	19,037,350	(44,006,699)	35,906,935
Capital assets being depreciated				
Land improvements	51,577,850	13,348,649	-	64,926,499
Buildings and improvements	258,862,849	29,395,850	(494,478)	287,764,221
Furniture and equipment	35,978,332	2,833,725	(95,212)	38,716,845
Total capital assets being depreciated	346,419,031	45,578,224	(589,690)	391,407,565
Total capital assets	407,295,315	64,615,574	(44,596,389)	427,314,500
Accumulated depreciation				
Land improvements	(18,591,474)	(2,623,211)	-	(21,214,685)
Buildings and improvements	(89,488,536)	(8,095,502)	437,348	(97,146,690)
Furniture and equipment	(24,881,736)	(2,588,522)	80,409	(27,389,849)
Total accumulated depreciation	(132,961,746)	(13,307,235)	517,757	(145,751,224)
Governmental activities capital assets, net	\$ 274,333,569	\$ 51,308,339	\$ (44,078,632)	\$ 281,563,276

Depreciation expense was charged as a direct expense to governmental functions as follows:

Governmental Activities	
Instruction	\$ 12,141,072
Home-to-school transportation	26,128
Food services	19,098
Community services	4,790
Data processing	24,324
All other administration	1,038,946
Plant services	52,877
Total depreciation expenses governmental activities	\$ 13,307,235

Note 5 - Interfund Transactions

Interfund Receivables/Payables (Due To/Due From)

Interfund receivable and payable balances arise from interfund transactions and are recorded by all funds affected in the period in which transactions are executed. Interfund receivable and payable balances at June 30, 2021, between major and non-major governmental funds and internal service funds are as follows:

Funds	Due from Other Funds	Due to Other Funds
Major Governmental Funds		
General	\$ 3,937,641	\$ 294,105
Building	-	2,074
Non-Major Governmental Funds		
Child Development	39,973	182,870
Cafeteria	108,096	3,483,497
Capital Facilities	5,016	771
County School Facilities	771	36,146
Proprietary Fund		
Internal Service-Self Insurance	178,685	270,719
Total	<u>\$ 4,270,182</u>	<u>\$ 4,270,182</u>

Bakersfield City School District

Notes to Financial Statements

June 30, 2021

The General Fund owes the Cafeteria Non-Major Governmental Fund for health benefit corrections.	\$ 549
The General Fund owes the Cafeteria Non-Major Governmental Fund for an equipment grant.	71,401
The General Fund owes the Capital Facilities Non-Major Governmental Fund for reclassification of expenditures.	3,497
The General Fund owes the Self Insurance Fund for worker's compensation Department of Industrial Relation fees.	178,685
The General Fund owes the Child Development Non-Major Governmental Fund for August payroll correction.	39,973
The Cafeteria Non-Major Governmental Fund owes the General Fund for operating costs.	5,704
The Cafeteria Non-Major Governmental Fund owes the General Fund for retiree benefit costs.	236,854
The Cafeteria Non-Major Governmental Fund owes the General Fund for unemployment charges.	2,014
The Cafeteria Non-Major Governmental Fund owes the General Fund for worker's compensation costs.	17,278
The Cafeteria Non-Major Governmental Fund owes the General Fund for indirect costs.	592,176
The Cafeteria Non-Major Governmental Fund owes the General Fund for June payroll.	27,277
The Cafeteria Non-Major Governmental Fund owes the General Fund for health benefit costs.	2,194
The Cafeteria Non-Major Governmental Fund owes the General Fund for a temporary cash loan.	2,600,000
The Child Development Non-Major Governmental Fund owes the General Fund for retiree benefit costs.	45,986
The Child Development Non-Major Governmental Fund owes the General Fund for operating costs.	289
The Child Development Non-Major Governmental Fund owes the General Fund for worker's compensation costs.	5,138
The Child Development Non-Major Governmental Fund owes the General Fund for unemployment insurance costs.	397
The Child Development Non-Major Governmental Fund owes the General Fund for indirect costs.	130,417
The Child Development Non-Major Governmental Fund owes the General Fund for stale dated checks.	643
The County School Facilities Non-Major Governmental Fund owes the Cafeteria Non-Major Governmental Fund for expenditure corrections.	36,146
The Building Fund owes the General Fund for reclassification transfers.	555
The Building Fund owes the Capital Facilities Non-Major Governmental Fund for reclassification transfers.	1,519
The Capital Facilities Non-Major Governmental Fund owes the County School Facilities Non-Major Governmental Fund for reclassification transfers.	771
The Self Insurance Fund owes the General Fund for salary and benefit costs.	26,836
The Self Insurance Fund owes the General Fund for overpayment of workers compensation fees.	243,883
Total	\$ 4,270,182

Note 6 - Prepaid Expenditures (Expenses)

Prepaid expenditures (expenses) at June 30, 2021, consist of the following:

	General Fund	Proprietary Funds	Total Governmental Activities
Two school buses	\$ 299,497	\$ -	\$ 299,497
Bank of America	15,028	-	15,028
Professional services	-	12,000	12,000
Total	<u>\$ 314,525</u>	<u>\$ 12,000</u>	<u>\$ 326,525</u>

Note 7 - Accounts Payable

Accounts payable at June 30, 2021, consist of the following:

	General Fund	Building Fund	Non-Major Governmental Funds	Total
Vendor payables	\$ 12,565,151	\$ 364,288	\$ 2,176,027	\$ 15,105,466
LCFF apportionment	26,108,859	-	-	26,108,859
Salaries and benefits	10,154,400	-	274,058	10,428,458
Total	<u>\$ 48,828,410</u>	<u>\$ 364,288</u>	<u>\$ 2,450,085</u>	<u>\$ 51,642,783</u>

Note 8 - Unearned Revenue

Unearned revenue at June 30, 2021, consists of the following:

	General Fund	Non-Major Governmental Funds	Total
Federal financial assistance	\$ 2,724,405	\$ 3,194	\$ 2,727,599
State categorical aid	7,071,594	-	7,071,594
Other local	144,023	-	144,023
Total	<u>\$ 9,940,022</u>	<u>\$ 3,194</u>	<u>\$ 9,943,216</u>

Note 9 - Long-Term Liabilities Other Than OPEB and Pensions

Summary

The changes in the District's long-term liabilities other than OPEB and pensions during the year consisted of the following:

	Balance July 1, 2020	Additions	Deductions	Balance June 30, 2021	Due in One Year
Long-Term Liabilities					
General obligation bonds	\$ 117,574,554	\$ 1,497,570	\$ (4,290,000)	\$ 114,782,124	\$ 4,285,000
Unamortized debt premiums	4,236,326	-	(290,255)	3,946,071	-
Unamortized debt discounts	(703,144)	-	51,800	(651,344)	-
Capital leases	2,317,244	-	(150,926)	2,166,318	128,554
Compensated absences	1,868,405	2,208,145	(1,197,331)	2,879,219	-
Claims liability, see Note 12	12,156,751	59,963,629	(59,561,577)	12,558,803	-
Total	<u>\$ 137,450,136</u>	<u>\$ 63,669,344</u>	<u>\$ (65,438,289)</u>	<u>\$ 135,681,191</u>	<u>\$ 4,413,554</u>

Payments on the general obligation bonds are made by the Bond Interest and Redemption Fund with local tax revenues. The capital lease will be paid by the General Fund. The compensated absences will be paid by the fund for which the employee worked. The District is self insured for the claims liability which is funded through the District's Self Insurance Fund.

General Obligation Bonds

The outstanding general obligation bonded debt is as follows:

Series	Fiscal Year of Final Maturity	Interest Rate	Original Issue	Bonds Outstanding July 1, 2020	Interest Accreted	Redeemed	Bonds Outstanding June 30, 2021
Capital Appreciation Bonds:							
2012, C	2047	5.75-5.90	\$ 16,146,619	\$ 16,146,619	\$ -	\$ -	\$ 16,146,619
Accreted interest on 2012 C bonds				9,167,935	1,497,570	-	10,665,505
2012, B	2033	4.39	18,050,000	17,385,000	-	(750,000)	16,635,000
2015, A	2032	2.00-5.00	25,930,000	22,935,000	-	(1,065,000)	21,870,000
2015, E	2039	4.656-5.00	12,770,000	12,280,000	-	(335,000)	11,945,000
2017, A	2047	3.00-5.50	22,000,000	17,660,000	-	(540,000)	17,120,000
2017, B	2049	2.00-5.00	22,000,000	22,000,000	-	(1,600,000)	20,400,000
Total				<u>\$ 117,574,554</u>	<u>\$ 1,497,570</u>	<u>\$ (4,290,000)</u>	<u>\$ 114,782,124</u>

Debt Service Requirements to Maturity

The capital appreciation bonds mature as follows:

Bonds Maturing Fiscal Year	Initial Bond Value	Accreted Interest	Accreted Obligation	Unaccreted Interest	Maturity Value
2037	\$ 2,383,047	\$ 1,541,553	\$ 3,924,600	\$ 3,825,400	\$ 7,750,000
2042	5,196,108	3,400,344	8,596,452	8,473,548	17,070,000
2047	8,567,463	5,723,609	14,291,072	14,428,928	28,720,000
Total	<u>\$ 16,146,618</u>	<u>\$ 10,665,506</u>	<u>\$ 26,812,124</u>	<u>\$ 26,727,876</u>	<u>\$ 53,540,000</u>

The convertible bonds have the following mandatory early redemption requirements:

Fiscal Year	Principal	Interest to Maturity	Total
2032-2036	\$ 3,330,000	\$ 6,171,780	\$ 9,501,780
2037-2041	13,495,000	13,327,093	26,822,093
2042-2046	23,540,000	8,324,200	31,864,200
2047	13,175,000	1,184,130	14,359,130
Total	<u>\$ 53,540,000</u>	<u>\$ 29,007,203</u>	<u>\$ 82,547,203</u>

The current interest bonds mature as follows:

Fiscal Year	Principal	Interest to Maturity	Total
2022	\$ 4,285,000	\$ 3,492,803	\$ 7,777,803
2023	4,205,000	3,292,619	7,497,619
2024	2,770,000	3,136,507	5,906,507
2025	3,070,000	2,999,607	6,069,607
2026	3,425,000	2,839,398	6,264,398
2027-2031	22,645,000	11,349,804	33,994,804
2032-2036	19,300,000	6,306,676	25,606,676
2037-2041	9,980,000	3,789,622	13,769,622
2042-2046	11,010,000	2,030,214	13,040,214
2047-2049	7,280,000	284,021	7,564,021
Total	<u>\$ 87,970,000</u>	<u>\$ 39,521,271</u>	<u>\$ 127,491,271</u>

Capital Lease

The District has entered into agreements to lease a portable classroom and equipment. These agreements are, in substance, a purchase (capital lease) and are reported as capital lease obligations. The District's liability on the lease agreements with options to purchase are summarized below:

Balance, July 1, 2020	\$ 2,317,244
Payments	<u>(150,926)</u>
Balance, July 1, 2021	<u><u>\$ 2,166,318</u></u>

The capital leases have minimum lease payments at follows:

Year Ending June 30,	Lease Payment
2022	\$ 180,339
2023	180,340
2024	180,339
2025	180,340
2026	180,339
2027-2031	901,697
2032-2036	<u>766,441</u>
Total	2,569,835
Less amount representing interest	<u>(403,517)</u>
Present value of minimum lease payments	<u><u>\$ 2,166,318</u></u>

Compensated Absences

Compensated absences (unpaid employee vacation) for the District at June 30, 2021, amounted to \$2,879,219.

Note 10 - Other Postemployment Benefit (OPEB) Liability

For the fiscal year ended June 30, 2021, the District reported net OPEB liability, deferred outflows of resources, deferred inflows of resources, and OPEB expense for the following plans:

OPEB Plan	Net OPEB Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	OPEB Expense
Retiree Health Plan	\$ 115,099,795	\$ 19,736,604	\$ 45,901,914	\$ 5,116,310
Medicare Premium Payment (MPP) Program	2,130,226	-	-	317,645
Total	<u>\$ 117,230,021</u>	<u>\$ 19,736,604</u>	<u>\$ 45,901,914</u>	<u>\$ 5,433,955</u>

The details of each plan are as follows:

District Plan

Plan Administration

The District's governing board administers the Postemployment Benefits Plan (the Plan). The Plan is a single-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB) for eligible retirees and their spouses. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Plan Membership

At June 30, 2021, the valuation date, the Plan membership consisted of the following:

Inactive employees or beneficiaries currently receiving benefits payments	236
Active employees	<u>2,942</u>
Total	<u><u>3,178</u></u>

Benefits Provided

The District's Retiree Health Insurance Program is a single-employer defined benefit postemployment healthcare plan administered by the Blue Cross Prudent Buyer Classic medical plan and the Navitus Health Solution prescription drug plan. For certificated members with a hire date prior to January 1, 2007 and classified members hired prior to June 1, 2007 (classified members who are part time and were hired prior to 1992 are counted as full-time members for eligibility), the District provides District-paid medical coverage for full-time employees who retire on or after attaining age 55 with at least ten years of service and are eligible to retire.

Contributions

The contribution requirements of Plan members and the District are established and may be amended by the District, the Bakersfield Elementary Teacher Association (BETA), the local California Service Employees Association (CSEA), and unrepresented groups. Voluntary contributions based on projected pay-as-you-go financing requirements, and any additional amounts to prefund benefits with the District, BETA, CSEA, and the unrepresented groups are based on availability of funds. There are no required contributions over and above those needed to fund current premiums. For the measurement period of June 30, 2021, the District contributed \$6,424,628 to the Plan which was used for current premiums.

Total OPEB Liability of the District

The District's total OPEB liability of \$115,099,795 was measured as of June 30, 2021, and was determined by an actuarial valuation as of the same date.

Actuarial Assumptions

The following assumptions were applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.75 percent
Salary increases	2.75 percent, average, including inflation
Discount rate	2.16 percent
Healthcare cost trend rates	4.00 percent trend change falls in line with experience gain in new valuation
Retirees' share of benefit-related costs	Retirees do not contribute towards premiums

The discount rate was based on the Bond Buyer 20-bond General Obligation Index.

The mortality assumptions are based on the 2020 CalSTRS Mortality table created by CalSTRS. CalSTRS periodically studies mortality for participating agencies and establishes mortality tables that are modified versions of commonly used tables. This table incorporates mortality projection as deemed appropriate based on CalSTRS analysis.

The mortality assumptions are based on the 2017 CalPERS Mortality for Miscellaneous and Schools Employees & 2017 CalPERS Retiree Mortality for All Employees tables created by CalPERS. CalPERS periodically studies mortality for participating agencies and establishes mortality tables that are modified versions of commonly used tables. These tables incorporate mortality projection as deemed appropriate based on CalPERS analysis.

The actuarial assumptions used in the June 30, 2021, valuation were based on the plan experience through June 30, 2021.

Changes in the Total OPEB Liability

	<u>Total OPEB Liability</u>
Balance, June 30, 2020	<u>\$ 108,328,416</u>
Service cost	6,514,695
Interest	2,384,216
Differences between expected and actual experience	(13,713,399)
Changes of assumptions or other inputs	18,010,495
Benefit payments	<u>(6,424,628)</u>
Net change in total OPEB liability	<u>6,771,379</u>
Balance, June 30, 2021	<u><u>\$ 115,099,795</u></u>

Changes in Benefit Terms - There were not changes in the benefit terms since the previous valuation.

Changes in Assumptions - The discount rate assumption was changed from 2.20 percent to 2.16 percent, inflation was changed from 2.25 percent to 2.75 percent, the salary increases was changed from 3.00 percent to 2.75 percent and the health care trend was changed from 6.00 percent to 4.00 percent since the previous valuation.

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

<u>Discount Rate</u>	<u>Total OPEB Liability</u>
1% decrease (1.16%)	\$ 123,847,322
Current discount rate (2.16%)	115,099,795
1% increase (3.16%)	106,797,208

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are one percent lower or higher than the current healthcare costs trend rates:

Healthcare Cost Trend Rates	Total OPEB Liability
1% decrease (3%)	\$ 101,226,191
Current healthcare cost trend rate (4%)	115,099,795
1% increase (5%)	131,721,309

OPEB Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources related to OPEB

For the year ended June 30, 2021, the District recognized OPEB expense of \$5,116,310. At June 30, 2021, the District reported deferred outflows of resources and deferred inflow of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 3,133,179	\$ 13,021,666
Changes of assumptions	16,603,425	32,880,248
Total	<u>\$ 19,736,604</u>	<u>\$ 45,901,914</u>

Amounts reported as deferred outflows and inflows of resources related to OPEB will be amortized over the Expected Average Remaining Service Life (EARS�) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period and will be recognized in OPEB expense as follows:

Year Ended June 30,	Deferred Outflows of Resources	Deferred Inflows of Resources
2022	\$ 1,798,718	\$ (5,581,319)
2023	1,798,718	(5,581,319)
2024	1,798,718	(5,581,319)
2025	1,798,718	(5,581,319)
2026	1,798,718	(5,249,580)
Thereafter	10,743,014	(18,327,058)
Total	<u>\$ 19,736,604</u>	<u>\$ (45,901,914)</u>

Medicare Premium Payment (MPP) Program

Plan Description

The Medicare Premium Payment (MPP) Program is administered by the California State Teachers' Retirement System (CalSTRS). The MPP Program is a cost-sharing multiple-employer other postemployment benefit plan (OPEB) established pursuant to Chapter 1032, Statutes 2000 (SB 1435). CalSTRS administers the MPP Program through the Teachers' Health Benefits Fund (THBF).

A full description of the MPP Program regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2019 annual actuarial valuation report, Medicare Premium Payment Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/member-publications>.

Benefits Provided

The MPP Program pays Medicare Part A premiums and Medicare Parts A and B late enrollment surcharges for eligible members of the State Teachers Retirement Plan (STRP) Defined Benefit (DB) Program who were retired or began receiving a disability allowance prior to July 1, 2012 and were not eligible for premium free Medicare Part A. The payments are made directly to the Centers for Medicare and Medicaid Services (CMS) on a monthly basis.

The MPP Program is closed to new entrants as members who retire after July 1, 2012, are not eligible for coverage under the MPP Program.

The MPP Program is funded on a pay-as-you go basis from a portion of monthly District benefit payments. In accordance with California *Education Code* Section 25930, contributions that would otherwise be credited to the DB Program each month are instead credited to the MPP Program to fund monthly program and administrative costs. Total redirections to the MPP Program are monitored to ensure that total incurred costs do not exceed the amount initially identified as the cost of the program.

Net OPEB Liability and OPEB Expense

At June 30, 2021, the District reported a liability of \$2,130,226 for its proportionate share of the net OPEB liability for the MPP Program. The net OPEB liability was measured as of June 30, 2020, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of June 30, 2019. The District's proportion of the net OPEB liability was based on a projection of the District's long-term share of contributions to the OPEB Plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2020 and June 30, 2019, respectively, was 0.5027 percent and 0.4867 percent, resulting in a net increase in the proportionate share of 0.0160 percent.

For the year ended June 30, 2021, the District recognized OPEB expense of \$317,645.

Actuarial Methods and Assumptions

The June 30, 2020 total OPEB liability was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2019, and rolling forward the total OPEB liability to June 30, 2020, using the assumptions listed in the following table:

Measurement Date	June 30, 2020	June 30, 2019
Valuation Date	June 30, 2019	June 30, 2018
Experience Study	June 30, 2014 through June 30, 2018	July 1, 2010 through June 30, 2015
Actuarial Cost Method	Entry age normal	Entry age normal
Investment Rate of Return	2.21%	3.50%
Medicare Part A Premium Cost Trend Rate	4.50%	3.70%
Medicare Part B Premium Cost Trend Rate	5.40%	4.10%

For the valuation as of June 30, 2019, CalSTRS uses a generational mortality assumption, which involves the use of a base mortality table and projection scales to reflect expected annual reductions in mortality rates at each age, resulting in increases in life expectancies each year into the future. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among our members. The projection scale was set equal to 110 percent of the ultimate improvement factor from the Mortality Improvement Scale (MP-2019) table, issued by the Society of Actuaries.

Assumptions were made about future participation (enrollment) into the MPP Program because CalSTRS is unable to determine which members not currently participating meet all eligibility criteria for enrollment in the future. Assumed enrollment rates were derived based on past experience and are stratified by age with the probability of enrollment diminishing as the members' age increases. This estimated enrollment rate was then applied to the population of members who may meet criteria necessary for eligibility and are not currently enrolled in the MPP Program. Based on this, the estimated number of future enrollments used in the financial reporting valuation was 294 or an average of 0.18 percent of the potentially eligible population (159,339).

The MPP Program is funded on a pay-as-you-go basis with contributions generally being made at the same time and in the same amount as benefit payments and expenses coming due. Any funds within the MPP Program as of June 30, 2020, were to manage differences between estimated and actual amounts to be paid and were invested in the Surplus Money Investment Fund, which is a pooled investment program administered by the State Treasurer.

Discount Rate

The discount rate used to measure the total OPEB liability as of June 30, 2020, is 2.21 percent. As the MPP Program is funded on a pay-as-you-go basis as previously noted, the OPEB Plan's fiduciary net position was not projected to be sufficient to make projected future benefit payments. Therefore, a discount rate of 2.21 percent, which is the Bond Buyer 20-Bond GO Index from Bondbuyer.com as of June 30, 2020, was applied to all periods of projected benefit payments to measure the total OPEB liability. The discount rate decreased 1.29 percent from 3.50 percent as of June 30, 2019.

Sensitivity of the District's Proportionate Share of the Net OPEB Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net OPEB liability calculated using the current discount rate, as well as what the net OPEB liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

<u>Discount Rate</u>	<u>Net OPEB Liability</u>
1% decrease (1.21%)	\$ 2,355,558
Current discount rate (2.21%)	2,130,226
1% increase (3.21%)	1,938,485

Sensitivity of the District's Proportionate Share of the Net OPEB Liability to Changes in the Medicare Costs Trend Rates

The following presents the District's proportionate share of the net OPEB liability calculated using the Medicare costs trend rates, as well as what the net OPEB liability would be if it were calculated using Medicare costs trend rates that are one percent lower or higher than the current rates:

<u>Medicare Costs Trend Rate</u>	<u>Net OPEB Liability</u>
1% decrease (3.50% Part A and 4.40% Part B)	\$ 1,931,548
Current Medicare costs trend rate (4.50% Part A and 5.40% Part B)	2,130,226
1% increase (5.50% Part A and 6.40% Part B)	2,358,941

Note 11 - Fund Balances

Fund balances are composed of the following elements:

	General Fund	Building Fund	Non-Major Governmental Funds	Total
Nonspendable				
Revolving cash	\$ 82,123	\$ -	\$ 870	\$ 82,993
Stores inventories	205,429	-	706,454	911,883
Prepaid expenditures	314,525	-	-	314,525
Total nonspendable	602,077	-	707,324	1,309,401
Restricted				
Legally restricted programs	15,569,091	-	-	15,569,091
Student activities	-	-	128,415	128,415
Childcare programs	-	-	818,088	818,088
Food service	-	-	3,218,863	3,218,863
Capital projects	-	3,679,528	21,141,384	24,820,912
Debt service	-	-	6,308,520	6,308,520
Total restricted	15,569,091	3,679,528	31,615,270	50,863,889
Committed				
Other postemployment benefits	7,237,553	-	-	7,237,553
Assigned				
Pupil transportation	45,610	-	-	45,610
Capital projects	-	-	95,969	95,969
2020-2021 Supplemental and concentration	20,129,000	-	-	20,129,000
Total assigned	20,174,610	-	95,969	20,270,579
Unassigned				
Reserve for economic uncertainties	12,972,785	-	-	12,972,785
Remaining unassigned	67,145,099	-	-	67,145,099
Total unassigned	80,117,884	-	-	80,117,884
Total	<u>\$ 123,701,215</u>	<u>\$ 3,679,528</u>	<u>\$ 32,418,563</u>	<u>\$ 159,799,306</u>

Note 12 - Risk Management

Joint Powers Agreements

The District participates in a joint powers agreement (JPA) with the Self-Insured Schools of California for its property and liability coverage (SISC II) and health and welfare benefits (SISC III). The District has entered into a service contract with the Self-Insured Schools of California Workers' Compensation (SISC I) program to provide claims administration services for the District's workers' compensation claims.

A board consisting of representatives from member districts governs each SISC JPA. The governing boards control the operation of the JPAs independent of any influence by the District beyond the District's representation on the governing board(s). Each JPA is independently accountable for its fiscal matters. These JPAs have budget and financial reporting requirements separate and independent from its member districts and are not subject to any approval other than that of the JPA governing board.

Property and Liability

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees and natural disasters. During fiscal year ending June 30, 2021, the District contracted with Self-Insured Schools of California Property and Liability Program (SISC II) for property and liability insurance coverage. Member districts pay a premium commensurate with the level of coverage requested and share surpluses and deficits proportionately to their participation. Settled claims have not exceeded this commercial coverage in any of the past three years. There has not been a significant reduction in coverage from the prior year.

Workers' Compensation

For fiscal year 2021, the District is self-insured for workers' compensation. The self-insurance program started in 1983-1984. The District has been self-insuring its workers' compensation program in California in accordance with *Insurance Code* 11870. The District entered into a service contract with Self-Insured Schools of California Workers' Compensation (SISC I) effective July 1, 1995, to provide claims administration services. The District pays an annual service fee to SISC I for these services. The District pays directly to Walter Mortensen Insurance the premium for excess workers' compensation coverage. Self-insured retention is currently \$1,000,000. The District pays directly to the Kern Foundation for Medical Care the fees for the Medical Provider Network (MPN) services. The District is responsible for obtaining its own actuarial valuation. The Self Insured Schools of California provides actuarial services for the District.

Employee Medical Benefits

The District has contracted with the Self-Insured Schools of California Health and Welfare Benefits JPA (SISC III) to provide employee health benefits. SISC III is a shared risk pool. Rates are set through an annual utilization review and calculation process. The District is considered a “credible” district within the SISC III pool for their medical and pharmacy claims. Being credible means they are responsible for and assume all risk for their own claims, up to \$150,000 for medical claims, per member per plan year. The District participates in the regular SISC pool for dental and vision coverage. The District pays a monthly contribution, which is placed in a common fund from which claim payments are made for all SISC III participating districts. SISC III has a right to return monies to a district subsequent to the settlement of all expenses and claims if a district withdraws from the pool.

Unpaid Claims Liabilities

The Self Insurance Funds establish a liability for both reported and unreported events, which includes estimates of both future payments of losses and related claim adjustment expenses. The following represent the changes in approximate aggregate liabilities for the District from July 1, 2019 to June 30, 2021:

	Workers' Compensation	Health Care	Total
Liability Balance, July 1, 2019	\$ 6,835,027	\$ 4,997,465	\$ 11,832,492
Claims and changes in estimates	2,157,367	55,810,842	57,968,209
Claims payments	<u>(2,185,406)</u>	<u>(55,458,544)</u>	<u>(57,643,950)</u>
Liability Balance, June 30, 2020	6,806,988	5,349,763	12,156,751
Claims and changes in estimates	1,894,000	58,069,629	59,963,629
Claims payments	<u>(1,675,668)</u>	<u>(57,885,909)</u>	<u>(59,561,577)</u>
Liability Balance, June 30, 2021	<u>\$ 7,025,320</u>	<u>\$ 5,533,483</u>	<u>\$ 12,558,803</u>
Assets available to pay claims at June 30, 2021	<u>\$ 12,455,732</u>	<u>\$ 28,435,201</u>	<u>\$ 40,890,933</u>

Note 13 - Employee Retirement Systems

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

For the fiscal year ended June 30, 2021, the District reported its proportionate share of net pension liabilities, deferred outflows of resources, deferred inflows of resources, and pension expense for each of the above plans as follows:

Pension Plan	Net Pension Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	Pension Expense
CalSTRS	\$ 279,564,703	\$ 80,908,107	\$ 13,718,280	\$ 42,761,225
CalPERS	149,785,771	27,279,056	544,355	32,376,959
Total	<u>\$ 429,350,474</u>	<u>\$ 108,187,163</u>	<u>\$ 14,262,635</u>	<u>\$ 75,138,184</u>

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2019, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/member-publications>.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age, and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program, and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the state is the sponsor of the STRP and obligor of the trust. In addition, the state is both an employer and nonemployer contributing entity to the STRP.

The District contributes exclusively to the STRP Defined Benefit Program, thus disclosures are not included for the other plans.

The STRP provisions and benefits in effect at June 30, 2021, are summarized as follows:

	STRP Defined Benefit Program	
	On or before December 31, 2012	On or after January 1, 2013
Hire date	2% at 60	2% at 62
Benefit formula	5 years of service	5 years of service
Benefit vesting schedule	Monthly for life	Monthly for life
Benefit payments	60	62
Retirement age	2.0% - 2.4%	2.0% - 2.4%
Monthly benefits as a percentage of eligible compensation	10.25%	10.205%
Required employee contribution rate	16.15%	16.15%
Required employer contribution rate	10.328%	10.328%
Required state contribution rate		

Contributions

Required member, District and State of California contributions rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. The contributions rates are expressed as a level percentage of payroll using the entry age normal actuarial method. In accordance with AB 1469, employer contributions into the CalSTRS will be increasing to a total of 19.1 percent of applicable member earnings phased over a seven-year period. The contribution rates for each plan for the year ended June 30, 2021, are presented above and the District's total contributions were \$25,591,734.

Pension Liabilities, Pension Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to Pensions

At June 30, 2021, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

Total net pension liability, including State share	
Proportionate share of net pension liability	\$ 279,564,703
State's proportionate share of the net pension liability	<u>144,115,637</u>
Total	<u><u>\$ 423,680,340</u></u>

The net pension liability was measured as of June 30, 2020. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined. The District's proportionate share for the measurement period June 30, 2020 and June 30, 2019, respectively was 0.2885 percent and 0.2751 percent, resulting in a net increase in the proportionate share of 0.0134 percent.

For the year ended June 30, 2021, the District recognized pension expense of \$42,761,225. In addition, the District recognized pension expense and revenue of \$20,189,187 for support provided by the State. At June 30, 2021, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 25,591,734	\$ -
Change in proportion and differences between contributions made and District's proportionate share of contributions	20,920,703	5,834,076
Differences between projected and actual earnings on pension plan investments	6,640,848	-
Differences between expected and actual experience in the measurement of the total pension liability	493,304	7,884,204
Changes of assumptions	27,261,518	-
Total	<u>\$ 80,908,107</u>	<u>\$ 13,718,280</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year.

The deferred outflows of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources
2022	\$ (4,052,206)
2023	2,262,659
2024	4,514,257
2025	3,916,138
Total	<u>\$ 6,640,848</u>

The deferred outflows/(inflows) of resources related to the change in proportion and differences between contributions made and District's proportionate share of contributions, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is seven years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2022	\$ 12,365,896
2023	9,399,769
2024	10,479,301
2025	1,473,613
2026	(227,910)
Thereafter	1,466,576
Total	<u>\$ 34,957,245</u>

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2019, and rolling forward the total pension liability to June 30, 2020. The financial reporting actuarial valuation as of June 30, 2019, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2019
Measurement date	June 30, 2020
Experience study	July 1, 2015 through June 30, 2018
Actuarial cost method	Entry age normal
Discount rate	7.10%
Investment rate of return	7.10%
Consumer price inflation	2.75%
Wage growth	3.50%

CalSTRS uses a generational mortality assumption, which involves the use of a base mortality table and projection scales to reflect expected annual reductions in mortality rates at each age, resulting in increases in life expectancies each year into the future. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among its members. The projection scale was set equal to 110 percent of the ultimate improvement factor from the Mortality Improvement Scale (MP-2019) table, issued by the Society of Actuaries.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (Pension Consulting Alliance-PCA) as an input to the process. The actuarial investment rate of return assumption was adopted by the

board in January 2020 in conjunction with the most recent experience study. For each future valuation, CalSTRS consulting actuary (Milliman) reviews the return assumption for reasonableness based on the most current capital market assumptions. Best estimates of 20-year geometrically-linked real rates of return and the assumed asset allocation for each major asset class for the year ended June 30, 2020, are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Public equity	42%	4.8%
Real estate	15%	3.6%
Private equity	13%	6.3%
Fixed income	12%	1.3%
Risk mitigating strategies	10%	1.8%
Inflation sensitive	6%	3.3%
Cash/liquidity	2%	(0.4%)

Discount Rate

The discount rate used to measure the total pension liability was 7.10 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.10 percent) and assuming that contributions, benefit payments and administrative expense occurred midyear. Based on these assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.10%)	\$ 422,383,324
Current discount rate (7.10%)	279,564,703
1% increase (8.10%)	161,647,820

California Public Employees Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the School Employer Pool (SEP) under the California Public Employees' Retirement System (CalPERS), a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2019 annual actuarial valuation report, Schools Pool Actuarial Valuation. This report and CalPERS audited financial information are publicly available reports that can be found on the CalPERS website under Forms and Publications at:
<https://www.calpers.ca.gov/page/forms-publications>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member's final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

The CalPERS provisions and benefits in effect at June 30, 2021, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.00%	7.00%
Required employer contribution rate	20.70%	20.70%

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contributions rates are expressed as percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2021, are presented above and the total District contributions were \$14,610,845.

Pension Liabilities, Pension Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to Pensions

As of June 30, 2021, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$149,785,771. The net pension liability was measured as of June 30, 2020. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2020 and June 30, 2019, respectively was 0.4882 percent and 0.4722 percent, resulting in a net increase in the proportionate share of 0.0160 percent.

For the year ended June 30, 2021, the District recognized pension expense of \$32,376,959. At June 30, 2021, the District reported deferred outflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 14,610,845	\$ -
Change in proportion and differences between contributions made and District's proportionate share of contributions	1,571,963	544,355
Differences between projected and actual earnings on pension plan investments	3,118,064	-
Differences between expected and actual experience in the measurement of the total pension liability	7,428,914	-
Changes of assumptions	549,270	-
Total	<u>\$ 27,279,056</u>	<u>\$ 544,355</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year.

The deferred outflows of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources
2022	\$ (1,166,843)
2023	1,040,783
2024	1,809,053
2025	1,435,071
Total	<u>\$ 3,118,064</u>

The deferred outflows/(inflows) of resources related to the change in proportion and differences between contributions made and District's proportionate share of contributions, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be

amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is 4.1 years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2022	\$ 6,349,890
2023	1,967,327
2024	639,392
2025	49,183
Total	<u>\$ 9,005,792</u>

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2019, and rolling forward the total pension liability to June 30, 2020. The financial reporting actuarial valuation as of June 30, 2019, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2019
Measurement date	June 30, 2020
Experience study	July 1, 1997 through June 30, 2015
Actuarial cost method	Entry age normal
Discount rate	7.15%
Investment rate of return	7.15%
Consumer price inflation	2.50%
Wage growth	Varies by entry age and service

The mortality table used was developed based on CalPERS-specific data. The table includes 15 years of mortality improvements using Society of Actuaries 90 percent of scale MP-2016.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first ten years) and the long-term (11+ years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the rounded single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equal to the single equivalent rate calculated above and adjusted to account for assumed administrative expenses. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	50%	5.98%
Fixed income	28%	2.62%
Inflation assets	0%	1.81%
Private equity	8%	7.23%
Real assets	13%	4.93%
Liquidity	1%	(0.92%)

Discount Rate

The discount rate used to measure the total pension liability was 7.15 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.15%)	\$ 215,344,360
Current discount rate (7.15%)	149,785,771
1% increase (8.15%)	95,375,432

SISC Defined Benefit Pension Plan (SDBP)

Plan Description

As established by Federal law, all public sector employees who are not members of their employer's existing retirement system (CalSTRS or CalPERS) must be covered by social security or an alternative plan. The District has elected to use the Self-Insured Schools of California (SISC) defined benefit plan as its alternative plan. For all employees who were members in the plan prior to January 1, 2014, the District is required to make contributions of 3.7 percent of the employees' salary. For all employees who entered the plan subsequent to January 1, 2014, the District is required to make contributions of 2.1 percent of the employees' salary and the employee is required to contribute 1.6 percent. There is no specified length of time an employee must work for the District in order to receive benefits. The benefits are 100 percent vested from the date of participation. The District made contributions of \$97,890 to this plan during the fiscal year ended June 30, 2021, of which \$32,585 was the employee portion. Copies of the SISC defined benefit plan annual financial report may be obtained from the SISC executive office.

All part-time, temporary, and seasonal (PTS) employees are eligible to participate in the SISC Defined Benefit Plan (SDBP), a multiple-employer public employee retirement plan. The District is part of a "cost-sharing" pool within SDBP. One actuarial valuation is performed for those employers participating in the pool, and the same contribution rate applies to each. At June 30, 2021, the District employed 137 PTS employees with a total payroll of \$2,699,601.

Employees who retire on or after age 65 are entitled to a retirement benefit, payable monthly for life, equal to 1.5 percent of their average compensation multiplied by credited service up to 30 years. Average compensation is the employee's average monthly compensation for the highest three consecutive calendar years of employment. A year of credited service is received for each year in which the employee receives compensation for service with the employer. Credited service will not include periods of employment with the employer during which the employee is covered under another plan sponsored by the employer. Copies of the SDBP annual financial report may be obtained from their executive office.

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$16,309,613 (10.328 percent of annual payroll). Contributions are no longer appropriated in the annual *Budget Act* for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. Accordingly, these amounts have been recorded in these financial statements.

Note 14 - Commitments and Contingencies

Grants

The District received financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2021.

Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2021.

Construction Commitments

As of June 30, 2021, the District had the following commitments with respect to the unfinished capital projects:

Capital Projects	Remaining Construction Commitment	Expected Date of Completion
Sierra HVAC modernization	\$ 4,075,850	2021-2022
Williams 6th grade expansion	264,014	2021-2022
Roosevelt expansion	280,460	2021-2022
Curran expansion	186,774	2021-2022
Harris Elementary expansion	137,000	2021-2022
Owens Primary expansion	12,265,000	2022-2023
Owens Intermediate conversion	6,936,000	2022-2023
Total	<u>\$ 24,145,098</u>	

Note 15 - Participation in Public Entity Risk Pools, Joint Powers Authorities and Other Related Party Transactions

The District is a member of the Self-Insured Schools of California Workers' Compensation Program (SISC I), Self-Insured Schools of California Property and Liability Program (SISC II), Self-Insured Schools of California Health and Welfare Benefit Program (SISC III), Partners in Nutrition Cooperative (PINCO), and School Project for Utility Rate Reduction (SPURR) joint powers authorities (JPAs). The District pays an annual premium to the applicable entity for its health, workers' compensation, and property liability coverage. Payments for food and utilities received from the JPAs are paid to PINCO and SPURR, respectively. The relationships between the District and the JPAs are such that they are not component units of the District for financial reporting purposes.

These entities have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, fund transactions between the entities and the District are included in these statements. Audited financial statements are generally available from the respective entities.

The District has appointed one member to the governing board of SISC I. During the year ended June 30, 2021, the District made payments of \$1,563,739 to SISC I.

The District has appointed one member to the governing board of SISC II. During the year ended June 30, 2021, the District made a payment of \$3,206,271 to SISC II.

The District has appointed one member to the governing board of SISC III. During the year ended June 30, 2021, the District made payments of \$64,521,837 to SISC III.

The District has appointed one member to the governing board of PINCO. During the year ended June 30, 2021, the District made payments of \$2,776,745 to PINCO.

The District has appointed no board members to the governing board of SPURR. During the year ended June 30, 2021, the District made payments of \$313,056 to SPURR.

Note 16 - Restatement of Prior Year Net Position and Fund Balance

As of July 1, 2020, the Bakersfield City School District adopted GASB Statement No. 84, *Fiduciary Activities* (GASB 84). As a result of the implementation of GASB 84, the District has reclassified its associated student body activity previously reported as fiduciary funds to a governmental fund – Student Activity Fund. The following table describes the effects of the implementation on beginning fund balance/net position.

	Non-Major Governmental Funds	Total Governmental Funds
Beginning Fund Balance previously reported at June 30, 2020	\$ 25,360,011	\$ 107,829,186
Reclassification of student activity funds from agency funds to a special revenue fund	<u>155,065</u>	<u>155,065</u>
Fund Balance - Beginning as Restated July 1, 2020	<u><u>\$ 25,515,076</u></u>	<u><u>\$ 107,984,251</u></u>
Governmental Activities Financial Statements		
Beginning Governmental Activities Net Position previously reported at June 30, 2020		\$ (157,727,011)
Reclassification of student activity funds from agency funds to a special revenue fund		<u>155,065</u>
Net Position - Beginning as Restated July 1, 2020		<u><u>\$ (157,571,946)</u></u>



Required Supplementary Information
June 30, 2021

Bakersfield City School District

Bakersfield City School District
Budgetary Comparison Schedule – General Fund
Year Ended June 30, 2021

	Budgeted Amounts		Actual	Variances - Positive (Negative)
	Original	Final		Final to Actual
Revenues				
Local Control Funding Formula	\$311,700,384	\$338,991,549	\$338,991,549	\$ -
Federal sources	56,645,749	75,939,752	75,939,752	-
Other State sources	47,321,974	67,184,698	67,184,698	-
Other local sources	2,582,890	4,791,896	4,688,078	(103,818)
Total revenues	418,250,997	486,907,895	486,804,077	(103,818)
Expenditures				
Current				
Certificated salaries	169,209,665	162,045,096	162,045,096	-
Classified salaries	69,422,371	66,801,417	66,801,417	-
Employee benefits	119,124,351	118,136,757	118,136,757	-
Books and supplies	29,455,607	46,240,060	46,240,060	-
Services and operating expenditures	41,995,309	36,112,414	36,112,414	-
Other outgo	(207,496)	(133,988)	(133,988)	-
Capital outlay	2,994,418	3,021,397	5,245,391	(2,223,994)
Debt service				
Debt service - principal	164,756	162,107	150,926	11,181
Debt service - interest and other	40,889	40,888	52,069	(11,181)
Total expenditures	432,199,870	432,426,148	434,650,142	(2,223,994)
Excess (Deficiency) of Revenues Over Expenditures	(13,948,873)	54,481,747	52,153,935	(2,327,812)
Other Financing Sources				
Transfers in	3,000,000	-	-	-
Other sources	-	-	103,819	103,819
Total financing sources	3,000,000	-	103,819	103,819
Net Change in Fund Balances	(10,948,873)	54,481,747	52,257,754	(2,223,993)
Fund Balance - Beginning	71,443,461	71,443,461	71,443,461	-
Fund Balance - Ending	<u>\$ 60,494,588</u>	<u>\$125,925,208</u>	<u>\$123,701,215</u>	<u>\$ (2,223,993)</u>

Bakersfield City School District
Schedule of Changes in the District's Total OPEB Liability and Related Ratios
Year Ended June 30, 2021

	2021	2020	2019	2018
Total OPEB Liability				
Service cost	\$ 6,514,695	\$ 6,324,947	\$ 7,029,073	\$6,359,129
Interest	2,384,216	2,753,782	4,558,847	4,856,687
Difference between expected and actual experience	(13,713,399)	3,916,475	(627,208)	-
Changes of assumptions	18,010,495	(36,806,068)	(5,675,869)	-
Benefit payments	(6,424,628)	(6,424,628)	(7,984,603)	(8,157,012)
Net change in total OPEB liability	6,771,379	(30,235,492)	(2,699,760)	3,058,804
Total OPEB Liability - Beginning	108,328,416	138,563,908	141,263,668	138,204,864
Total OPEB Liability - Ending	<u>\$ 115,099,795</u>	<u>\$ 108,328,416</u>	<u>\$ 138,563,908</u>	<u>\$ 141,263,668</u>
Covered Payroll	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>
Total OPEB Liability as a Percentage of Covered Payroll	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>
Measurement Date	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018

¹ The OPEB Plan is not administered through a trust and contributions are not made based on a measure of pay; therefore, no measure of payroll is presented.

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net OPEB Liability – MPP Program
Year Ended June 30, 2021

Year ended June 30,	2021	2020	2019	2018
Proportion of the net OPEB liability	0.5027%	0.4867%	0.5073%	0.4838%
Proportionate share of the net OPEB liability	\$ 2,130,226	\$ 1,812,581	\$ 1,941,891	\$ 2,035,442
Covered payroll	N/A ¹	N/A ¹	N/A ¹	N/A ¹
Proportionate share of the net OPEB liability as a percentage of it's covered payroll	N/A ¹	N/A ¹	N/A ¹	N/A ¹
Plan fiduciary net position as a percentage of the total OPEB liability	(0.71%)	(0.81%)	(0.40%)	0.01%
Measurement Date	June 30, 2020	June 30, 2019	June 30, 2018	June 30, 2017

¹ As of June 30, 2012, active members are no longer eligible for future enrollment in the MPP Program; therefore, the covered payroll disclosure is not applicable.

Note : In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net Pension Liability
Year Ended June 30, 2021

	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
CalSTRS				
Proportion of the net pension liability	<u>0.2885%</u>	<u>0.2751%</u>	<u>0.2826%</u>	<u>0.2672%</u>
Proportionate share of the net pension liability	<u>\$ 279,564,703</u>	<u>\$ 248,499,265</u>	<u>\$259,775,031</u>	<u>\$247,141,153</u>
State's proportionate share of the net pension liability	<u>144,115,637</u>	<u>135,572,939</u>	<u>148,733,354</u>	<u>146,206,618</u>
Total	<u><u>\$ 423,680,340</u></u>	<u><u>\$ 384,072,204</u></u>	<u><u>\$ 408,508,385</u></u>	<u><u>\$ 393,347,771</u></u>
Covered payroll	<u>\$ 158,006,398</u>	<u>\$ 145,660,037</u>	<u>\$ 150,801,635</u>	<u>\$ 145,046,932</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>176.93%</u>	<u>170.60%</u>	<u>172.26%</u>	<u>170.39%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>72%</u>	<u>73%</u>	<u>71%</u>	<u>69%</u>
Measurement Date	June 30, 2020	June 30, 2019	June 30, 2018	June 30, 2017
CalPERS				
Proportion of the net pension liability	<u>0.4882%</u>	<u>0.4722%</u>	<u>0.4402%</u>	<u>0.4070%</u>
Proportionate share of the net pension liability	<u>\$ 149,785,771</u>	<u>\$ 137,611,843</u>	<u>\$ 117,360,055</u>	<u>\$ 97,171,022</u>
Covered payroll	<u>\$ 70,705,943</u>	<u>\$ 66,497,780</u>	<u>\$ 59,251,883</u>	<u>\$ 51,781,221</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>211.84%</u>	<u>206.94%</u>	<u>198.07%</u>	<u>187.66%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>70%</u>	<u>70%</u>	<u>71%</u>	<u>72%</u>
Measurement Date	June 30, 2020	June 30, 2019	June 30, 2018	June 30, 2017

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net Pension Liability
Year Ended June 30, 2021

	<u>2017</u>	<u>2016</u>	<u>2015</u>
CalSTRS			
Proportion of the net pension liability	<u>0.2617%</u>	<u>0.2672%</u>	<u>0.2335%</u>
Proportionate share of the net pension liability	<u>\$211,683,192</u>	<u>\$179,919,780</u>	<u>\$136,430,742</u>
State's proportionate share of the net pension liability	<u>120,507,465</u>	<u>95,157,730</u>	<u>82,382,772</u>
Total	<u><u>\$ 332,190,657</u></u>	<u><u>\$ 275,077,510</u></u>	<u><u>\$ 218,813,514</u></u>
Covered payroll	<u>\$ 133,226,179</u>	<u>\$ 124,928,468</u>	<u>\$ 115,849,612</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>158.89%</u>	<u>144.02%</u>	<u>117.77%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>70%</u>	<u>74%</u>	<u>77%</u>
Measurement Date	June 30, 2016	June 30, 2015	June 30, 2014
CalPERS			
Proportion of the net pension liability	<u>0.3933%</u>	<u>0.3892%</u>	<u>0.3584%</u>
Proportionate share of the net pension liability	<u>\$ 77,686,442</u>	<u>\$ 57,371,906</u>	<u>\$ 40,692,770</u>
Covered payroll	<u>\$ 47,229,780</u>	<u>\$ 43,104,732</u>	<u>\$ 37,723,361</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>164.49%</u>	<u>133.10%</u>	<u>107.87%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>74%</u>	<u>79%</u>	<u>83%</u>
Measurement Date	June 30, 2016	June 30, 2015	June 30, 2014

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District Contributions
Year Ended June 30, 2021

	2021	2020	2019	2018
CalSTRS				
Contractually required contribution	\$ 25,591,734	\$ 27,019,094	\$23,713,454	\$21,760,676
Less contributions in relation to the contractually required contribution	<u>25,591,734</u>	<u>27,019,094</u>	<u>23,713,454</u>	<u>21,760,676</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 158,462,749</u>	<u>\$ 158,006,398</u>	<u>\$ 145,660,037</u>	<u>\$ 150,801,635</u>
Contributions as a percentage of covered payroll	<u>16.15%</u>	<u>17.10%</u>	<u>16.28%</u>	<u>14.43%</u>
CalPERS				
Contractually required contribution	\$ 14,610,845	\$ 13,943,919	\$ 12,010,829	\$ 9,202,410
Less contributions in relation to the contractually required contribution	<u>14,610,845</u>	<u>13,943,919</u>	<u>12,010,829</u>	<u>9,202,410</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 70,583,792</u>	<u>\$ 70,705,943</u>	<u>\$ 66,497,780</u>	<u>\$ 59,251,883</u>
Contributions as a percentage of covered payroll	<u>20.700%</u>	<u>19.721%</u>	<u>18.0620%</u>	<u>15.5310%</u>

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District Contributions
Year Ended June 30, 2021

	<u>2017</u>	<u>2016</u>	<u>2015</u>
CalSTRS			
Contractually required contribution	\$18,246,904	\$14,295,169	\$11,093,648
Less contributions in relation to the contractually required contribution	<u>18,246,904</u>	<u>14,295,169</u>	<u>11,093,648</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 145,046,932</u>	<u>\$ 133,226,179</u>	<u>\$ 124,928,468</u>
Contributions as a percentage of covered payroll	<u>12.58%</u>	<u>10.73%</u>	<u>8.88%</u>
CalPERS			
Contractually required contribution	\$ 7,191,376	\$ 5,595,312	\$ 5,073,858
Less contributions in relation to the contractually required contribution	<u>7,191,376</u>	<u>5,595,312</u>	<u>5,073,858</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 51,781,221</u>	<u>\$ 47,229,780</u>	<u>\$ 43,104,732</u>
Contributions as a percentage of covered payroll	<u>13.8880%</u>	<u>11.8470%</u>	<u>11.7710%</u>

Note: In the future, as data becomes available, ten years of information will be presented.

Note 1 - Purpose of Schedules

Budgetary Comparison Schedule

The District employs budget control by object codes and by individual appropriation accounts. Budgets are prepared on the modified accrual basis of accounting in accordance with accounting principles generally accepted in the United State of America as prescribed by the Governmental Accounting Standards Board and provisions of the California *Education Code*. The governing board is required to hold a public hearing and adopt an operating budget no later than July 1 of each year. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for.

This schedule presents information for the original and final budgets and actual results of operations, as well as the variances from the final budget to actual results of operations.

At June 30, 2021, the District's General Fund exceeded the budgeted amount in total as follows:

Fund	Expenditures and Other Uses		
	Budget	Actual	Excess
General	\$ 432,426,148	\$ 434,650,142	\$ 2,223,994

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

This schedule presents information on the District's changes in the total OPEB liability, including beginning and ending balances. In the future, as data becomes available, ten years of information will be presented.

- *Changes in Benefit Terms* - There were not changes in the benefit terms since the previous valuation.
- *Changes in Assumptions* - The discount rate assumption was changed from 2.20 percent to 2.16 percent, inflation was changed from 2.25 percent to 2.75 percent, the salary increases rate was changed from 3.00 percent to 2.75 percent and the health care trend was changed from 6.00 percent to 4.00 percent since the previous valuation.

Schedule of the District's Proportionate Share of the Net OPEB Liability - MPP Program

This schedule presents information on the District's proportionate share of the net OPEB Liability - MPP Program and the plans' fiduciary net position. In the future, as data becomes available, ten years of information will be presented.

- *Changes in Benefit Terms* - There were no changes in the benefit terms since the previous valuation.

- *Changes of Assumptions* - The plan rate of investment return assumption was changed from 3.50 percent to 2.21 percent since the previous valuation.

Schedule of the District's Proportionate Share of the Net Pension Liability

This schedule presents information on the District's proportionate share of the net pension liability (NPL), the plans' fiduciary net position and, when applicable, the State's proportionate share of the NPL associated with the District. In the future, as data becomes available, ten years of information will be presented.

- *Changes in Benefit Terms* - There were no changes in benefit terms since the previous valuations for both CalSTRS and CalPERS.
- *Changes of Assumptions* - There were no changes in economic assumptions for either the CalSTRS or CalPERS plans from the previous valuations.

Schedule of District Contributions

This schedule presents information on the District's required contribution, the amounts actually contributed, and any excess or deficiency related to the required contribution. In the future, as data becomes available, ten years of information will be presented.



Supplementary Information
June 30, 2021

Bakersfield City School District

Bakersfield City School District
Schedule of Expenditures of Federal Awards
Year Ended June 30, 2021

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal Financial Assistance Listing/Federal CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. Department of Education			
Passed Through California Department of Education (CDE)			
Special Education Cluster			
Special Education Grants to States - Basic Local Assistance	84.027	13379	\$ 5,345,929
Special Education Grants to States - Mental Health	84.027	15197	207,763
Special Education Grants to States - Private School ISP	84.027	10115	<u>29,467</u>
Subtotal			<u>5,583,159</u>
Special Education Preschool Grants	84.173	13430	128,286
Special Education Preschool Grants - Dispute Resolution	84.173	13007	8,112
Special Education Preschool Grants - Preschool Staff Development	84.173	13431	<u>1,454</u>
Subtotal			<u>137,852</u>
Total Special Education Cluster			<u>5,721,011</u>
COVID-19 Elementary and Secondary School Emergency Relief Fund (ESSER)	84.425D	15536	14,076,240
COVID-19 Elementary and Secondary School Emergency Relief Fund II (ESSER II)	84.425D	15547	4,611,526
COVID-19 Governor's Emergency Education Relief Fund (GEER)	84.425C	15517	3,249
COVID-19, Cares Act Child Nutrition Supplemental Meal Reimbursement	84.425	15535	<u>941,526</u>
Subtotal			<u>19,632,541</u>
Title I Grants to Local Educational Agencies	84.010	14329	12,496,575
ESEA: ESSA School Improvement (CSI) Funding for LEAs	84.010	15438	<u>123,286</u>
Subtotal			<u>12,619,861</u>
Migrant Education State Grant Program	84.011	14326	2,201,977
English Language Acquisition State Grants - IEP	84.365	15146	36,923
English Language Acquisition State Grants - LEP	84.365	14346	<u>448,103</u>
Subtotal			<u>485,026</u>
Supporting Effective Instruction State Grants - Teacher Quality	84.367	14341	1,216,044
Student Support and Academic Enrichment Program	84.424	15396	1,950,800
Special Education Grants for Infants and Families - Early Intervention	84.181	23761	<u>61,630</u>
Total U.S. Department of Education			<u>43,888,890</u>

Bakersfield City School District
Schedule of Expenditures of Federal Awards
Year Ended June 30, 2021

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal Financial Assistance Listing/Federal CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. Department of the Treasury			
Passed Through California Department of Education			
COVID-19, Coronavirus Relief Fund (CRF): Learning Loss Mitigation	21.019	25516	<u>32,992,387</u>
Total U.S. Department of the Treasury			<u>32,992,387</u>
U.S. Department of Agriculture			
Passed Through California Department of Education			
Child Nutrition Cluster			
National School Lunch Program	10.555	13391	3,153
National School Lunch Program - Meal Supplements	10.555	13755	906,126
National School Lunch Program - Commodity Supplemental Food	10.555	13391	<u>1,046,012</u>
Subtotal			<u>1,955,291</u>
School Breakfast Program - Especially Needy Breakfast	10.553	13526	1,898
National School Lunch Program - Summer Food Program	10.559	13004	12,226,040
Child Nutrition Discretionary Grants Limited Availability - Equipment Assistance	10.579	14906	<u>62,244</u>
Total Child Nutrition Cluster			<u>14,245,473</u>
Fresh Fruit and Vegetable Program	10.582	14968	<u>586,870</u>
Total U.S. Department of Agriculture			<u>14,832,343</u>
Total Federal Financial Assistance			<u>\$ 91,713,620</u>

Organization

The Bakersfield City School District was established in 1882 and consists of an area comprising approximately 158 square miles in Kern County. The District operates 34 elementary schools, seven middle schools, two junior high schools, one community day school, and two alternative sites for special education. There were no boundary changes during the year.

Governing Board

Member	Office	Term Expires
Pam Baugher	President	2022
Lillian Tafoya	President Pro Tem	2024
Laura Guerrero-Salgado	Clerk	2022
Shannon Zimmerman	Clerk Pro Tem	2024
Chris Cruz-Boone	Member	2024

Administration

Mark Luque	District Superintendent
Laura Orozco	Deputy Superintendent, Educational Services
Christine Cornejo	Assistant Superintendent, Human Resources
Sherry Gladin	Assistant Superintendent, Business Services

Bakersfield City School District

Schedule of Instructional Time

Year Ended June 30, 2021

Grade Level	Number of Actual Days		Number of Days Credited Form J-13A*	Total Days Offered	Status
	Traditional Calendar	Multitrack Calendar			
Kindergarten	180	N/A	-	180	Complied
Grades 1 - 3					
Grade 1	180	N/A	-	180	Complied
Grade 2	180	N/A	-	180	Complied
Grade 3	180	N/A	-	180	Complied
Grades 4 - 8					
Grade 4	180	N/A	-	180	Complied
Grade 5	180	N/A	-	180	Complied
Grade 6	180	N/A	-	180	Complied
Grade 7	180	N/A	-	180	Complied
Grade 8	180	N/A	-	180	Complied

* The District received an approved J-13A for no days.

Bakersfield City School District
Reconciliation of Annual Financial and Budget Report with Audited Financial Statements
Year Ended June 30, 2021

Summarized below are the fund balance reconciliations between the Unaudited Actual Financial Report and the audited financial statements.

	General* Fund	Internal Service Self Insurance Fund
Fund Balance		
Balance, June 30, 2021, Unaudited Actuals	\$ 118,642,047	\$ 29,311,049
Decrease in		
Cash in banks	(2,223,994)	-
Increase in		
Claims liability	-	(1,022,758)
	<u>\$ 116,418,053</u>	<u>\$ 28,288,291</u>
Balance, June 30, 2021, Audited Financial Statements		

* Does not reflect the impact of GASB 54 consolidation of Pupil Transportation Fund and Special Reserve Fund for Postemployment Benefits into the General Fund.

Bakersfield City School District
Schedule of Financial Trends and Analysis
Year Ended June 30, 2021

	(Budget) 2022 ¹	2021	2020	2019
General Fund ³				
Revenues	\$ 464,455,580	\$ 486,818,771	\$ 421,956,343	\$ 432,062,922
Other sources	-	103,819	2,248,063	211,167
Total Revenues and Other Sources	464,455,580	486,922,590	424,204,406	432,274,089
Expenditures	534,554,301	434,650,142	416,413,336	432,133,202
Other uses and transfers out	720,000	-	-	-
Total Expenditures and Other Uses	535,274,301	434,650,142	416,413,336	432,133,202
Increase/(Decrease) in Fund Balance	(70,818,721)	52,272,448	7,791,070	140,887
Ending Fund Balance ⁴	\$ 45,599,332	\$ 116,418,053	\$ 64,145,605	\$ 56,354,535
Available Reserves ²	\$ 21,650,458	\$ 80,117,884	\$ 59,538,470	\$ 51,343,470
Available Reserves as a Percentage of Total Outgo	4.0%	18.4%	14.3%	11.9%
Long-Term Liabilities	Not Available	\$ 682,261,686	\$ 633,702,241	\$ 621,440,509
Average Daily Attendance at P-2	29,459	29,445	29,445	29,411

The General Fund balance has increased by \$60,063,518 over the past two years. The fiscal year 2021-2022 budget projects a decrease of \$70,818,721 (61 percent). For a district this size, the State recommends available reserves of at least three percent of total General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating surpluses in each of the past three years but anticipates incurring an operating deficit during the 2021-2022 fiscal year. Total long-term liabilities have increased by \$60,821,177 over the past two years due to the issuance of bonds for facilities additions and improvements and increases in the District's net pension liability and other postemployment benefits obligations.

Average daily attendance has increased by 34 over the past two years. Additional growth of 14 ADA is anticipated during fiscal year 2021-2022.

¹ Budget 2022 is included for analytical purposes only and has not been subjected to audit.

² Available reserves consist of all unassigned fund balances including all amounts reserved for economic uncertainties contained within the General Fund.

³ General Fund amounts do not include activity related to the consolidation of the Pupil Transportation Fund and the Special Reserve Postemployment Benefits Fund as required by GASB Statement No. 54.

⁴ Budget 2022 ending fund balance includes LCFF Supplemental and Concentration carryover funds which will be used for increasing and improving services to high need students.

Bakersfield City School District
Combining Balance Sheet – Non-Major Governmental Funds
June 30, 2021

	Student Activities Fund	Child Development Fund	Cafeteria Fund	Capital Facilities Fund	County School Facilities Fund	Special Reserve Fund for Capital Outlay Projects	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
Assets								
Deposits and investments	\$ 128,415	\$ 636,788	\$ 6,292,165	\$ 3,114,985	\$ 18,701,448	\$ 111,195	\$ 6,308,520	\$ 35,293,516
Receivables	-	346,157	1,515,711	513,799	45,359	274	-	2,421,300
Due from other funds	-	39,973	108,096	5,016	771	-	-	153,856
Stores inventories	-	-	706,454	-	-	-	-	706,454
Total assets	\$ 128,415	\$ 1,022,918	\$ 8,622,426	\$ 3,633,800	\$ 18,747,578	\$ 111,469	\$ 6,308,520	\$ 38,575,126
Liabilities and Fund Balances								
Liabilities								
Accounts payable	\$ -	\$ 18,766	\$ 1,212,742	\$ 303,553	\$ 899,524	\$ 15,500	\$ -	2,450,085
Due to other funds	-	182,870	3,483,497	771	36,146	-	-	3,703,284
Unearned revenue	-	3,194	-	-	-	-	-	3,194
Total liabilities	-	204,830	4,696,239	304,324	935,670	15,500	-	6,156,563
Fund Balances								
Nonspendable	-	-	707,324	-	-	-	-	707,324
Restricted	128,415	818,088	3,218,863	3,329,476	17,811,908	-	6,308,520	31,615,270
Assigned	-	-	-	-	-	95,969	-	95,969
Total fund balances	128,415	818,088	3,926,187	3,329,476	17,811,908	95,969	6,308,520	32,418,563
Total liabilities and fund balances	\$ 128,415	\$ 1,022,918	\$ 8,622,426	\$ 3,633,800	\$ 18,747,578	\$ 111,469	\$ 6,308,520	\$ 38,575,126

Bakersfield City School District
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances – Non-Major Governmental Funds
Year Ended June 30, 2021

	Student Activities Fund	Child Development Fund	Cafeteria Fund	Capital Facilities Fund	County School Facilities Fund	Special Reserve Fund for Capital Outlay Projects	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
Revenues								
Federal sources	\$ -	\$ 108,596	\$ 15,773,868	\$ -	\$ -	\$ -	\$ 1,275,346	\$ 17,157,810
Other State sources	-	4,480,970	1,414,638	-	13,394,664	-	40,603	19,330,875
Other local sources	9,146	20,334	61,006	3,507,067	76,307	(58)	6,203,388	9,877,190
Total revenues	9,146	4,609,900	17,249,512	3,507,067	13,470,971	(58)	7,519,337	46,365,875
Expenditures								
Current								
Instruction	-	3,671,719	-	-	-	-	-	3,671,719
Instruction-related activities								
Supervision of instruction	-	262,482	-	-	-	-	-	262,482
School site administration	-	69,217	-	-	-	-	-	69,217
Pupil services								
Food services	-	-	17,728,560	-	-	-	-	17,728,560
Administration								
All other administration	-	130,417	592,176	68,445	-	-	-	791,038
Plant services	-	29	644,289	5,271	11,693	12,500	-	673,782
Ancillary services	35,796	-	-	-	-	-	-	35,796
Enterprise services	-	82,041	-	-	-	-	-	82,041
Facility acquisition and construction	-	-	-	3,064,208	5,094,133	3,000	-	8,161,341
Debt service								
Principal	-	-	-	-	-	-	4,290,000	4,290,000
Interest and other	-	-	-	-	-	-	3,696,412	3,696,412
Total expenditures	35,796	4,215,905	18,965,025	3,137,924	5,105,826	15,500	7,986,412	39,462,388
Net Change in Fund Balances	(26,650)	393,995	(1,715,513)	369,143	8,365,145	(15,558)	(467,075)	6,903,487
Fund Balance - Beginning, as Restated	155,065	424,093	5,641,700	2,960,333	9,446,763	111,527	6,775,595	25,515,076
Fund Balance - Ending	\$ 128,415	\$ 818,088	\$ 3,926,187	\$ 3,329,476	\$ 17,811,908	\$ 95,969	\$ 6,308,520	\$ 32,418,563

Note 1 - Purpose of Schedules

Schedule of Expenditures of Federal Awards (SEFA)

Basis of Presentation

The accompanying schedule of expenditures of federal awards (the schedule) includes the federal award activity of the Bakersfield City School District (the District) under programs of the federal government for the year ended June 30, 2021. The information is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements.

SEFA Reconciliation

The total federal expenditures reported on the schedule differs from the total federal revenue recognized within the financial statements due to the District receiving federal subsidies for general obligation bond interest payments and unspent portion of the Child Development: Coronavirus Response and Relief Supplemental Apportionments Act revenue received.

Description	Federal Financial Assistance Listing/Federal CFDA Number	Amount
Total Federal Revenues reported on the financial statements		\$ 93,097,562
Federal interest subsidy	Not Available	(1,275,346)
Child Development: Coronavirus Response and Relief Supplemental Apportionments Act	93.575	<u>(108,596)</u>
Total schedule of expenditures of federal awards		<u><u>\$ 91,713,620</u></u>

Summary of Significant Accounting Policies

Expenditures reported in the schedule are reported on the modified accrual basis of accounting. When applicable, such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. No federal financial assistance has been provided to a subrecipient.

Indirect Cost Rate

The District has not elected to use the ten percent de minimis cost rate.

Food Donation

Nonmonetary assistance is reported in this schedule at the fair market value of the commodities received and disbursed. For the fiscal year ending June 30, 2021, the District used food commodities totaling \$1,046,012.

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration.

Schedule of Instructional Time

This schedule presents information on the number of instructional days offered by the District and whether the District complied with the provisions of Education Code Section 43504.

Reconciliation of Annual Financial and Budget Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Unaudited Actual Financial Report to the audited financial statements.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

Non-Major Governmental Funds - Combining Balance Sheet and Combining Statement of Revenues, Expenditures, and Changes in Fund Balances

The Non-Major Governmental Funds Combining Balance Sheet and Combining Statement of Revenues, Expenditures and Changes in Fund Balances is included to provide information regarding the individual funds that have been included in the Non-Major Governmental Funds column on the Governmental Funds Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances.



Independent Auditor's Reports
June 30, 2021

Bakersfield City School District



Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

To the Governing Board
Bakersfield City School District
Bakersfield, California

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Bakersfield City School District, as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise Bakersfield City School District's basic financial statements and have issued our report thereon dated December 8, 2021.

Emphasis of Matter – Change in Accounting Principle

As discussed in Notes 1 and 16 to the financial statements, Bakersfield City School District has adopted the provisions of GASB Statement No. 84, *Fiduciary Activities*, which has resulted in a restatement of the net position and fund balance as of July 1, 2020. Our opinions are not modified with respect to this matter.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Bakersfield City School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Bakersfield City School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Bakersfield City School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. We did identify certain deficiencies in internal control, described in the accompanying schedule of findings and questioned costs as item 2021-001 that we consider to be a material weakness.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Bakersfield City School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Response to Finding

The Bakersfield City School District's response to the finding identified in our audit is described in the accompanying schedule of financial statement findings. Bakersfield City School District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
December 8, 2021



Independent Auditor's Report on Compliance for Each Major Federal Program; Report on Internal Control Over Compliance Required by the Uniform Guidance

To the Governing Board
Bakersfield City School District
Bakersfield, California

Report on Compliance for Each Major Federal Program

We have audited Bakersfield City School District's compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of Bakersfield City School District's major federal programs for the year ended June 30, 2021. Bakersfield City School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Bakersfield City School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Bakersfield City School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of Bakersfield City School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Bakersfield City School District's complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2021.

Report on Internal Control over Compliance

Management of Bakersfield City School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Bakersfield City School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the Bakersfield City School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
December 8, 2021



Independent Auditor's Report on State Compliance

To the Governing Board
Bakersfield City School District
Bakersfield, California

Report on State Compliance

We have audited Bakersfield City School District's (the District) compliance with the types of compliance requirements described in the *2020-2021 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, applicable to the state laws and regulations listed in the table below for the year ended June 30, 2021.

Management's Responsibility

Management is responsible for compliance with the state laws and regulations as identified in the table below.

Auditor's Responsibility

Our responsibility is to express an opinion on the District's compliance with state laws and regulations based on our audit of the types of compliance requirements referred to below. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of the *2020-2021 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements listed below has occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on state compliance. However, our audit does not provide a legal determination of the District's compliance.

Compliance Requirements Tested

In connection with the audit referred to above, we selected and tested transactions and records to determine the District's compliance with laws and regulations applicable to the following items:

	<u>Procedures Performed</u>
LOCAL EDUCATION AGENCIES OTHER THAN CHARTER SCHOOLS	
Attendance and Distance Learning	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	No (see below)
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	No (see below)
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
K-3 Grade Span Adjustment	Yes
Apprenticeship: Related and Supplemental Instruction	No (see below)
Comprehensive School Safety Plan	Yes
District of Choice	No (see below)
SCHOOL DISTRICTS, COUNTY OFFICES OF EDUCATION, AND CHARTER SCHOOLS	
California Clean Energy Jobs Act	No (see below)
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Independent Study - Course Based	No (see below)
CHARTER SCHOOLS	
Attendance	No (see below)
Mode of Instruction	No (see below)
Nonclassroom-Based Instruction/Independent Study	No (see below)
Determination of Funding for Nonclassroom-Based Instruction	No (see below)
Charter School Facility Grant Program	No (see below)

We did not perform procedures for Kindergarten Continuance because there were no Kindergarteners retained in 2019-2020 that were in Kindergarten in 2020-2021.

The District did not offer an Early Retirement Incentive Program during the current year; therefore, we did not perform procedures related to the Early Retirement Incentive Program.

We did not perform Apprenticeship: Related and Supplemental Instruction procedures because the program is not offered by the District.

We did not perform District of Choice procedures because the program is not offered by the District.

We did not perform California Clean Energy Jobs Act procedures because the related procedures were performed in a previous year.

The District does not offer an Independent Study - Course Based Program; therefore, we did not perform any procedures related to the Independent Study - Course Based Program.

The District does not operate any Charter Schools; therefore, we did not perform procedures for Charter School Programs.

Additionally, we did not perform procedures for the Charter School Facility Grant Program because the District did not receive funding for this program.

Unmodified Opinion

In our opinion, Bakersfield City School District complied, in all material respects, with the laws and regulations of the state programs referred to above for the year ended June 30, 2021.

The purpose of this report on state compliance is solely to describe the results of our testing based on the requirements of the *2020-2021 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
December 8, 2021



Schedule of Findings and Questioned Costs
June 30, 2021

Bakersfield City School District

Financial Statements

Type of auditor's report issued	Unmodified
Internal control over financial reporting	
Material weaknesses identified	Yes
Significant deficiencies identified not considered to be material weaknesses	None Reported
Noncompliance material to financial statements noted?	No

Federal Awards

Internal control over major program	
Material weaknesses identified	No
Significant deficiencies identified not considered to be material weaknesses	None Reported
Type of auditor's report issued on compliance for major programs	Unmodified
Any audit findings disclosed that are required to be reported in accordance with Uniform Guidance 2 CFR 200.516(a)	No

Identification of major programs

Name of Federal Program or Cluster	Federal Financial Assistance Listing/Federal CFDA Number
COVID-19, Coronavirus Relief Fund (CRF): Learning Loss Mitigation	21.019
COVID-19 Elementary and Secondary School Emergency Relief Fund (ESSER)	84.425D
COVID-19 Elementary and Secondary School Emergency Relief Fund (ESSER II)	84.425D
COVID-19 Governor's Emergency Education Relief Fund (GEER)	84.425C
COVID-19, Cares Act Child Nutrition Supplemental Meal Reimbursement	84.425
Dollar threshold used to distinguish between type A and type B programs	\$ 2,751,409
Auditee qualified as low-risk auditee?	Yes

State Compliance

Type of auditor's report issued on compliance for programs	Unmodified
--	------------

The following finding represents a material weakness related to the financial statements that is required to be reported in accordance with *Government Auditing Standards*. The finding has been coded as follows:

Five Digit Code

AB 3627 Finding Type

30000

Internal Control

2021-001 30000***Internal Control Over Financial Reporting*****Criteria**

School districts are responsible for maintaining accurate financial statement information including properly recording and reporting all financial transactions and balances and must be able to prepare financial statements that are free of material misstatements, including ensuring all necessary disclosures are present.

Condition

During our final audit, we discovered that a cash account reported within the General Fund which held lease proceeds that were paid out in full to a vendor totaling \$2,223,994 was not properly adjusted (zeroed out) during the closing process. The adjustment to cash also led to the same amount of \$2,223,994 not being added to the capital asset additions for the current year. Additionally, during our audit we discovered an error in the posting of the annual adjusting entry to the District's estimated claims liabilities in the Workers' Compensation and Health and Welfare Self Insurance Funds causing the balances to require an audit adjustment increasing the liabilities by \$1,022,758.

Effect

The amounts were material and audit adjustments were necessary both at the Fund reporting level as well as additional full accrual conversion entries for the entity wide financial statements to cash, capital assets and the claims liability accounts.

Cause

These types of adjustments are extremely rare for the District. A few factors contributed to the oversight. The District's business/fiscal services office experienced turnover in a key position during the year and just prior to the closing process. The position was filled timely but the new hire was unfamiliar with the historical adjustments needed at the District. Regarding the lease proceeds account, this closing entry would be deemed non-routine which easily leads to an

oversight. Additionally, the COVID-19 pandemic had the business office working, at times, in a partially remote environment; that, coupled with additional responsibilities and issues requiring attention regarding COVID-19 grants and the distance learning/new independent study program coordination and planning led to the oversight.

This finding is not a repeat of or related to a finding in the previous year.

Recommendation

The District should make closing notations when non-routine or irregular events occur that, at some point in the future, will require adjustments, such as was the case with the lease proceeds being placed in an outside financial institution rather than the County Treasury. The Self Insurance Fund closing entries and resulting balances should be closely reviewed by someone other than the individual calculating and posting the entries to ensure the balance agree to supporting schedules.

Corrective Action Plan and Views of Responsible Officials

The District agrees with the auditor's finding and will implement procedures to ensure that closing notations when non-routine or irregular events occur in the future are properly recorded. The Self Insurance Fund closing entries will be closely reviewed by the direct supervisor of the person responsible for calculating and posting the entries.

None reported.

None reported.

There were no audit findings reported in the prior year's Schedule of Findings and Questioned Costs.

APPENDIX D

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (this “Disclosure Certificate”) is executed and delivered by the Bakersfield City School District (the “District”) in connection with the execution and delivery of \$33,000,000 aggregate principal amount of General Obligation Bonds, Election of 2016, 2022 Series C (the “Bonds”). The Bonds are being issued pursuant to Resolution adopted by the Board of Education of the District on January 25, 2022 (the “Resolution”). Capitalized terms used but not defined herein shall have the meanings ascribed thereto in the Resolution.

In consideration of the execution and delivery of the Bonds by the District and the purchase of such Bonds by the Original Purchaser described below, the District hereby covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Bondholders and in order to assist Robert W. Baird & Co., Inc. (the “Original Purchaser”) in complying with Rule 15c2-12(b)(5) (the “Rule”) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as amended.

SECTION 2. Additional Definitions. In addition to the above definitions and the definitions set forth in the Resolution, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 4 and 5 of this Disclosure Certificate.

“Bondholder” or “Holder” means any holder of the Bonds or any beneficial owner of the Bonds so long as they are immobilized with DTC.

“Designated Listed Event” means any of the events listed in Section 6(a) of this Disclosure Certificate.

“Dissemination Agent” shall mean Fieldman, Rolapp & Associates, Inc. doing business as Applied Best Practices, or any Dissemination Agent, or any alternate or successor Dissemination Agent, designated in writing by the Superintendent (or otherwise by the District), which Dissemination Agent has evidenced its acceptance in writing.

“EMMA System” shall mean the MSRB’s Electronic Municipal Market Access system, which can be found at www.emma.msrb.org, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission in the future.

“Financial Obligation” means (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term “Financial Obligation” shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule “Listed Event” means any of the events listed in Section 6(b) of this Disclosure Certificate.

“Listed Events Disclosure” means dissemination of a notice of a Designated Listed Event or Listed Event as set forth in Section 6.

“MSRB” shall mean the Municipal Securities Rulemaking Board.

“State” shall mean the State of California.

SECTION 3. CUSIP® Numbers and Final Official Statement. The CUSIP Numbers for the Bonds have been assigned. The Final Official Statement relating to the Bonds is dated February 2, 2022.

SECTION 4. Provision of Annual Reports.

(a) The District shall cause the Dissemination Agent, not later than 240 days after the end of the District’s fiscal year (currently ending June 30), commencing with the report for the Fiscal Year ending June 30, 2022, to provide to the MSRB through the EMMA System an Annual Report which is consistent with the requirements of Section 5 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 5 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted, when and if available, separately from the balance of the relevant Annual Report.

(b) If the District is unable to provide to the MSRB through the EMMA System an Annual Report by the date required in paragraph (a) above, the District shall send a notice to the MSRB through the EMMA System in substantially the form attached as Exhibit A.

(c) The Dissemination Agent shall:

(i) determine each year prior to the Annual Report Date the electronic filing requirements of the MSRB for the Annual Reports; and

(ii) if the Dissemination Agent is other than the District or an official of the District, the Dissemination Agent shall file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided and confirming that it has been filed with the MSRB through the EMMA System.

SECTION 5. Content of Annual Report. The District’s Annual Report shall contain or incorporate by reference the following:

(a) Financial information including the general purpose financial statements of the District for the preceding fiscal year, prepared in conformity with generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board and the American Institute of Certified Public Accountants. If audited financial information is not available by the time the Annual Report is required to be filed pursuant to Section 4(a) hereof, the financial information included in the Annual Report may be unaudited, and the District will provide audited financial information to the EMMA System as soon as practical after it has been made available to the District.

(b) Operating data, including the following information with respect to the District’s preceding fiscal year (to the extent not included in the audited financial statements described in paragraph (a) above):

(i) Outstanding indebtedness and lease obligations, as of the preceding fiscal year;

(ii) General fund budget and actual results, as of the preceding fiscal year;

(iii) Average daily attendance and State funding information, or equivalent information, as may be reasonably available, as of the preceding fiscal year;

(iv) Assessed valuations, as of the most recent equalized assessed roll; and

(v) Largest local secured taxpayers, as of the most recent equalized assessed roll.

(c) Any or all of the items listed above may be incorporated by reference from other documents, including official statements of debt issues of the District or related public entities, which have been submitted to the EMMA System or to the Securities and Exchange Commission. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The District shall clearly identify each other document so incorporated by reference.

SECTION 6. Reporting of Designated Listed Events and Listed Events.

(a) The District agrees to provide or cause to be provided to the MSRB notice of the occurrence of any of the following Designated Listed Events with respect to the Bonds not later than ten (10) Business Days after the occurrence of the event:

(i) Principal and interest payment delinquencies;

(ii) Unscheduled draws on any debt service reserves reflecting financial difficulties;

(iii) Unscheduled draws on any credit enhancements reflecting financial difficulties;

(iv) Substitution of credit or liquidity providers or their failure to perform;

(v) Adverse tax opinions with respect to the tax status of the Bonds or the issuance by the Internal Revenue Service of a proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB) with respect to the Bonds;

(vi) Tender offers;

(vii) Defeasances

(viii) Rating changes;

(ix) Bankruptcy, insolvency, receivership or similar event of the obligated person, or;

(x) Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the District, any of which reflect financial difficulties.

For purposes of item (ix) above, the described event shall be deemed to occur when any of the following shall occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body

and officials or officers in possession but subject to the supervision and orders of a court or other governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority have supervision or jurisdiction over substantially all of the assets or business of the District.

(b) The District shall give, or cause to be given, notice of the occurrence of any of the following Listed Events with respect to the Bonds, if material, not later than ten (10) Business Days after the occurrence of the event:

(i) Unless described in paragraph 6(a)(v) hereof, other material notices or determinations affecting the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

(ii) Modifications of rights to Bondholders;

(iii) Optional, unscheduled or contingent Bond calls;

(iv) Release, substitution or sale of property securing repayment of the Bonds;

(v) Non-payment related defaults;

(vi) The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; or

(vii) Appointment of a successor or additional Paying Agent or the change of name of a Paying Agent; or

(viii) Incurrence of a Financial Obligation of the District, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the District, any of which affect Bondholders.

(c) The District shall give, or cause to be given, in a timely manner, notice of a failure to provide the annual financial information on or before the date specified in Section 4 hereof, as provided in Section 4(b) hereof.

(d) Upon the occurrence of a Designated Listed Event described in Section 6(a) hereof, or if the District determines that knowledge of a Listed Event described in Section 6(b) hereof would be material under applicable federal securities laws, the District shall within ten (10) Business Days of occurrence of the Designated Listed Event or Listed Event file a notice of such occurrence with the MSRB in electronic format, accompanied by such identifying information as is prescribed by the MSRB. Notwithstanding the foregoing, notice of a Designated Listed Event described in subsection (a)(vii) or a Listed Event described in subsection (b)(iii) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Resolution.

SECTION 7. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate when the District is no longer an obligated person with respect to

the Bonds, as provided in the Rule, upon the defeasance, prior redemption or payment in full of all of the Bonds.

SECTION 8. Dissemination Agent. The District may, from time to time, appoint or engage an alternate or successor Dissemination Agent to assist in carrying out the District's obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent.

The Dissemination Agent shall be entitled to the protections, limitations from liability, immunities and indemnities provided to the Paying Agent as set forth in the Resolution which is incorporated by reference herein. The Dissemination Agent agrees to perform only those duties of the Dissemination Agent specifically set forth in the Agreement, and no implied duties, covenants or obligations shall be read into this Agreement against the Dissemination Agent.

The Dissemination Agent shall have no duty or obligation to review the Annual Report nor shall the Dissemination Agent be responsible for filing any Annual Report not provided to it by the District in a timely manner in a form suitable for filing. In accepting the appointment under this Agreement, the Dissemination Agent is not acting in a fiduciary capacity to the registered holders or beneficial owners of the Bonds, the District, or any other party or person.

The Dissemination Agent may consult with counsel of its choice and shall be protected in any action taken or not taken by it in accordance with the advice or opinion of such counsel. No provision of this Agreement shall require the Dissemination Agent to risk or advance or expend its own funds or incur any financial liability. The Dissemination Agent shall have the right to resign from its duties as Dissemination Agent under this Agreement upon thirty days' written notice to the District. The Dissemination Agent shall be entitled to compensation for its services as Dissemination Agent and reimbursement for its out-of-pocket expenses, attorney's fees, costs and advances made or incurred in the performance of its duties under this Agreement in accordance with its written fee schedule provided to the District, as such fee schedule may be amended from time to time in writing. The District agrees to indemnify and hold the Dissemination Agent harmless from and against any cost, claim, expense, or liability related to or arising from the acceptance of and performance of the duties of the Dissemination Agent hereunder, provided the Dissemination Agent shall not be indemnified to the extent of its willful misconduct or negligence. The obligations of the District under this Section shall survive the termination or discharge of this Disclosure Certificate and the Bonds.

SECTION 9. Amendment. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate under the following conditions, provided no amendment to this Disclosure Certificate shall be made that affects the rights, duties or obligations of the Dissemination Agent without its written consent:

(a) The amendment may be made only in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of the obligated person, or type of business conducted;

(b) This Disclosure Certificate, as amended, would have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment does not materially impair the interests of Holders, as determined either by parties unaffiliated with the District or another obligated person (such as Bond Counsel) or by the written approval of the Bondholders; provided, that the Annual Report containing the

amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

SECTION 10. Additional Information. If the District chooses to include any information from any document or notice of occurrence of a Designated Listed Event or a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or to include it in any future disclosure or notice of occurrence of a Designated Listed Event or Listed Event.

Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Designated Listed Event or Listed Event, in addition to that which is required by this Disclosure Certificate.

SECTION 11. Default. The District shall give notice to the MSRB through the EMMA System of any failure to provide the Annual Report when the same is due hereunder, which notice shall be given prior to July 1 of that year. In the event of a failure of the District to comply with any provision of this Disclosure Certificate, any Bondholder may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Original Purchaser and Holders from time to time of the Bonds, and shall create no rights in any other person or entity.

SECTION 13. Governing Law. This Disclosure Certificate shall be governed by the laws of the State, applicable to contracts made and performed in such State.

Dated: February 16, 2022

BAKERSFIELD CITY SCHOOL DISTRICT

By: _____
Assistant Superintendent,
Business Services

EXHIBIT A

**NOTICE TO MUNICIPAL SECURITIES RULEMAKING BOARD
OF FAILURE TO FILE ANNUAL REPORT**

Name of Issuer: BAKERSFIELD CITY SCHOOL DISTRICT

Name of Issue: \$33,000,000 General Obligation Bonds, Election of 2016, 2022 Series C

Date of Issuance: February 16, 2022

NOTICE IS HEREBY GIVEN that the above-named Issuer has not provided an Annual Report with respect to the above-captioned Bonds as required by Section 4(a) of the Continuing Disclosure Certificate dated February 16, 2022. The Issuer anticipates that the Annual Report will be filed by _____.

Dated: _____

BAKERSFIELD CITY SCHOOL DISTRICT

By: _____

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APPENDIX E

BOOK-ENTRY-ONLY SYSTEM

The information in this Appendix concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, DTC Direct Participants or Indirect Participants will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, as to the Bonds, (b) Bonds representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC, DTC Direct Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedures" of DTC to be followed in dealing with DTC Direct Participants are on file with DTC.

General

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. Such information is not incorporated herein by reference.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their

purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District (or the Paying Agent on behalf thereof) as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal, premium, if any, interest payments and redemption proceeds on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, premium, if any, interest payments and redemption proceeds to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Bonds purchased or tendered, through its Participant, to the Paying Agent, and shall effect delivery of such Bonds by causing the Direct Participant to transfer the Participant's interest in the Bonds, on DTC's records, to the Paying Agent. The requirement for physical delivery of Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Bonds are transferred by Direct Participants on

DTC's records and followed by a book-entry credit of tendered Bonds to the Paying Agent's DTC account.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered.

The information in this Appendix concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

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APPENDIX F

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: \$ _____ in aggregate principal
amount of [NAME OF TRANSACTION]
[and maturing on]

Effective Date: _____

Risk Premium: \$ _____
Member Surplus Contribution: \$ _____
Total Insurance Payment: \$ _____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____
Authorized Officer

Notices (Unless Otherwise Specified by BAM)

Email:

claims@buildamerica.com

Address:

200 Liberty Street, 27th floor
New York, New York 10281

Telecopy:

212-962-1524 (attention: Claims)

SPECIMEN



CALIFORNIA
ENDORSEMENT TO
MUNICIPAL BOND
INSURANCE POLICY
NO.

This Policy is not covered by the California Insurance Guaranty Association established pursuant to Article 15.2 of Chapter 1 of Part 2 of Division 1 of the California Law.

Nothing herein shall be construed to waive, alter, reduce or amend coverage in any other section of the Policy. If found contrary to the Policy language, the terms of this Endorsement supersede the Policy language

IN WITNESS WHEREOF, BUILDAMERICA MUTUAL ASSURANCE COMPANY has caused this policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By

Authorized Officer

